Central Bank
of Armenia

2023
Annual Report

GOVERNOR'S FOREWORD 06

01 CENTRAL BANK OF THE REPUBLIC OF ARMENIA 10
- About Us 11
- Board 14
- Internal Audit 16

02 CBA STRATEGIC PRIORITIES: TRANSFORMATION IN THE SPHERE OF INFLUENCE 19
- Financial System 20
- Financial System Supervision 23
- Ensuring Price Stability/Monetary Policy 26
- Ensuring Financial Stability/Macroprudential Policy 29
- Consumer Empowerment 31

03 CBA STRATEGIC PRIORITIES: CENTRAL BANK CAPACITY DEVELOPMENT 35
- People 36
- Technologies 42
- Governance 43

04 CBA STRATEGIC PRIORITIES: COMMUNICATION 46

05 OTHER ISSUES 49

- Currency Issuance, Organization of Money Circulation 50
- Numismatic Values 53
- International Reserves 55
- Statistics 56
- Organizing and regulating the fight against money laundering and terrorism finance 58

06 ANNUAL CONSOLIDATED FINANCIAL STATEMENTS OF THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA 61

2023 SUMMARY

MONETARY POLICY

12-Month Inflation Rate
-0.6%

Refinancing Rate
9.25%

Core Inflation Rate
-0.4%

Implemented Framework
FPAS MARK II

CIRCULATION

Volume of Banknotes in Circulation
880,794,747.14

Volume of Non-Cash Transactions
2,537,487,623.6

Number of Non-Cash Transactions
289,999,052.09

RESERVES
3,608 MILLION USD

FINANCIAL STABILITY

Financial System Assets/GDP
116.2%

Banking Systems Total Adequacy Ratio
19.9%

Banking Systems Total Liquidity Ratio
290.6%
as of December 2023

Countercyclical Capital Buffer
1.5%

Loan-to-Value (LTV) Ratio
90%
for AMD
70%
for foreign currency

PUBLIC RELATIONS

Number of Calls and Written Inquiries Received During the Year, by Type

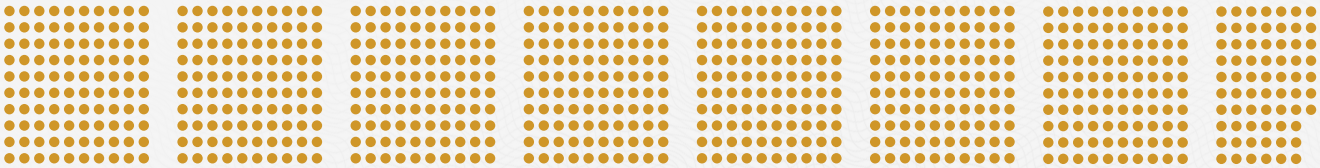
Informational
4678 78.5%
Complaints
1235 20.7%
Unrelated to Central Bank
43 0.7%

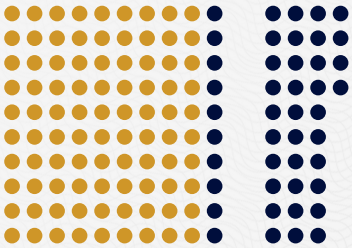
Complaints
515 58.6%
Requests
203 23.1%
Questions
140 15.9%
Notifications
14 1.6%
Suggestions
7 0.8%

STAFF

Average Number of Employees During the Year

767





Number of Employees at Dilijan Training and Research Center

134

Number of Dilijan TRC Employees from Dilijan and Surrounding Areas

44

Students from Foreign Universities Who Completed Internships at the Dilijan Training and Research Center (TRC)

18

Dear Reader:

We present to you the Central Bank of Armenia's annual report, which summarizes the challenges we have overcome, our accomplishments, and the changes we have undertaken during the year to have a better Central Bank. In this year's report, we have tried, for the first time, to summarize the action items outlined by the Bank's Strategy.

The Central Bank confidently achieved its goals despite challenges that arose during the year.

The monetary policy that was implemented and external deflationary effects led to a rapid decrease in inflation from the second half of 2023. Taking into account possible changes in the external environment and demand, the Central Bank adopted a policy of gradual easing of monetary policy. The year 2024 was marked by low inflation and high economic growth for the Armenian economy, which significantly contributed to improving public welfare.

In order to have the best forecasting and analysis system for monetary policy, we continued to develop the second-generation Forecasting and Policy Analysis System (FPAS MARK II) during the year. With the help of this

Martin Galstyan

Governor of
the Central Bank of the Republic of Armenia

system, we will try to follow a more transparent path laid out with a clear sequence of steps, present scenario-based thinking, and explain the logic of our decisions. This will enable us to be consistent and ready in any circumstances, regardless of developments, to achieve the goal of ensuring the inflation target in the medium term and price stability in the country.

With regard to financial stability, we can state that the banking system, the largest sector of the financial system, ended 2023 with high reserves of capital and liquidity, guaranteeing the system's resistance to possible shocks. Guided by the introduction of new approaches, at the beginning of the year, we developed a general methodology for determining the countercyclical capital buffer. This methodology is aimed at strengthening the foundations of a dynamic and forward-looking macroprudential policy, as well as increasing the transparency of the decision-making process. In addition, important changes were made in the regulation field and to the process of implementing risk-based supervision.

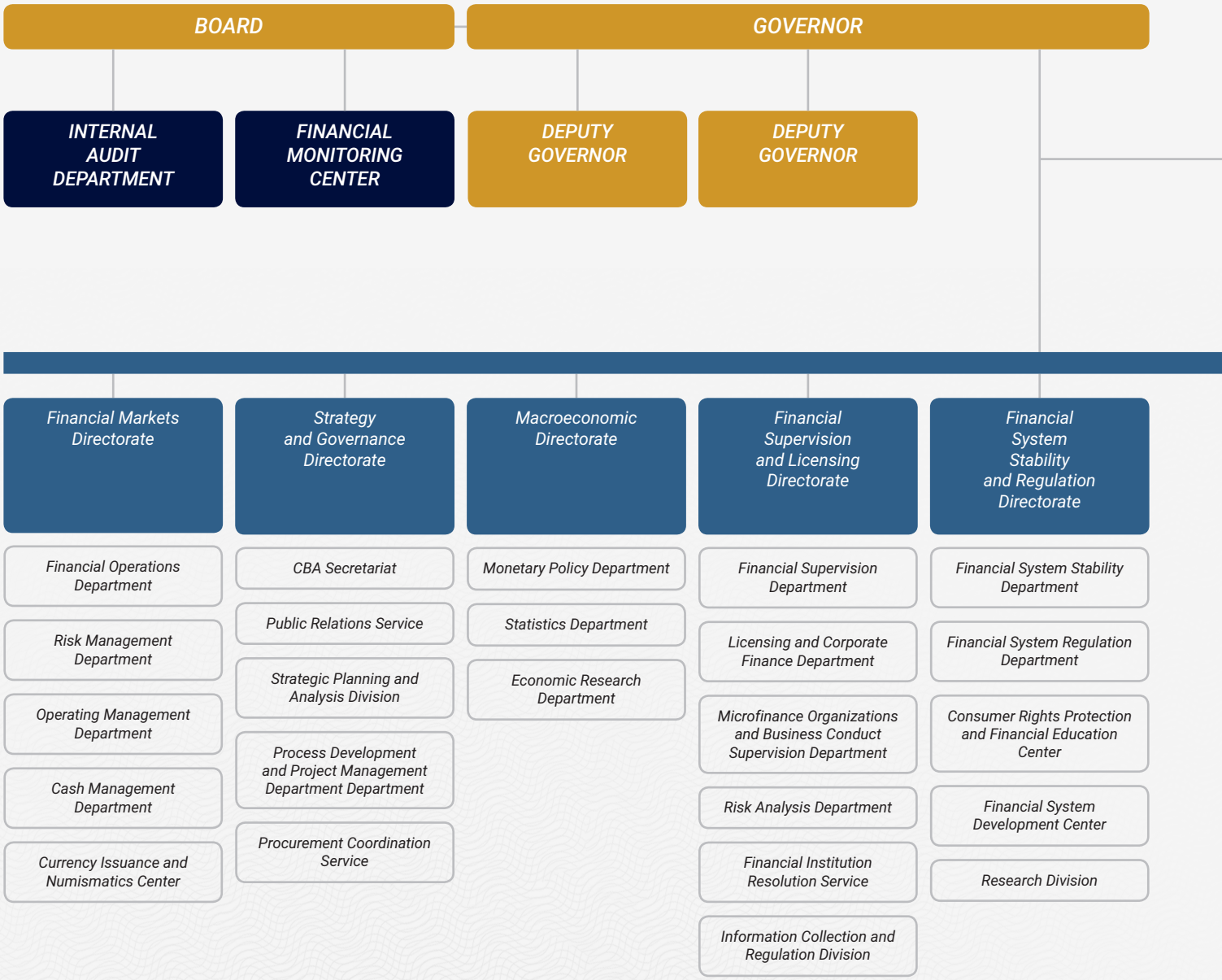
In terms of developing our internal capabilities, we strive to be a self-learning and leading institution and commit ourselves to making every effort to keep pace with today's rapidly changing world. In the context of this approach, we have launched an internal transformation program that addresses all aspects of our work environment, with the aim of creating a new quality organization for the benefit of our society. In 2024, we have already implemented the program of measures aimed at improving internal communication, and performance management and collegial decision-making systems have been designed.

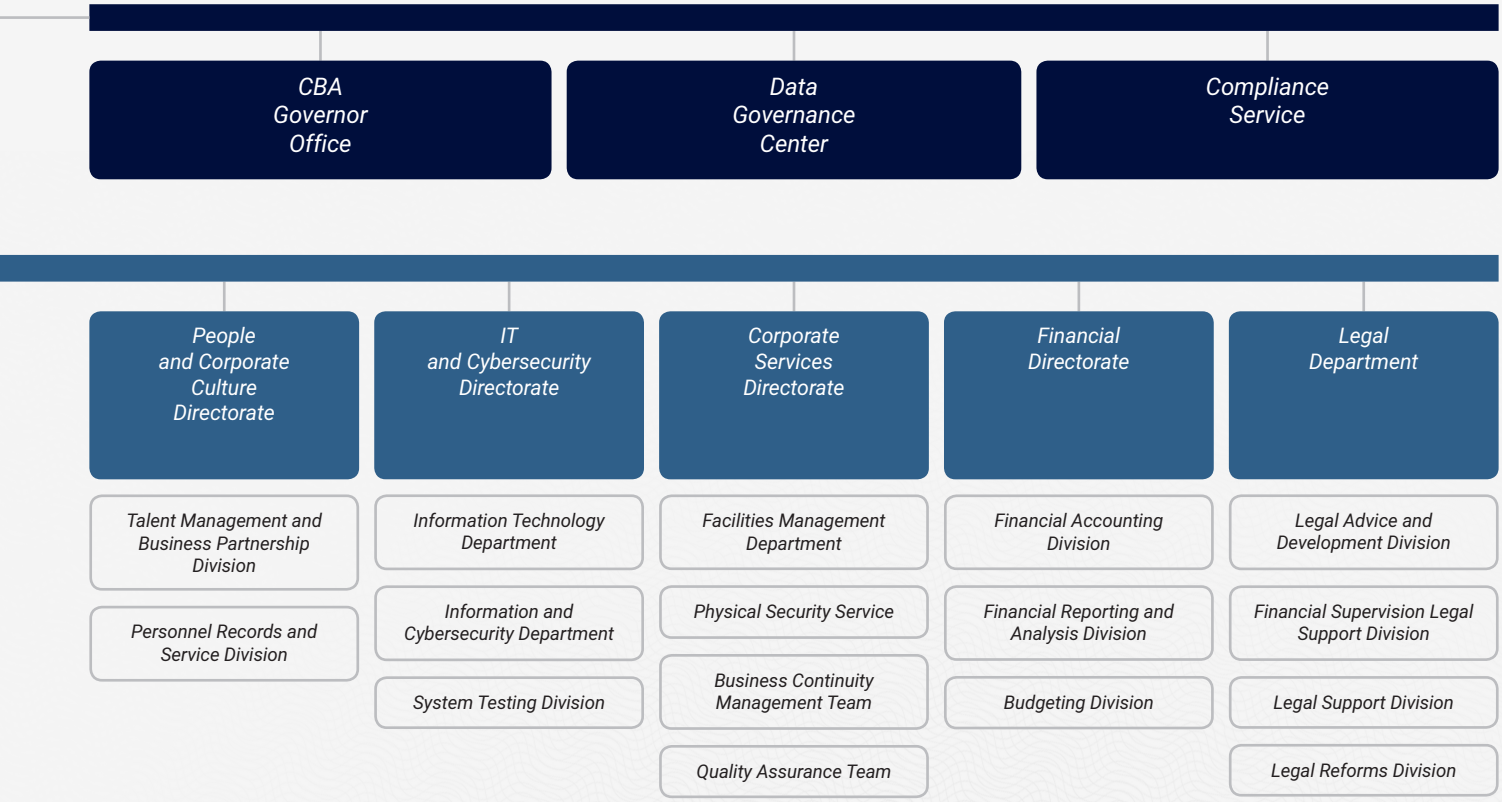
2023 was a jubilee year for the Central Bank, as we celebrated the 30th anniversary of the national currency, one of the symbols of our statehood. Looking back at the path we have traveled, we are immensely proud that the long-term work of the employees of the Central Bank is paying off, and today the people of Armenia have a reliable, secure, and convenient means of payment for their daily transactions.

We remain committed to our mission of promoting economic stability and prosperity and will do our best to harness the potential of our country and of every dram.

Thank you.

STRUCTURE OF THE CENTRAL BANK OF ARMENIA




CBA Governor Office
Data Governance Center
Compliance Service
People and Corporate Culture Directorate
IT and Cybersecurity Directorate
Corporate Services Directorate
Financial Directorate
Legal Department
Talent Management and Business Partnership Division
Personnel Records and Service Division
Information Technology Department
Information and Cybersecurity Department
System Testing Division
Facilities Management Department
Physical Security Service
Business Continuity Management Team
Quality Assurance Team
Financial Accounting Division
Financial Reporting and Analysis Division
Budgeting Division
Legal Advice and Development Division
Financial Supervision Legal Support Division
Legal Support Division
Legal Reforms Division

01

CENTRAL BANK OF THE REPUBLIC OF ARMENIA

— About Us
— Board
— Internal Audit

ABOUT US

We are the Central Bank of Armenia and are responsible for the stability of prices and the financial system. The financial system is regulated and controlled in accordance with the standards we set. We protect consumers and are responsible for Armenia's payment and settlement system, financial and external statistics, and currency issuance. We implement the main tasks before us with the aim of improving national welfare.

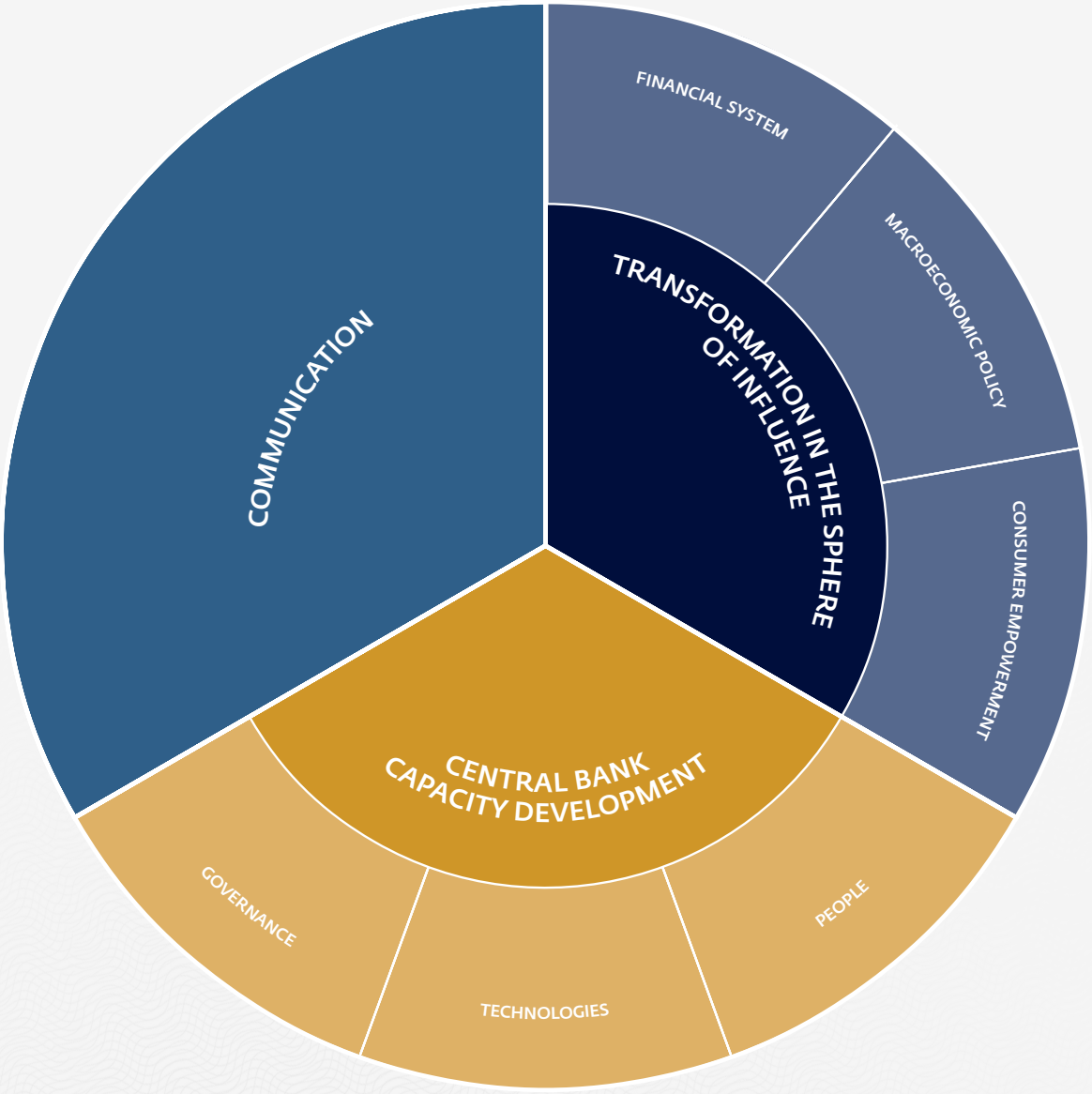
We fulfill our mission in a rapidly changing world full of challenges and uncertainties, with the promotion of national welfare being at the exclusive core of our day-to-day activities. Withthe consistent implementation of our planned actions and through decisions, research, reports, and communication through press conferences, we gain the trust of society and our partners.

Research excellence and innovative solutions are at the heart of our commitment to being a leading institution.

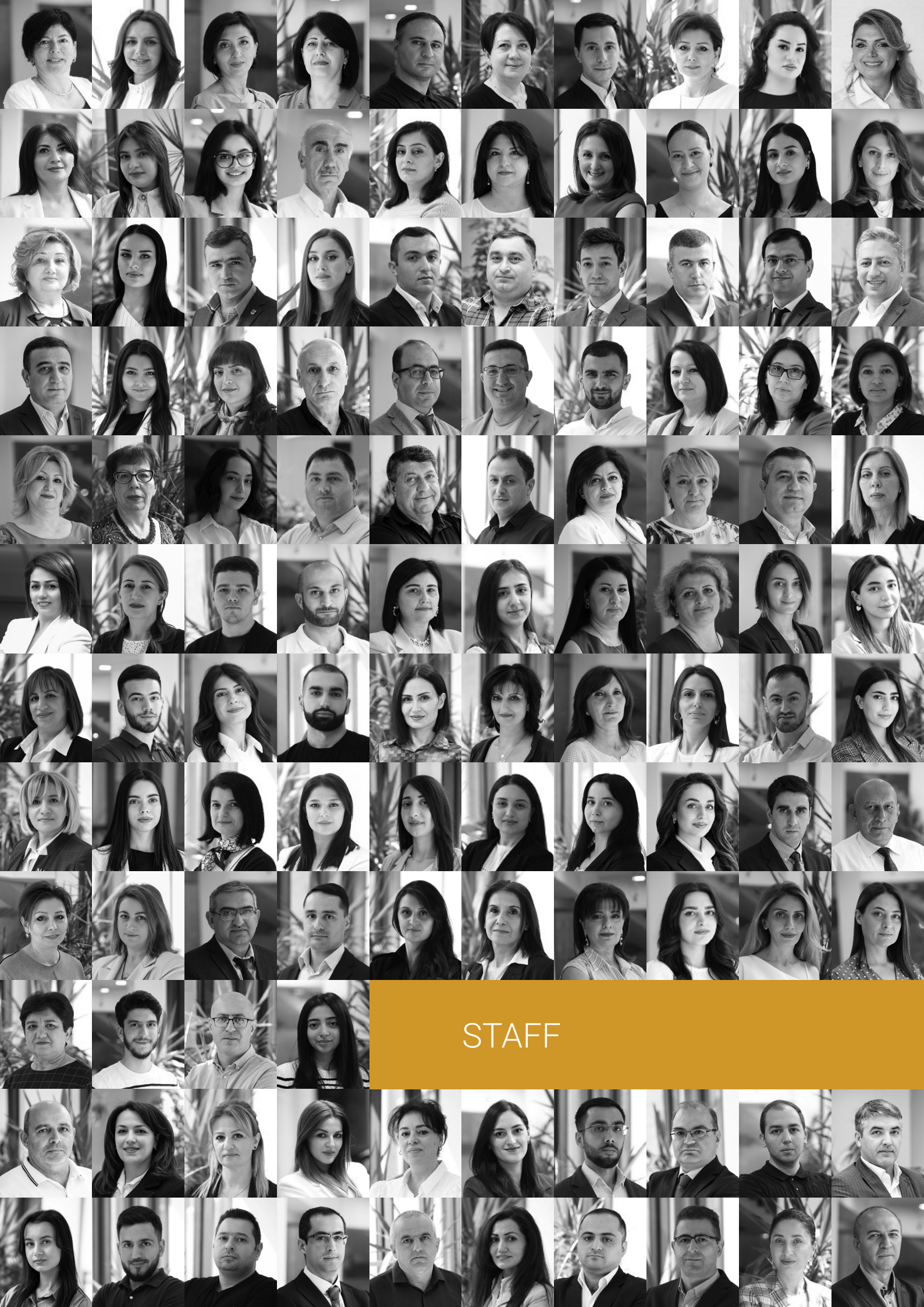
Only through the upholding and application of these values can we achieve our vision and mission.

We strive for excellence, act in good faith, and show respect.

- We build on leading-edge research, analysis, innovation, and collaboration.
- We create awide range of opportunities for free-thinking, proactive, inquisitive, and team-oriented employees.
- We present our goals and actions openly and transparently.
- We communicate our ideas without stereotypes and are accountable for them.
- We respect and appreciate dissent, diversity of ideas, and differences in people.



STRATEGIC PRIORITIES



STAFF

CBA BOARD

According to the RA Law on the Central Bank of the Republic of Armenia, the highest governing body of the Central Bank is the Board of the Central Bank, consisting of the Governor of the Central Bank, two deputies, and five members.

The members of the Board of the Central Bank, including the Governor and deputies, are elected by the RA National Assembly for a term of six years. The members of the Board of the Central Bank of Armenia rotate, with the completion of the term of office of each member of the Board being followed by the election of a new member, which, in turn, ensures the independence of the Central Bank of Armenia. The Governor of the Central Bank of Armenia is considered the highest official of the Central Bank and ensures the standard operation of the Central Bank and the Board. The Governor of the Central Bank of Armenia and his two deputies perform executive functions and coordinate the normal work of the bank.

In accordance with the criteria stipulated by the law, the Board of the Central Bank of Armenia is formed in such a way that the members of the Board have knowledge of banking, auditing, IT, financial reporting, and other areas, and at least half of the members of the Board have professional experience in the field of macroeconomics.

The members of the Central Bank board represent the bank's interests and viewpointsin ministerial committees established and operated by the Government, as well as in other interdepartmental committees. They are the primary communication link with regard to Central Bank strategy, Board decisions, and policy being pursued. They also actively collaborate with government agencies, international financial institutions, and other regional entities.

The Board of the Central Bank of Armenia makes decisions in the following arenas:

- Policies (monetary, macroprudential) pursued by the Central Bank;
- Decisions aimed at regulating the financial system (establishment of mandatory reserve and regulatory norms, issuance of banking and other licenses, enforcement of regulatory legal acts and, if necessary, sanctions);
- Decisions focused on supervision (risk management, budget and financial report approvals, internal audit, and internal control).

Martin Galstyan

Governor of the Central Bank of Armenia

Hovhannes Khachatryan

Deputy Governor

Armen Nurbekyan

Deputy Governor

Hasmik Ghahramanyan

Board Member

Davit Nahapetyan

Board Member

Artak Manukyan

Board Member

Levon Sahakyan

Board Member

Narek Ghazaryan

Board Member

DECISIONS ADOPTED

Regulatory Decisions
43

Individual Decisions
266

Local Decisions
11

Governor's Decisions
666

INTERNAL AUDIT

The internal audit (IA) function of the Central Bank (Bank) is accountable to the Board.

The Central Bank's Audit Committee assists the Bank's Board in the exercise of its supervisory functions and audit powers. The main purpose of the Audit Committee, consisting of three independent (non-executive) Board members, is to carry out systematic control over the Bank's corporate governance, risk management, and internal control processes, acting as an additional counterweight to the Bank's executive management.

During the reporting year, as part of the IMF's Safeguard Assessments, the Central Bank's governance and internal control framework were evaluated in six key areas: governance

STATISTICS ON SESSIONS AND IDENTIFIED ISSUES

2022

Number of Audit Committee Sessions Held

10

Issues Identified in Audit Reports and Messages

51 observations

11 messages

2023

Number of Audit Committee Sessions Held

11

Issues Identified in Audit Reports

31 observations

arrangements, external audit mechanism, legal structure and autonomy, financial reporting, internal audit mechanisms, and internal controls. According to the assessment results, the Central Bank's internal and external audit mechanisms and financial reporting practices continue to be in line with international standards.

The internal audit function of the Central Bank initiated updates of the methodology during the year with the aim of bringing it in line with the International Standards for the Professional Practice of Internal Auditing published by the Institute of Internal Auditors and the new version of the Code of Ethics, which will come into force in 2025.

The audit team, together with the Bank's management, carries out an annual risk assessment of the Bank's processes according to strategic, reputational, financial information security process, information technology and human resource management risks. Based on the assessment results, the internal audit function of the Central Bank prepares and submits an annual risk-based audit plan for the Boards approval.

Taking into account the annual assessment, as well as the implementation of the strategic goals of the Central Bank, in 2023, the internal audit team reviewed areas of the Bank's activities such as management of international reserves, operation of payment and settlement systems, business continuity management, protection of consumer and investor interests, information technology acquisitions and investments, and others.

In terms of early identification of risks and timely transmission of information, the internal audit team emphasized the importance of proactiveness, and, in this context, monitoring was carried out during the year in three different areas: the Central Bank's project management, procurement, and budgeting processes.

THE AUDITORS INVOLVED IN THE IA TEAM HAVE VARIOUS INTERNATIONAL QUALIFICATIONS AND CARRY OUT THEIR MISSION IN ACCORDANCE WITH INTERNATIONAL STANDARDS.

Accumulated capacities, experience, and knowledge in the internal audit sphere are a driver of operational excellence, and the best evidence of this is participation in external assessments of the internal audit functions at partner central banks. In particular, during the reporting year, the chief auditor of the Central Bank participated in external assessments of the quality of the internal audit functions of a number of central banks.

Our commitment to excellence and continuous development is demonstrated by the continuous capacity building taking place at the Bank year after year. We believe that capacity building is a cornerstone factor in securing necessary skills, knowledge, and tools, which, in turn, are key to being able to respondand add continuous value to the institution in a period of rapid change.

To this end, during the coming year, the Internal Audit Department of the Central Bank will focus not only on risky processes but also on the development of capacities in line with the Central Bank's strategy and the functions assigned to it by law. It will also direct its efforts to the deepening and development of international cooperation with internal auditors of other central banks.

02 CBA STRATEGIC PRIORITIES: TRANSFORMATION IN THE SPHERE OF INFLUENCE

- Financial System
- Ensuring Price Stability/Monetary Policy
- Ensuring Financial Stability/Macroprudential Policy
- Consumer Empowerment

FINANCIAL SYSTEM

Emphasizing the need to formstandard-settingmechanismsin the field of financial system regulation in the context of forming, developing, and ensuring the stability of a competitive financial system, in 2023, the Central Bank carried out work onimplementing and modernizing international best practices and standards and developing regulations conditioned by its specificities.

In particular, the Central Bank has revised the normative size, composition, and structure of the capital adequacy ratio for banks. The change came into force on June 1, 2023. The methodology for calculating the capital adequacy ratio of banks has been brought into line with changes made to international standards, while, in certain cases, special regulations conditioned by the peculiarities of the banking system of the Republic of Armenia have been preserved. In addition, in order to ensure a competitive regulatory environment for the system, the risk weights assigned to the Government in the calculation of credit risk have been revised.

In addition, the Central Bank has initiated amendments to the "Regulations for Opening and Maintaining Unallocated Metal Accounts"in order to make financial instruments widely used in international practice available to consumers. As a result of the changes, in addition to gold accounts, banks will be able to open and maintain unallocatedmetal accounts in silver, platinum, and palladium, which will expand the types of alternative savings instruments available to the public. The amendments are expected to contribute to increasing access to services and expanding consumers' opportunities to use financial services.

SR: Regulatory Technology (RegTech) and Supervisory Tehcnology (SupTech) systems

The Central Bank is also using new regulatory approaches to facilitate and optimize the workflows of the data collection and reporting systems of financial institutions, emphasizing the implementation of fast-growing technologically advanced regulatory (RegTech) and supervisory (SupTech) systems being used internationally. Taking into account international trends in the banking sector, a decision was also made to review existing data collection approaches to improve the data collection system used by banks.

The purpose of this change is to gradually transition from a processed and summarized data collection system to a primary (raw) data acquisition system and to implement further data processing processes as needed.

The new approach to data collection will provide a more flexible system for data analysis, freeing banks from the burden of submitting a series of formatted reports. At the same time, the process of compiling and publishing statistics based on the collected data will be carried out in accordance with the statistical practice principles of the Central Bank of Armenia.

In addition to the above, the Central Bank facilitates the exchange of necessary

experience related to the implementation and revision of international standards by joining international standard-setting institutions, such as FSB, BIS, BSCEE, IOSCO, and others. The implementation of the approaches defined by Basel IIIis expected to continue during 2024. This work also includes adetermination of the methodology for assessing the interest rate risk in the banking book and, depending on the bank's riskiness, definition of additional capital requirements (Pillar 2).

Ongoing measures will be implemented to improve the risk management system of banks, aimed at improving the recovery plans as well as internal capital adequacy assessment process (ICAAP)developed by banks and aligning them with international best standards.

With the objective of ensuring competitive regulation in the field of investment funds management, amendments were made in Decision No. 332-N of the Board of the Central Bank of Armenia dated 27 November 2012, permitting investment companies to manage non-public investment funds. As a result, professional participants have been given access to the field of management of non-public investment funds.

In order to provide an equal regulatory field for different types of investment funds and to eliminate the asymmetry of regulation arising from the registration method (online and on-site), amendments were made to the Board of the Central Bank of Armenia's Decision Nos. 194-N dated 8 August 2016, 272-N dated 16 October 2012, and 19-N dated 16 February 2016, establishing a unified procedure for registration of funds.

A package of amendments and additions to the Law on Investment Funds and other related laws was developed and placed into circulation, with the purpose of creating a fair and equal regulatory environment for investment funds, clarifying procedures for the creation, further operation, and liquidation of non-public funds, and establishing conditions for the creation and operation of managers of non-public fundsin accordance with international best practices,while at the same time enabling the supervisory body to exercise effective control over non-public funds and their managers using the available tools.

In order to be efficient and modern and to keep pace with developments in the international financial community, the Central Bank actively continued its international cooperation within the institutions setting standards for the capital market and pension funds, within the framework of its membership in the IOSCO and IOPS.

SR: A payment and settlement system that will provide a flexible range of services in compliance with international standards

One of the goals of the Central Bank's activities is the creation and development of an effective payment and settlement system. Payments, money transfers, government payments, and a number of other transactions pursued by individuals and business entities in the Republic of Armenia are serviced through payment and settlement systems, so their compliance with international standards is highly emphasized by the Central Bank.

The regulation of self-service devices operated by financial institutions was modernized in 2023, moving from rules-based regulation to principles-based regulation. In particular, instead of previously specifically formulated technical, security, and other requirements, safety and reliability principles have been defined for automatic devices, based on the types of primary operations performed using these devices (e.g., payment, transfer,

RA President VAHAGN KHACHATURYAN:

"It is due to the work of the Central Bank that we have a stable financial situation today. It is also worthy of appreciation that, during the difficult conditions of the recent past, the Central Bank ensured an environment in which there were no shocks to the financial and banking system. The independence of the Central Bank guarantees its ability to successfully carry out its functions."

currency exchange, account replenishment, cash withdrawal). Financial institutions can now provide all financial operations permitted by their license using self-service devices, observing the principles established by the Central Bank.

The revised regulation allows:

1. payment and settlement organizations to provide a wider range of services using self-service devices (for example, cash withdrawal from a bank account through partnership with banks),
2. banks to install multifunctional self-service devices in places other than the bank's head office and branches, and
3. credit institutions and currency exchange institutions to provide services through self-service devices as well.

As a result, the range of services provided 24/7 through self-service devices has been expanded, and such services have become more accessible and convenient for customers.

The continuous development of the RA payment system is a strategic priority of the Central Bank. As part of this prioritization, the Central Bank has initiated a number of programs which will overhaul the payment infrastructures when implemented, ensuring high availability, compatibility, competition, convenience, and a wide range of services in the payment sector. The introduction of international standards will also make international payments more convenient.

PAYMENT AND SETTLEMENT SYSTEM

Number of POS Terminals in Armenia

80,035

Total Amount of Transactions on Cards Issued by RA Banks in Armenia

2,537,487,623.6

thousand AMD

Number of Transactions on Cards Issued by RA Banks in Armenia

289,999,052.0

FINANCIAL SYSTEM SUPERVISION

The aim of central bank supervision is to ensure the effective management of significant risks within the financial system, including itsinstitutions, and infrastructures, while mitigating the impactof potential issues and crises, establishing robust processes that facilitate smooth operations and minimize disruptions.

This implies ensuringthat financial institutions maintain adequate capital, liquidity, robust business models, quality corporate governance, and effective internal control systemsin accordance with the risks they undertake, ultimatelycontributingto ensuring financial stability.

The Central Bank carries out risk-based supervision, which means that different sectors, operations, and financial institutions within the financial system are supervised with varying levels of scrutiny and intensity, therefore allocating more supervisory resources to the riskiest sectors, organizations, and operations. Moreover, the principles of risk-based supervision are consistently applied throughout all supervisory processes, from the initial entry of a financial institution into the market to its eventual exit.

Licensing and Registration. In 2023, the Central Bank has conducted assessment of the effectiveness of internal processes regarding the qualification of financial institution managers. During the first half of 2024, preliminary assessment findings will be communicated to financial institutions with the objective offacilitating the implementation of necessary improvements in internal processes.

As part of the reform of the corporate governance and internal control systems inbanks and insurance companies,the positions of risk director and compliance officer were considered as a subject for Central Bank registration and in depth integrity and compliance assessment..

SUPERVISION AND LICENSING

Entities Licensed

1	5	1	11
insurance company	investment companies	payment and settlement organization	exchange offices

Entities Registered

25
investment funds

Prudential Supervision. Toenhance the effectiveness of market conduct supervision, mechanisms for preventing abuse (including unscrupulous behavior) were put into effect during 2023, based on information collected from specialized securities market participants and from other sources, such as monitoring.

In line with the strategic objective of achieving robust cybersecurity in the financial system according to the Central Bank of Armenia Strategy, in 2023, thematic reviews related to the field of IT security were initiated in financial institutions, particularly banks and payment and settlement organizations. The studies are aimed at identifying, effectively managing, and mitigating information and cybersecurity risks faced by these institutions.

As a result of control measures implemented with the purpose of mitigating financial risks arising from earthquake risk and reducing possible consequences, insurance companies have implemented effective earthquake risk management systems. Consequently, these efforts have been duly factored into their pricing strategies, ensuring more accurate and effective coverage for earthquake-related risks. As of the end of 2023, the norm of the maximum amount of one risk in terms of earthquake risk in insurance companies was at the equivalent limit.

In order to assess the resilience of financial institutions in crisis situations, the processes of introducing and improving the microprudential stress testing system continued. Unlike last year, all banks participated in the microprudential stress testing exercisein 2023.

After converting, exporting, and visualizing data using the BO (Business Object) software system which allows the receipt ofcomprehensive data from commercial banks in Armenia, the reporting burden of financial institutions has been lightened, as fewer reports were collected from them. Other forms of reporting are planned to be eliminated as well in the near future.

Protection of Consumer Interests. A fraud prevention unit has been created with the goal of improving the effectiveness of fraud prevention activities. The main goal of this unit is to maximize financial fraud prevention through cooperation with law enforcement agencies. The monitoring unveiled numerous instances of individuals utilizing various communication platforms to extend offers of credit funds, facilitate these transactions, or engage in investment activities (including in crypto assets) on behalf of consumers, without possessing the appropriate licenses to carry out such activities.

Public awareness campaigns were conducted with regard tocertain fraud cases and schemes.

Incidents Reported to Law Enforcement Agencies

12 reports

49 total cases

Capacity Building and International Partnerships. To fully implement the supervision objectives set for the Central Bank, as well as to adequately respond to newly emerging risks, efforts and work continued in 2023 to develop and deepenboth supervisory and financial system capacities.

Emphasizing the importance of banks' having adequate internal processes to secure capital in alignment with their risks profiles (Internal Capital Adequacy Assessment Process (ICAAP)), a discussion workshop was organized with bank representatives and experts from the World Bank to present best international practicesand supervision expectationsfrom the ICAAP.

Emphasizing the importance of implementing corporate governance principles in banks and bringing governance experience in line with international developments wherein bank boards are of key importance, the Central Bank of Armenia, together with the European Fund for Southeast Europe (EFSE), organized a working discussion on *"Improving Corporate Governance in the Banking System,"* with the participation of board members of the Banks of Armenia.

The Central Bank of Armenia, in collaboration with the European Bank for Reconstruction and Development, organized a workshop oncompliance, which was attended by more than 60 professionals from the Armenian banking sector. Among the issues discussed were the risk of international sanctions, regulatory frameworks, correspondent banking services, financial crime compliance, money laundering through commercial transactions, and more.

Technological Advancements.

SR: Regulatory technology (RegTech) and Supervisory technology (SupTech) systems

The Central Bank has worked with experts from the World Bank as part of technical assistance from the organization to develop a roadmap todigitize and optimize oversight processes, build a more effective oversight system with the introduction of new technologies,and to therefore reduce reporting costs for financial institutions. After the development of the roadmap, the most importantoversight projects were substantiated and selected and are planned to be launched in 2024.

Competition. Taking into account the fact that the banking system occupies a significant share in the financial market of the Republic of Armenia and a decrease in competition in the banking system may lead to higher tariffs for banking services, a reduction in differentiation of services, and reduced incentives for innovation and quality improvement, in 2023, the Central Bank conducted an assessment of concentration and competition in the banking system of Armenia in 2010-2022. According to the results of the analysis, banks operate under conditions of monopolistic competition, which is the most common form of market structure of banking systems in various countries around the world. This form of competition indicates that banks mainly provide differentiated services and have the ability to set the prices of their services.

Support for Programs Implemented by RA Government. 2023 was an extremely difficult year in terms of the need to urgently and smoothly implement various important social programs initiated by the RA Government to assist our compatriots forcibly displaced from Artsakh. In this regard, the Central Bank, together with financial institutions, has made every effort to facilitate the organization of financial system tasks as smoothly as possible.

The Central Bank, together with the RA Government, carried out the process of restructuring the investments of the RA financial system in Artsakh. The main part of this restructuring was completed at the end of 2023.

ENSURING PRICE STABILITY/MONETARY POLICY

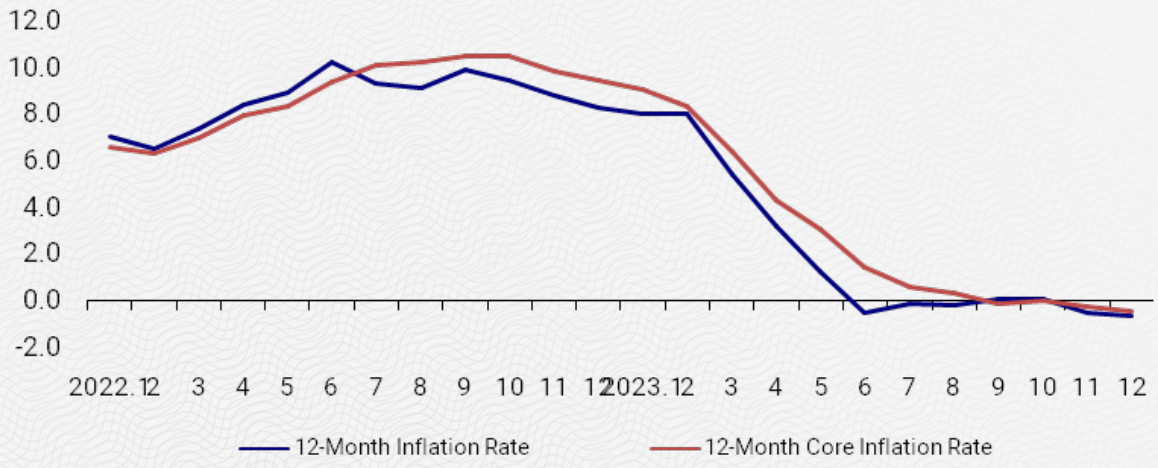
The monetary policy implemented by the Central Bank of Armenia in 2023 was aimed at ensuring a target 12-month inflation rate of 4%over a 3-year horizon. As a result of deflationary effects transmitted from the external sector during the year and the contractionarymonetary policy pursued by the Central Bank, the inflationary environment in Armenia has significantly softened. The 12-month inflation rate fell sharply in the first half of the year, settling around zero since the second half.

Armenia continued to have high economic activity in 2023, mostly due to the high growth recorded in the services and construction sectors, with annual economic growth of 8.7%. At the same time, domestic and external demand factors continued to contribute to economic growth, manifesting in strong growth in both consumption and investment.

Based on the existing situation and guided by the principle of future-oriented policy implementation, the Central Bank of Armenia gradually eased monetary conditions in 2023, loweringthe policy rate by a total of 1.5 percentage points. As a result, the 12-month inflation rate decreased by 8.9 percentage points during the year and amounted to -0.6% at the end of the year,whilethe 12-month core inflation rate decreased by 9.9 percentage points, ending the year at -0.4%.

Figure 1

In 2023, external inflationary effects were significantly mitigated, resulting in sharp decreases in both the general and core 12-month inflation rates.



Within the framework of the key milestones set out in the Central Bank's Strategy, work continued in 2023 on a fundamental transformation of the monetary policy development process and the Forecasting and Policy Analysis System (FPAS). In the context of these changes, real foundations were created during the year for introducing an innovative systemic approach to the development and implementation of monetary policy under conditions of uncertainty. This emphasizes an approach of describing, assessing, addressing, and making decisions about monetary risks within the framework of discussing various macroeconomic scenarios, highlighting the importance of a high level of transparency of decisions and effective communication.[1] The new monetary policy system was developed as a result of joint work with reputable international economists and experts and has been officially implemented at the Central Bank of Armenia from January 2024.[2]

In the process of developing and applying a new strategic approach to monetary policy, it is important to have open and transparent dialogue with the financial market and the general public in the context of building scenarios and communicating the logic of decisions, striving to form broad public understanding and support for Central Bank policy. This goal has been served by the main tools for implementing monetary policy and providing information about decisions made – press conferences organized on the day of policy rate decisions – as well as various discussions related to the monetary sphere and publications of analysis and research. During the year, the Central Bank continued to provide input on monetary policy issues and changes taking place in the sector through regular meetings with students and professors at various universities, as well as with bank analysts and financial market participants.

The development of human capital and the recruitment and training of highly qualified professionals are of key importance in the context of reforming and improvingthe monetary sector. Therefore, guided by the vision of building a competitive team at the international level, in 2023, the Central Bank continued to develop and implement new standards for conducting policy analysis based on the principle of research excellence. In this context, special attention was paid to the development and implementation of non-linear approaches to analysis, as well as to a discussion of the Central Bank reputation factor in the process of developing policy scenarios.

SR: Internationally competitive monetary policy development team

As part of the problem of human capital development, in 2023, the Central Bank of Armenia held quarterly and weekly discussions and seminars on central bankmacro-modeling, which were attended by employees and leadership members of the central banks of Armenia and other countries, as well as leading researchers and economists from around the world.

1 The available research and working papers relating to the implementation of the new FPAS system are published on the official website of the Central Bank of Armenia: www.cba.am.

2 During the conference organized on January 11-12, 2024, the implementation of the "monetary policy implementation system with a reasonable approach to risk management" at the Central Bank of Armenia was discussed with, presented to, and announced to the professional and academic community. This approach was launched during the monetary policy development cycleof the first quarter of 2024 and put into practice throughout the policy development, decision-making, and communication process.

The latter included Lawrence Summers, Charles Goodhart, Athanasios Orphanides, John Taylor, James Hamilton, Eric Leeper, and others.These workshops served as a unique platform for Central Bank of Armenia team members to present their research and analysis to a global audience of international experts, to listen to lectures and discussions from leading economists on various policy-related topics, and to develop the new monetary system, taking into account the observations and recommendations of world-renowned experts.

ATHANASIOS ORPHANIDES, Professor of Economics at the Massachusetts Institute of Technology:

"What is particularly noteworthy in the case of the Central Bank of Armenia is that the Central Bank was one of the first to adjust monetary policy by raising interest rates at the end of 2020. This happened mostly a year and a half before the interest rate adjustments by other central banks. And it was a very good policy. So, what we witnessed in the case of the Central Bank of Armenia, I would say, was a successful application of the inflation targeting mechanism, which means that, taking into account shocks hitting the economy and the available information that is used to make a 2-3-year forecast, policy can be adjusted and inflation can be brought closer to the 4% target level over a 3-year horizon. The Central Bank has done this quite successfully over the past three years."

FEDERICO STURZENEGGER, Professor of Economics at the University of San Andres and former President of the Central Bank of Argentina:

"I must say that I am really quite impressed. Well, you know I'm from Argentina, a country that has had a lot of difficulties in fighting inflation. And I've come to a country where we see inflation is 0%, and where the Central Bank has been able to reach the target level of inflation for the last 15 years. I think this is very commendable. I also think it's a great success, and it's certainly great to see how good monetary policy is being implemented around the world."

ENSURING FINANCIAL STABILITY/MACROPRUDENTIAL POLICY

The Central Bank develops and implements macroprudential policy as part of its constitutional mandate to ensure financial stability along with price stability. In 2023, the financial system ensured thenormal path of the financial intermediation by lending to the economy, attracting savings, and providing other financial services.

The banking system concluded 2023 with high buffers of capital and liquidity, guaranteeing the system's resilience to possible shocks. The results of stress tests show that banks are able to absorb potential losses arising from macroeconomic developments.

The year also recorded sufficient profitability in the banking system, which is important in terms of the business prospects of banking activities. Moroever, in contrast to the previous year when the profitability of the banking system was mainly attributable to non-interest incomes, a growth in interest incomes made a significant contribution in 2023.

The normal growth dynamics of the loan portfolio and deposits of the banking system continued in 2023. The growth of the loan portfolio was driven equally by the growth of household and business loans. It should be emphasized that an increased activityof consumer lending was observed during the year, and a relatively high growth rate of consumer loans was recorded compared to previous years. This, along with other factors, contributed to the growth of interest incomes of the banking system.

JIHAD AZOUR, Director of Middle East and Central Asia Department at the International Monetary Fund

"The Central Bank of Armenia is a story about what Armenia has achieved over the last three decades. Having started with a very difficult situation back in 1993, we now see before us a strong institution that has gained credibility in Armenia and abroad, developed an environment of skills and talents, and carried out a number of reforms—important reforms, including ones relating to exchange rate flexibility, inflation targeting, and the financial sector—as well as managed to cope with severe shocks, shocks that we have all seen over the last few years."

High rates of growth in mortgage lending and real estate prices also persisted throughout 2023. There also continues to be a risk of overheating, which the Central Bank has communicated to the public. In order to address the risk of overheating of the real estate market, the regulatory upperlimit of the loan-to- value ratio introduced by the Central Bank has been preserved.

During the year, the Central Bank Board also raised the countercyclical capital buffer rate, setting it at 1.5 percent of risk-weighted assets from August 2023. This change expands the ability of the banking system to absorb losses during shocks, contributing to continuity of lending to the economy.

SR: up-to-date systemic risk assessment toolkit, including development and introduction of new tools

Valuing the continuous development of the analytical bases of economic policy, in 2023, the Central Bank worked on improving the systems and models supporting macroprudential policy decisions. In particular, work was carried out on the study and preliminary quantitative assessments of Growth-at-Risk models, the final implementation of which will enhance the effectiveness of the macroprudential policy being conducted.

Guided by the need to develop an up-to-date toolkit for systemic risk assessment, a new approach to predicting the probability of default (PD) based on the Bayesian model averaging (BMA) method was introduced into the macro stress testing system. This approach involves the generalization of the results of a large number of statistical models, significantly improving the accuracy of estimates.

Comprehensive stress testing of the possible negative effects on the banking system stemming from the accumulated risks in the real estate and mortgage lending markets was also performed in 2023. Potential credit risk and the ability of the banking system to absorb such a risk were assessed within the scenario of falling real estate prices and deteriorating financial conditions of developers. In general, the results indicate sufficient capacity of the banking system to absorb risks in the event of the assumed sufficiently severe scenario.

SR: Macroprudential policy implementation mechanism

As part of the development of aframework for implementing macroprudential policy, a general methodology1 for the countercyclical capital buffer decision making was developed at the beginning of the year and was published on the website of the Central Bank of Armenia. This methodology is aimed at strengthening the foundations of a dynamic and forward-looking macroprudential policy, as well as increasing the transparency of the decision-making process.

SR: Communication, policy transparency and perception

Emphasizing the importance of policy transparency, the Central Bank reports on developments concerning financial stability and the course of macroprudential policy through its annual Financial Stability Report, the publication of decisions on macroprudential instruments, as well as press conferences and press releases.

1 General Methodology Underlying Determination of Countercyclical Capital Buffer

CONSUMER EMPOWERMENT

Over the past 16 years, the Central Bank has **focused on the creation of an ecosystem for the protection of consumer interests**. As a result, the fundamental legislative framework for the protection of consumer interests and rules of business conduct, as well as a national strategy for financial education, have been developed, and important infrastructures for responding to consumer complaintshave been launched, including the Financial System Mediatorand complaint response procedures in financial institutions.

In 2023, the Central Bank paid special attention to the implementation of problem-oriented functions in terms of empowering consumers, while simultaneously continuing to maintain and develop the existing consumer protection ecosystem. The 2023 initiatives were aimed at identifying specific problems of target groups and taking clear-cut actions toward solving them; namely:

- With the aim of integrating residents of borderline villages into the financial system, the "Dram 30-30" project was introduced in 2023, dedicated to the 30th anniversary of the Armenian dram. The project is being implemented among 120 residents of four border villages. The "Dram 30-30" project, carried out jointly with commercial banks, is aimed at increasing the financial well-being of residents of border villages by creating the necessary preconditions for more convenient and smoother financial transactions, as well as by conveying targeted financial knowledge and skills and helping to build confidence in making present and long-term financial decisions. For six months beginningin December 2023, a Central Bank of Armenia team will help the villagers participating in the program conduct daily financial transactions in an easier and more convenient way, offer advice to assist them in making financial decisions, keep in contact, and answer their pressing questions.
- A study of consumer incentives from various sources was carried out in 2023 with regard to consumers using financial services. The study identified the most problematic areas and topics, five of which were highlighted as the most important. For example, CMPTL was identified as a problematic financial product, in particular with regard to disagreements on damage assessment and denials of compensation. Joint discussions were held on the causes of the problems identified in this section with the Armenian Motor Insurers' Bureau and insurance companies, and agreements were reached to jointly implement substantive actions aimed at empowering consumers.
- From July 1, 2023, consumers using loan services will be provided with more detailed information about their credit history and score. In particular, prior to the signing of an agreement, the consent to make inquiries from the credit bureau about the consumer also includes information about the purpose and timing of the inquiriesand their impact on the credit score, and every

A number of projects were implemented for learners in 2023:

GLOBAL MONEY WEEK

97 schools

3200 students

CBA experts visited schools and developed learners practical skills in personal finance management.

ECONOMICS OLYMPIAD

400 students

Five students participated in the international stage of the Olympiad.

FINANCIAL-ECONOMIC AND ENTREPRENEURIAL BRAIN RING

10 teams

55 students

Learners competed with their knowledge and skills in the tournament, and winning students from three regions, along with the teachers who trained them, were awarded.

CITIZEN PROJECT

27 schools

170 students

The participants implemented educational projects on personal finance topics, developed practical skills, and contributed to raising financial awareness in their communities.

EXHIBITION IN APARAN DEDICATED TO THE HISTORY OF MONEY CIRCULATION IN ARMENIA

1 000 students and teachers

The students and teachers took part in an exhibition organized for the occasion of the 30th anniversary of the Armenian dram, as well as in an interactive lecture on personal finance management.

MEDIATOR'S CAMP

1000 children

Camps were organized for children from low-income families, as well as families of fallen and disabled service and militia members, informing them about the importance of protecting their financial rights and proper management of personal finances.

time a credit inquiry is made about a consumer, the financial institution notifies the consumer about it electronically and free of charge if the inquiry will affect the consumer's credit score.

Financial Education

- In 2023, a methodological manual was prepared for current and future teachers, presenting coaching methods and tools that can be effectively applied in Armenian public schools. Financial education was also introduced at the Khachatur Abovyan Armenian State Pedagogical University. With the introduction of elective courseswithin the Primary Education, History and Social Sciences, Mathematics, Physics, and Informatics faculties, future teachers graduating from the Pedagogical University will be able to transfer their financial education knowledge to school-aged children.
- A two-day education course was organizedfor family members of people with disabilities and fallen servicemembers and militia members, providing them with the opportunity to receive answers to questions that concern them and to gain practical knowledge to better manage fund-received money.

MHER ABRAHAMYAN,
Chairman of the Management Board of IDBank:

"I think that over these three decades, the Central Bank has repeatedly proved that it is one of the most established and institutional structures in our country. Our national currency as well... we can confirm that it is perhaps one of the most stable currencies in the world and continues to gain more and more public trust over time. I believe that the effective work of the Central Bank's professional team will continue and will contribute to the development of the economy and strengthening of financial stability in our country."

- Volunteers:Since 2016, financial education initiatives have been organized and implemented with significant help from volunteers. In 2023, 78 volunteers were trained in financial literacy and have helped spread their financial knowledge to others.

Collaborations

In the field of consumer protection and financial education, we have continued our joint work with the Financial Education Program Development and Implementation Commission, the Eurasian Economic Union, the Financial SystemMediator, the Alliance for Financial Inclusion (AFI), and the Organization for Economic Co-operation and Development (OECD).

“DRAM 30-30” PROJECT

120
beneficiaries

4
borderline villages

4
collaborating commercial banks

The participants received payment cards free of charge for 1 year, mobile and banking, financial education and handholding.

400 000
over-indebted people

safe return to the banking system

ANNUALLY, THIS NUNBER OF BENEFICIARIES RECEIVE FINANCIAL EDUCATION TO:

1.4
million

received remote education

5
thousand

individuals, including children, received in-person education

425
thousand

children received in-person education at school

This included:

- “Personal Finance Management” workshops for 3,000+ beneficiaries
- 1,000+ beneficiaries in partnership with the Visitor Center
- 55 students and 22 teachers from all regions of Armenia and Yerevan participating in the Financial Brain Ring
- 1,000 children aged 11-13 at camp in Financial System Mediator
- 3,200 students from 97 schools in Yerevan and the regions visited by Central Bank experts, along with Organization for Economic Cooperation and Development
- 82,000 people a year making informed decisions by comparing service prices on fininfo.am
- 178,000 people a year engaging in distance learning through the Abcfinance.am website
- 550,000 people engaging in distance financial education through the fininfo.am FB page
- 432,000 people a year being educated through the Abcfinance.am FB page
- 172,000 people a year being educated through the Abcfinance.am Instagram page

abcfinance.am
ԱՅԲ ԲԵՆ ԳԻՄ ՖԻՆԱՆՍՆԵՐ

47 505
followers

1051
followers

03 STRATEGIC PRIORITIES: CENTRAL BANK CAPACITY DEVELOPMENT

- People
- Technologies
- Governance

Only with the ideal implementation of the strategic goal of Central Bank capacity development will we be able to realize our initiatives within the sphere of influence. With this in mind,at the beginning of the year, the Central Bank developed an internal transformation program with the help of external consultants,with the objective of optimizing its processes and increasing efficiency. The transformation program is designed to be implemented in five directions:

- *A culture focused on changing behavior and mindsets.*
- *Performance management which includes goal setting.*
- *Governance reform, which includes a review and transformation of decision-making mechanisms, delegation of authority, and accountability.*
- *Workflows that need to be clearly defined, optimized, and continuously developed.*
- *Project management designed to build the capacity to implement complex and long-term projects.*

In 2023, most of the work was carried out within the framework of the above-mentioned program, which is presented below.

PEOPLE

Adhering to the Central Bank's strategic message, we continued our policy of keeping the Bank in a leading position among the best employers, continuously striving to improve our image as an employer and provide the best possible environment for the Central Bank team to achieve results and fulfill our mission.

SR: Performance appraisal based on human contributions/output, rather than pure employment, which will the basis for remuneration and promotion

Redesigned Performance Management System

In 2023, active efforts were made to review and improve the performance management system. The new performance management system evaluates compliance with the culture and values of the Central Bank, as well as with objectives arising from the Bank's Strategy and the criteria for evaluating the results of their implementation. This system, for which software equipped with modern and technologically relevant solutions has been purchased, will allow for transparent and objective evaluation of employee performance.In the new performance management system, key importance was given to the implementation of continuous feedback, which will help to both strengthen communication between manager and employee and to quickly identify and respond to problems.

The 2024 goals of all Central Bank departments were determined at the end of the year. These goals will represent the highest link of the performance management system. By cascading these goals from the top down to the employee, we will be able to guide and involve

our employees in the process of achieving the Bank's primary goals.

The system will be utilized beginning in 2024 and will be fully operational in 2025.

Culture and Environment

At the heart of the transformation program is culture and its transformation. The program delineates the desired culture that we strive to create. To this end, principles by which we will achieve our desired culture were outlined during the year. There are 12 principles, grouped accordingly into thecategories of "I-Institution,""I-Colleagues," and "I-Myself."

In order to develop culture and strengthen team spirit, in 2023, the Financial Sector Chess Championship was held for the second time with the participation of employees of financial system organizations under the auspices of the Central Bank. This year's championship was also held in team and individual formats. The event is another step aimed at continually developing cooperation and ties between organizations of the financial system.

As in previous years, in 2023, Central Bank team members took an active part in activities carried out within the framework of corporate social responsibility, some highlights of which included the "Gifts from Santa Clause" initiative for children living in border areas, as well as a New Year's concert event organized for the children of heroes who perished in the Artsakh wars, with the participation of the Arevik Children's and Youth Ensemble.

Emphasizing the reduction of atmospheric air pollution from mobile sources in the country as a part of social responsibility, to provide the best working conditions for our employees, we already use electric vehicles and use electricity generated by solar plants (about 230,000

WORK PRINCIPLES

I-Institution

- √ We are sincere in our words and motives and are guided by the interests of the institution.
- √ We take responsibility and are proactive.
- √ We always strive to doour job in the best possible way and are ready to put in extra effort.

I-Colleagues

- √ We respect one another.
- √ We are always open to giving and receiving fair and fact-based feedback.
- √ We are open to sharing our knowledge and acquired information with colleagues.
- √ We prefer cooperation over competition, guided by a common goal.
- √ We share the successes and failures of our teammates.

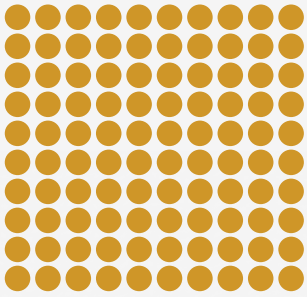
I-Myself

- √ I work for the sake of one common goal, which is the welfare of society.
- √ I am responsible for my words and actions.
- √ I am guided by the desire to gain new knowledge, develop, and innovate.
- √ I serve as an example for others with my behavior.

CORPORATE SOCIAL RESPONSIBILITY

Students at Dilijan Central School

176

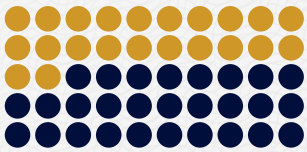


Students Who Are Children of Central Bank Employees

61

Students at Dilijan Central Kindergarten

50



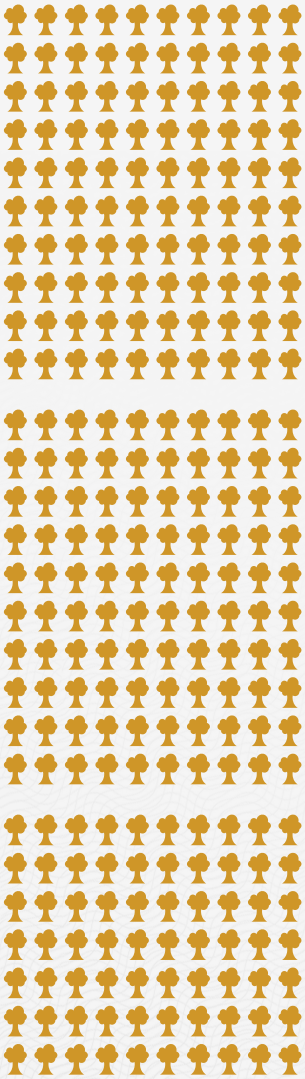
Students Who Are Children of Central Bank Employees

28

Mileage Without CO_2 Emissions

230,000

km



Reduction in Monthly CO_2 Emissions Due to Solar Power Plants

7

tons

comparable to

~270

trees being planted

km of mileage without CO2emissions). The solar plants have reduced CO2emissions by approximately seven tons per month (comparable to ~270 planted trees).

Isahak Isahakyan Research Competition

The research competition named after the first Chairman of the Central Bank, IsahakAbasi Isahakyan, which has been held since 2003 and awarded scholarships to more than 100 students in those years, has also been changed.In 2023, the format was modified, and it wasimplemented as a research competition.

As a result of the change in the format of the competition, the range of participants has been expanded, giving not only students but also non-student researchers the opportunity to participate in the competition. In addition, there are now prizes for first, second, and third places.

With this project, we aim to create a community of researchers and to bring together researchers with relevant interests around our research agenda and with whom the Central Bank will work on various research initiatives and programs. We also intend to increase interest in research among students and to unlock their potential in this regard.

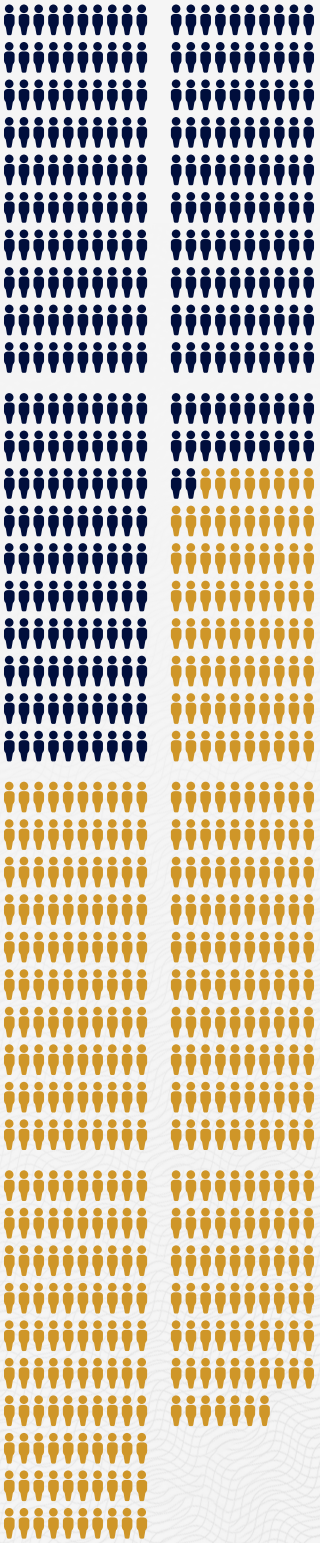
EMPLOYEES

Average Number of Employees

767

322 male

445 female

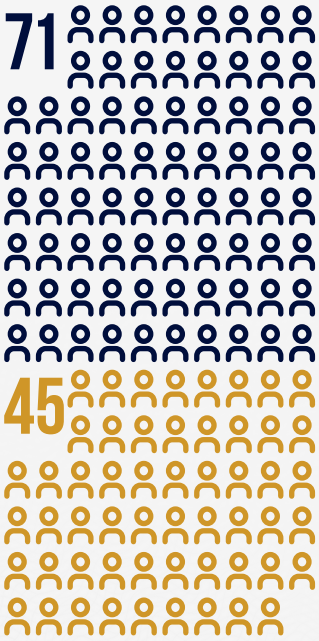


Ratio of Male-Female Managers

Board

Management Staff

71 45



Number of New Employees

123

joined in 2023

Turnover

14%

Employees' Average Work Experience

11

years

Distribution of CBA Employees by Age

up to 28 19%

28-42 41,5%

43-62 34,8%

over 63 4,43%

CBA Employees' Work Trips (including locations) and Participation in Seminars, Courses, and Trainings

Number of Internal Trainings

49

Number of Participants in Internal Trainings

454

Number of External Trainings

84

Number of Participants in External Trainings

103

Qualifications Obtained by Employees

CIPM Certified Information Privacy Manager iapp

CFA Institute

FRM Global Association of Risk Professionals GARP

CIA Certified Internal Auditor

ACCA

CAMS Certified Anti-Money Laundering Specialist

Number of Internships Completed **86**

Gyumri State University

YSU

YSU Ijevan Branch

Public Administration Academy

AUA

Polytechnic

French University in Armenia

Russian-Armenian University

ASUE

ASUE College

Shirakatsy Lyceum

European College

Number of Interns from Foreign Universities **22**

Massachusetts Institute of Technology (MIT)

Yale University

University of Chicago

University of Minnesota - Twin Cities

Harvard University

The Wharton School - University of Pennsylvania

Warwick University

American University of Beirut

UWC Dilijan College

University of Notre Dame

The Fletcher School at Tufts University

Center for Economic Research and Graduate Education of Charles University - Economics Institute (Czech Republic)

McGill University

University of California, Davis

LUISS Guido Carli (Rome, Italy)

AUA, MSE

University of Edinburgh

TECHNOLOGIES

We attach great importance to the introduction, implementation, and adoption of the best technologies in the Bank to keep pace with a rapidly developing world and provide the best working environment for our employees to be able to timely and correctly address present challenges.

SR: process review and automation, introduction of electronic signatures, hybrid work capabilities

Some of the Central Bank's processes have been digitized and implemented under electronic signature, buta process automation program is being implementedfor the entire Bank as part of the transformation program and will be launched in 2024.

In an effort to have data-driven solutions and processes, a data management center was established during the year. The goal of the Center is to develop an organizational data management model that will be universal. Five primary projects were approved in this area during the year. These will allowfor data management to be brought to the level of current operations.

SR: data governance based on quality data, using new technological solutions, integration, creation and widespread use of e-learning platforms

The projects pertain to data management regulation, principles, and strategy, data architecture, inventory, and knowledge improvement. Within the framework of the projects, the data flows of three departments have been inventoried, and a training course has been designed and implementedfor 15 data managers.

GOVERNANCE

In terms of governance, 2023 was a year of projects for the Central Bank.The primary emphasis has been on the transformation of the Central Bank, which has generally included the CBA priority of "strategy governance." The changes are related to CBA governance and transformation of culture. Today, an active transformation process has begun and isaimed at achieving strategic results. A Strategy and GovernanceDepartment has been established at the Central Bank and is responsible for major internal reforms. It covers the entire spectrum of internal process improvement, including strategic document management, project implementation, decision-making, and procurement.

SR: Flexible, responsive and regulary reviewed structure based on feedback and the need to respond to new challenges from a dynamically changing environment. The key to this structure will be the highly motivated individual, rather than job description

The key to this structure will be the highly motivated individual, rather than job descriptionIn accordance with this logic, a distinction has been made between the bodies implementing public policy at the Bank (departments) and those concerned with internal management (directorates). This allows professional activities to be freed from the burden of managing other functions, allowing directors to focus on the development of their areas. In order to create a structure that is flexible and quick to respond to challenges, we conductedpilot implementations of structures in three autonomousdivisions during the year.As mentioned, a data management center was created for the purpose of managing and regulating data, and intra-departmental work was carried out within the framework of project management. These were important steps toward the creation of a flexible structure.

SR: Transformation the institute of executive clerks by involving highly efficient team specialist

In continuing with structural reforms, the executive assistance system was also completely transformedin 2023, and a system of professional assistants was created. The internal processes of the Central Bank have become more efficient as a result.

SR: Effective decision-making formats: facilitating team-based collegial decision-making of the Board, Executive Committee, committees, as well as consultative bodies with the involvement of international experts,oversight by international observers

A document titled "Principles of Formation of Committees and Requirements for the Organization of Meetings at the Central Bank of the Republic of Armenia" was developed as part of the work carried out to improve the decision-making process at the Central

Bank of Armenia. The document establishes uniform principles and clear requirements for the preparation and holding of meetings, which will contribute not only to the proper organization of work, but also to increasing the level of responsibility of committee secretaries, emphasizing the role of the new institute of secretaries. As a result, we will have processes contributing to the formation and delegation of responsibility.

SR: Project management culture

With regard togovernance transformation, the Central Bank started the work of introducing project culture back in 2022. After the formation of the relevant work unit, in 2023, the procedurefor the project process was adopted, projects were inventoried, priorities and management mechanisms were defined and classified, and the roles and responsibilities of each member of the project team during the implementation of the project were determined, which further simplified the work and collaboration process of the project teams. One of the most important steps in the transformation program was the creation of a steering committee, which discusses, approves, and monitors projects on a weekly basis.The project steeringcommittee actively works to ensure projects are being properly managed. Ideas proposed by our employees are presented to the project steering committee through the ideas collection platform and are implemented if approved.

For modern project teams to work effectively, it is essential that they be composed of members with diverse functional experience who can jointly implement and deliver the project. To this end, cross-functional teams have been formed at the Central Bank in connection with a number of projects.

In 2023, in order to develop a project mindset, projects defined by the CBA Strategy were implemented through the JIRA and Confluence platforms, and project teams began using the platforms for collaboration, in line with the Central Bank's teamwork style.

SR: Introduction of medium-term project budget

The Central Bank's budgeting policy was approved in 2022 and fully implemented in 2023, marking the beginning of project budgeting at the Central Bank. Major projects aimed at the development of the Bank are implemented in accordance with and using the principles of project budgeting.

SR: Accountable and transparent procurement function

The Central Bank's procurement function plays an important role in ensuring the effective operation of the bank. Efforts to modernize and improve processes are aimed at making the procurement function accountable and transparent, ensuring maximum value for money, and increasing stakeholder satisfaction and overall productivity.

A number of initiatives were implemented to this end in 2023. These include the introduction of more measureable criteria for the qualification of tender participants and the publication of bid evaluation methodologies with the aimof ensuring the fairness, objectivity, and price-quality ratio of bid evaluations and promoting the participation and trust of external partners. The total property value analysis method is used, meaning decisions are made taking into account long-term costs and ensuring maximum value for money.A

procurement database is beingcreated and centralized, allowing for comprehensive analysis and reporting.

About 70% of purchases in 2023 were made through the tender procedure, a figure that has not changed from last year. About 110 tenders were organized, which is about 25% more than last year. The average participation rate also increased compared to the previous year, amounting to 3.4 bidders instead of 2.8.

PURCHASES

made through tender procedures

70% in 2022: 70%

tenders

110 compared to 2022: +25%

average participation in tenders

3,4 participants in 2022: 2,8

NUMBER OF TENDERS

Type	2022	2023
Open Tender	16	41
Two-Stage Open Tender	2	1
Request for Quotation	27	8
Public Tender	19	34
Closed Tender	16	24
Totals	**80**	**108**

AVERAGE PARTICIPATION

Type	2022	2023
Open Tender	2.3	3.0
Two-Stage Open Tender	4.0	6.0
Request for Quotation	2.0	2.0
Public Tender	4.1	4.0
Closed Tender	1.8	2.0
Totals	**2.8**	**3.4**

04 CBA STRATEGIC PRIORITIES: COMMUNICATION

Internal Communication

Feedback-based communication is given special importance within the transformation plan. There was therefore a focus on internal communication in 2023, and an active communication policy was adopted.

Communication has continued with a new rich set of tools and new approaches, and we value the involvement and awareness of each of our employees in this development.

The following new tools were used during the year to increase the effectiveness of communications:

- full team gatherings ("*TIMMIJ*"),
- "Ask me anything" online meetings with The Governor,
- Departmental huddle meetings.

In 2023, there were two full team gatherings, known as "*TIMMIJ*" – *timayinmijotsarum*("team event"). The purpose of these full team gatherings is to ensure free discussion and interactive communication between the Governor of the Central Bank, other leaders, and staff regarding general provisions of the Central Bank's development. During these team events, the Bank's transformation plan and important projects and upcoming commitments in that regard were presented to the team under the leadership of the Central Bank Governor and with the participation of managers, giving team members the opportunity to share their thoughts and ask questions about the changes being implemented.

The next internal communication tool is the "Question for the Governor" online meetings, during which any team member has the opportunity to ask a question to the Central Bank Governor. Questions are collected in advance and answered during the online meetings.

The intradepartmental meeting format was also introduced in 2023. Under this format, the head of anautonomouswork unitinitiates a discussionmeeting andinforms the employees of the unit offuture plans and changes taking place at the Bank.

External Communication

As mentioned above, a proactive communication approach was adopted as part of the transformation plan. Our goal is to maintain the trust of the public and our partners through the consistent performance of the actions we have outlined. We communicate with the public through decisions, press conferences, research, continuous publication of reports, and active communication on social networks.

One of the goals of the Central Bank is to ensure its high reputation, which is achieved through transparent communication, making our policy more understandable to the public and maintaining two-way communication with our beneficiaries. With the help of external communication tools, we also inform the public about the decisions made by the Central Bank, including their grounds and logic, thereby allowingconstituents to visualize the impact of these decisions on their living standards and the consequences of future decisions.

SR: CBA image development and branding

In 2023, the Central Bank began to implement changes in the communication format introduced in previous years. Communications with the public have become more transparent, direct, and informative. During the year, work was carried out toward updating the image of the Central Bank, and this is reflected in the more uniform style and clear presentation of information of recent Central Bank communications.

SR: Publications on the achievements of the Central Bank

A noteworthy event organized by the Central Bank in 2023 was the series of events dedicated to the 30th anniversary of the Armenian dram.

On the occasion of the 30th anniversary of the Armenian dram, on September 2-3, the Central Bank jointly organized the "30 Years of Armenian Dram: Reflecting on the Past and Navigating the New Digital Era" high-level symposium with the Reinventing Bretton Woods Committee and the Union of Banks of Armenia at the Dilijan Research Center. Representatives of international financial institutions, central/national banks, and academic circles were invited to the two-day conference.

In 2023, the Central Bank significantly expanded its presence on social networks, sharing the policies implemented by the Bank in accessible and varied formats, including videos and other interactive materials.

The number of followers of the Central Bank's Facebook page exceeded 16,000 at the end of the year, compared with 14,000 as of January 1, 2022, and the number of LinkedIn followers increased from 8,000 to 12,000.

14.000 > 16.067
followers

8.000 > 12.620
followers

Press Conferences and Events	Interviews/ Reports	Written Media Inquiries	Materials/Inquiries from Reputable International Periodicals
10	10/24	82	6

Response Rate	Inquiries Received Through Website	Inquiries Received Via Social Media	Press Releases
3.8 days	347	163	65

05 OTHER ISSUES

- Currency Issuance, Organization of Money Circulation
- International Reserves Management
- Statistics
- Organizing and regulating the fight against money laundering and terrorism finance

CURRENCY ISSUANCE, ORGANIZATION OF MONEY CIRCULATION

In order to ensure uninterrupted money circulation in the Republic of Armenia, new technical requirements have been established forcommercial bankcash centers. As of March 31, 2023, the Central Bank has been providingcash servicesto commercial banks only through the cash centers of commercial banks.

As a result of the changes, commercial banks operating in the Republic of Armenia have been equipped with modern equipment for counting and sorting banknotes that is included in the European Central Bank's list of equipment that has passed appropriate testing.

Thanks to these changes, commercial banks have been providing uninterrupted cash service to customers with cash sorted using the machines installed in their cash centers. As a result, the volume of cash counter-transfers from commercial banks to the Central Bank and vice cross-shippinghas decreased.

Figure 2

Central Bank Turnover in 2023

Yerevan Regional Cash Center

95.6%

Dilijan Regional Cash Center

2.5%

Sisian Regional Cash Center

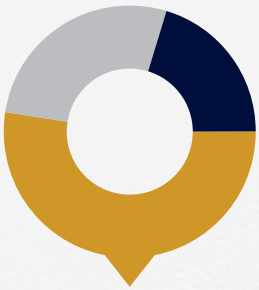
1.9%

Changes in the Type Structure of Cash Outside the Central Bank

1,000 ֏	2,000 ֏	5,000 ֏	10,000 ֏	20,000 ֏	50,000 ֏
▲ +2,9%	▼ -30.3%	▲ +4,0%	▲ +28,1%	▲ +13.2%	▲ +37,9%
				weight in overall volume 71.5%	

Mass of Coins in Circulation

+2.68 billion ֏

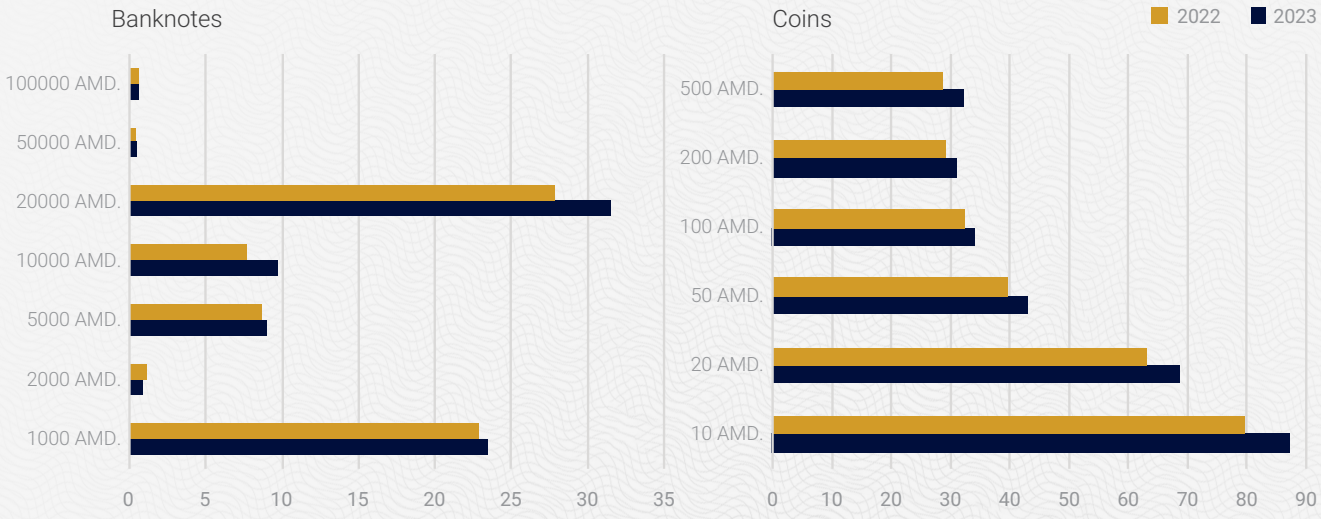


200 ֏	weight in overall volume
▲ +7.4%	20.3%

500 ֏	weight in overall volume
▲ +12.0%	52.5%

Figure 3

Type Structure of Banknotes and Coins as of the End of 2022-2023, by Quantity (mlns.)



Throughout the year, the Central Bank ensured that demand for cash in the economy was fully met in the necessary volumes, denominations, and quality and within the prescribed timelines.

Within the framework of the fight against counterfeiting, the Central Bank continued cooperation with law enforcement agencies.

In the Central Bank, detection and examination of counterfeit currency was carried out, as a result of which the law enforcement agencies were provided with relevant information on the methods of counterfeiting and execution.

The Central Bank continues to sell collector coins and other numismatic values reflecting the history and culture of Armenia through the the sales salon “Numismatist”.

GIAN MARIA MILESI-FERRETTI, Senior Fellow at the Brookings Institution:

“I know that efforts are being made to implement a very modern and, I must say, multi-level system, and I find this quite impressive for a country whose currency is only 30 years old. I think one of the advantages of starting from scratch is that when designing the system, you can take the best of what is already there. And I see a lot of young talent here at the Central Bank of Armenia, many of whom have been trained abroad. You have a country with a very large diaspora, and that makes you much more open to outsiders than is the case in many other countries, which are much more closed. I think this can provide huge benefits.”

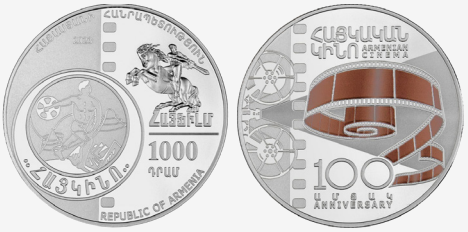
VACHE GABRIELYAN, Dean of the College of Business and Economics at the American University of Armenia, former Deputy Prime Minister of Armenia:

“The Central Bank is an important institution that always works professionally in terms of ensuring both price and financial stability. I would like to see them continue their zealous efforts for years to come.”

NUMISMATIC VALUES

30 YEARS OF NATIONAL CURRENCY

November 22, 2023 marked the 30th anniversary of the introduction of the Armenian dram. On the occasion of this event of great importance for the state, the Central Bank of Armenia issued a“30 Years of National Currency” commemorative coin, as well as a series of circulating commemorative coins consisting of six types of coins.



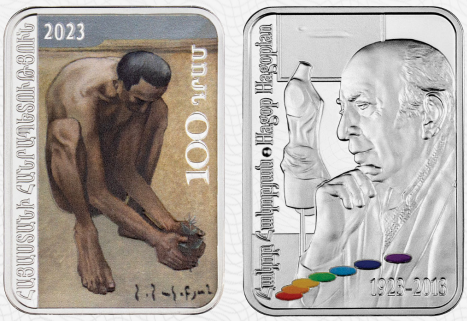
100TH ANNIVERSARY OF FOUNDATION OF ARMENIAN CINEMA

Valuing Armenian film art as a vital cultural component of the Armenian people, the Central Bank of Armenia issued a commemorative coin dedicated to the 100th anniversary of the founding of Armenian cinema.

"ARARAT-73" – 50TH ANNIVERSARY OF GOLDEN DOUBLE

In connection with this anniversary, the Central Bank of Armenia hosted and honored the famous “Ararat-73” football players Eduard Markarov, Sergey Poghosyan, Sergei Bondarenko, NorayrMesropyan, and Arkady Harutyunyan.

100TH BIRTH ANNIVERSARY OF HRANT SHAHINYAN



100TH BIRTH ANNIVERSARY OF HAGOP HAGOPIAN

INVESTMENT DRAM

During the reporting year, the process of issuing “NoyanTapan” (“Noah’s Ark”) silver and gold investment coinsand their sale in international investment markets continued.

“Noyan Tapan” (“Noah’s Ark”) Silver

number sold
1.416.228

1-ounce coins
51%

“Noyan Tapan” (“Noah’s Ark”) Gold

number sold
23.766

1-gram coins
14.751

INTERNATIONAL RESERVES

RA International Reserves

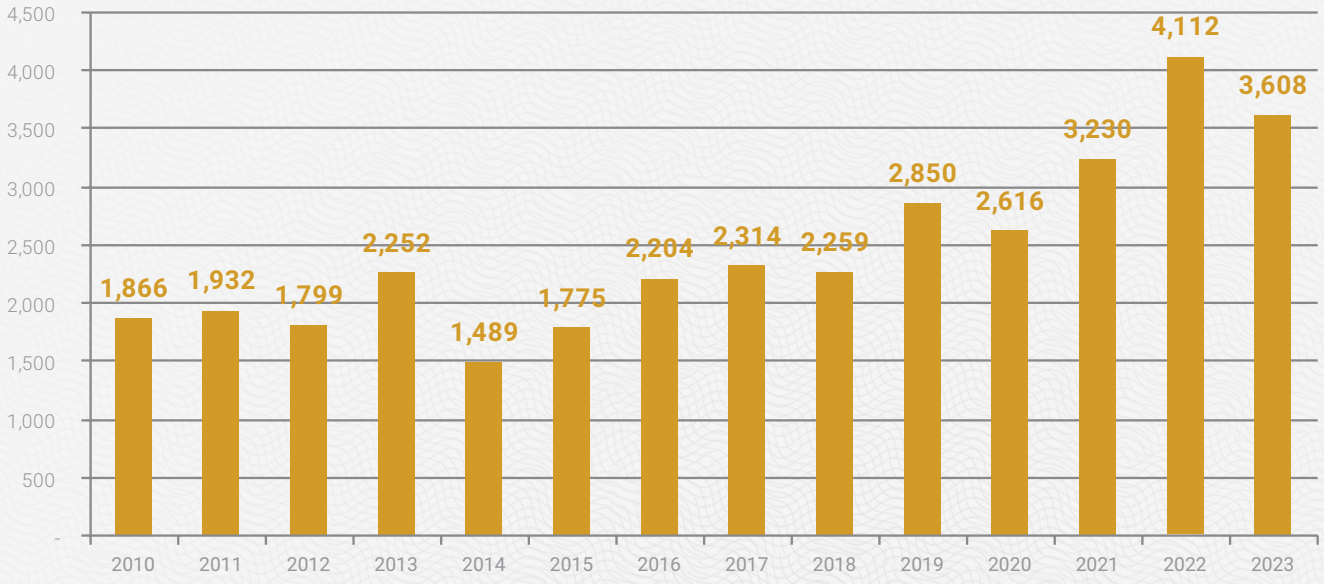
3,608 MILLION US DOLLARS

in 2023

-504 MILLION US DOLLARS

Figure 4

RA International Reserve Levels



STATISTICS

In 2023, the Central Bank of Armenia ensured thedisseminationof timely and reliable data and also worked on expanding the scope of published statistical data, ensuring the calculation and availability of new indicators full, automatationof the processing and compiling collected statistics, improving the quality of statistical data, and improving the methodology of produced statistics and aligningwith international standards.

The publication of new indicators aims to provide the public with more comprehensive information about the Armenian economy, including a number of new indicators related to monetary, financial sector, and financial stability statistics, as well as statistics on the external and real sectors. In particular, the results of the Central Bank's surveys on credit conditions of RA lenders[1] and inflation perceptions and expectations of RA households[2] were published for the first time. The Central Bank of Armenia also published a servicing schedule for the principal amount of Armenia's external debt in accordance with the timing of future repayments and sectors of the economy. Debt-service payment schedule will provide an opportunity to study the flows of planned future repayments of foreign obligations secured by RA entities at the moment[3].

New indicators related to loans issued and deposits attracted by RA financial institutions have been published. In particular, statistical data were published for RA banks regardingloans granted to small and medium-sized businesses, the distribution of the loan portfolio across the marzes of the Republic of Armenia and interest rates onloan and deposit portfolios. Additionally, statistics on leasing and factoring operations were expanded. Statistics related to the operations of insurance companies have been expandedbased on user, with the main performance indicators being presented according to insurance class, and a detailed description of some financial indicators[4].

A large-scale household survey initiated in December 2022 and aimed at increasing the accuracy of remittance estimations was completed and summarized in 2023. The ratios used in the compilation of remittancestatistics in the balance of payments were revised based on the survey results thereby enhancing the reliability of the statistics.With the goal of continuously improving the reliability and coverage of the balance of payments of the Republic of Armenia,reducing errors and omissions, and more accurately evaluating cash flows to the Republic of Armeniafrom abroad, in 2023 the Central Bank of Armeniaconducted a survey among non-profit organizations regarding financial resources received from abroad. Adjustments were made to the secondary income and capital transfers accountsof the balance of payments for 2017-

1 See https://www.cba.am/am/SitePages/statssbankslending.aspx

2 See https://www.cba.am/am/SitePages/statssipehouseholds.aspx

3 See https://www.cba.am/am/SitePages/statexternalsector.aspx

4 See https://www.cba.am/am/SitePages/statfinorg.aspx

2022 based on the results of the survey. This survey was another step in the direction of using the statistical indicators published by the Central Bank to achieve as true and accurate picture of financial flows as possible.

In 2023, changes were initiated to Reporting Form No. 24 collected from commercial banks, which will make it possible to obtain more detailed data on the purposes of the country's external flows. The work of changing the report is in progress and will continue in 2024.

From 2023, the Central Bank has started publishing the results of a sample study aimed at assessing the perceptions and expectations of RA households regarding inflation. The purpose of the study is to:

- evaluate the perceptions of RA households regarding the current level of inflation as compared to the same period last year,
- estimate inflation expectations for the next 12 months, and
- obtain estimates of households' expected consumption behavior based on inflation expectations.

As a result of the close collaboration betweenthe Central Bank of Armenia, IMF experts, and specialists from the RA Statistical Committee and the State Cadastre Committee, a methodology for calculating the housing price index based on international best practices and methodological provisions was introduced in the Republic of Armenia. In 2024, the Central Bank of Armenia has already initiated the calculation and publication of RA housing price indexes for the marzes of the Republic of Armenia, as well as for individual zones in the city of Yerevan.

ORGANIZATION AND REGULATION OF THE FIGHT AGAINST MONEY LAUNDERING AND TERRORISM FINANCING

Strategic Analysis

The following strategic analyses were carried out:

- Analysis of the involvement of RA financial institutions in transactions related to cryptoassets and thecryptoassets market existing in Armenia,
- Analysis of the trends in the laundering of funds obtained as a result of card fraud,
- Study on the vulnerability of legal entitiesto ML/TF,
- Studyon theML/TF risks associated with high-risk banking sectors, including non-resident clients and cash transactions,
- Analysis of the fulfillment of obligations related to money transfers,
- Examination of the quality of STRs submitted by reporting entities.

The results and relevant conclusions of the analyses were provided to the relevant stakeholdersin particular, to reporting entitiesto enable them to take measures aimed at eliminating the identified deficiencies, as well as to supervisory and law enforcement authorities to allow them to carry out effective and proportionate actions.

Cooperation Framework

A new system for collecting statistical data provided by RA agencies to the Central Bank related to combating ML/TF was introduced within the framework of the "Financial Intelligence Data Exchange Platform" operating between the FMC and the RA agencies involved in the fight against ML/TF.

A representative of the FMC was re-elected to the position of Vice-Chair of the Council of Europe's MONEYVAL committee for a two-year term.

For further details on the fight against money laundering and terrorist financing, see the 2023 Annual Report on Activities of the Financial Monitoring Center.[1]

1 https://www.cba.am/am/SitePages/fmcpublicannual.aspx

VISITOR CENTER

Visitors

in 2023

14 159

compared to 2022

+15.29%

students **75,5%**

teachers **8,7%**

other individuals **15,6%**

visitors from educational institutions **69%**

guests **30,9%**

“DAY AT THE CENTRAL BANK” PROGRAM

YEREVAN

19

servicemembers/students and lecturers

ԴԻԼԻՋԱՆ

72

servicemembers/students and lecturers

PAN-EUROPEAN NIGHT OF MUSEUMS AND INTERNATIONAL MUSEUM DAY EVENTS

1417

individuals

TRAVELING EXHIBITION IN CITY OF APARAN

867

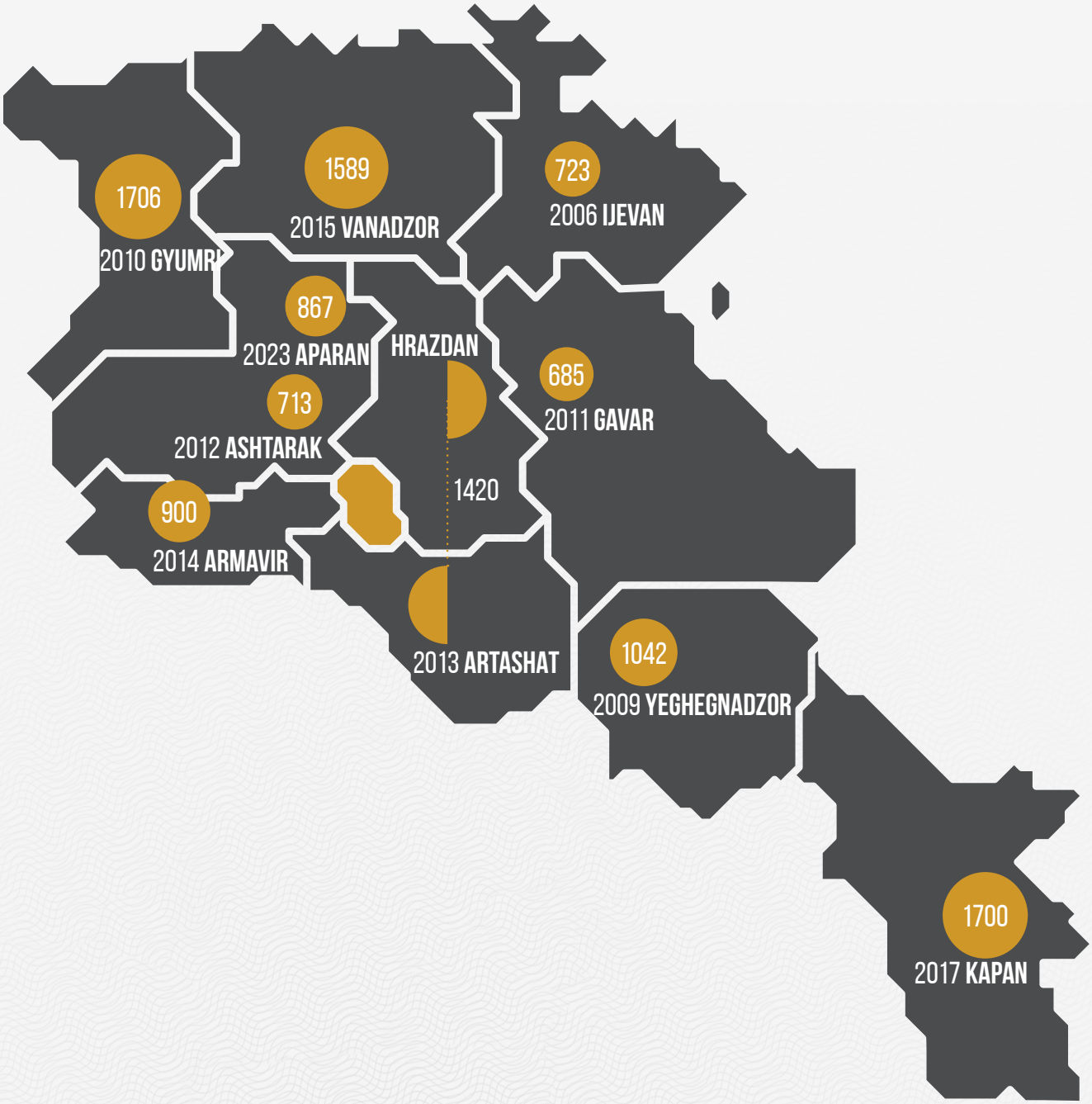
visitors

NUMBER OF VISITORS TO WEBSITE

34 200

users

TIMELINE AND GEOGRAPHY OF TRAVELING EXHIBITIONS



06 ANNUAL CONSOLIDATED FINANCIAL STATEMENTS OF THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

Central Bank of the Republic of Armenia

International Financial Reporting Standards
Consolidated financial statements

for the year ended 31 December 2023
together with independent auditors' report

Contents

Independent auditor's report

Consolidated financial statements

Consolidated statement of comprehensive income 1
Consolidated statement of financial position 2
Consolidated statement of changes in equity 3
Consolidated statement of cash flows 4

Notes to the consolidated financial statements Notes to the consolidated financial statements

1. General information 5
2. Summary of material accounting policies 6
3. New accounting pronouncements 14
4. Interest income 14
5. Interest expense 14
6. Net foreign exchange gain/(loss) 15
7. Net gain/(loss) on derivatives 15
8. Net gain/(loss) on financial instruments at fair value through profit or loss 15
9. Other income 15
10. Cost of production of banknotes, coins and numismatics 15
11. Other expenses 16
12. Placements and investments with banks and other financial institutions 16
13. Financial instruments at fair value through profit or loss 20
14. Derivative financial instruments 20
15. Investments 21
16. Operations with the International Monetary Fund 24
17. Property and equipment 26
18. Intangible assets 27
19. Other assets in domestic currency 27
20. Deposits and accounts of financial and other institutions 28
21. Other borrowed funds 28
22. Other liabilities in domestic currency 29
23. Due to the Government of the Republic of Armenia 29
24. Debt securities issued 29
25. Management of capital 30
26. Commitments 30
27. Segment information 31
28. Related party transactions 33
29. Cash and cash equivalents 34
30. Fair value of financial instruments 34
31. Risk management 37
32. Maturity analysis 47
33. Changes in liabilities arising from financing activities 49

KPMG Armenia LLC
Erebuni Plaza business center, 8th floor
26/1 Vazgen Sargsyan Street
Yerevan 0010, Armenia
Telephone + 374 (10) 595 999
Internet www.kpmg.am

Independent Auditors' Report

To the Board of the Central Bank of the Republic of Armenia

Opinion

We have audited the consolidated financial statements of the Central Bank of the Republic of Armenia (the "Bank") and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at 31 December 2023, the consolidated statements of comprehensive income, changes in equity and cash flows for the year then ended, and notes, comprising material accounting policies and other explanatory information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2023, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards").

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants International Code of Ethics for Professional Accountants (including International Independence Standards) *(IESBA Code)* together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Republic of Armenia, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

KPMG Armenia LLC, a company incorporated under the Laws of the Republic of Armenia,
a member firm of the KPMG global organization of independent member firms affiliated with
KPMG International Limited ("KPMG International"), a private English company limited by guarantee.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

The engagement partner on the audit resulting in this independent auditors' report is:

Irina Gevorgyan
Managing Partner, Director of KPMG Armenia LLC

KPMG Armenia

KPMG Armenia LLC
29 March 2024

Consolidated statement of comprehensive income

For the year ended 31 December 2023

In thousands of Armenian Drams	*Note*	*31 December 2023*	*31 December 2022*
Interest income	4	92,439,735	71,322,598
Interest expense	5	(65,970,959)	(46,753,889)
Net interest income		**26,468,776**	**24,568,709**
Credit loss expense	12, 15	(17,762,863)	(637,181)
Net interest income after credit loss allowance		**8,705,913**	**23,931,528**
Fee and commission income		63,588	742,288
Fee and commission expense		(843,356)	(1,607,351)
Net foreign exchange gain/(loss)	6	30,907,114	(88,974,762)
Net gain/(loss) on derivatives	7	988,296	(1,568,357)
Net gain/(loss) on financial instruments at fair value through profit or loss	8	32,034,979	(3,237,206)
Other income	9	7,188,375	6,053,410
Loss on initial recognition of financial instruments		(936,557)	(62,733,413)
Cost of production of banknotes, coins and numismatics	10	(1,011,350)	(1,895,601)
Other expenses	11	(22,102,825)	(17,201,660)
Profit/(loss) before tax		**54,994,177**	**(146,491,124)**
Income tax expense		(2,385,159)	(2,351,700)
Profit/(loss) for the year		**52,609,018**	**(148,842,824)**
Profit/(loss) is attributable to:			
Owners of the Bank		52,043,339	(149,219,044)
Non-controlling interest		565,679	376,220
Other comprehensive income			
Items that may be reclassified subsequently to profit or loss			
Net unrealised gain/(loss) from changes in fair value of debt financial assets measured through other comprehensive income		392,704	(855,097)
Share of other comprehensive income/(loss) of associate		592,893	(369,973)
Changes in allowance for expected credit losses of debt financial assets at fair value through other comprehensive income	15	(13,739)	3,459
Net other comprehensive income/(loss) to be reclassified to profit or loss in subsequent periods		**971,858**	**(1,221,611)**
Items that will not be reclassified to profit or loss			
Share of other comprehensive income of associate		–	1,047,176
Net change in fair value of equity instruments at fair value through other comprehensive income		310,943	(302,844)
Total other comprehensive income not to be reclassified to profit or loss in subsequent periods		**310,943**	**744,332**
Other comprehensive income/(loss) for the year		**1,282,801**	**(477,279)**
Total comprehensive income/(loss) for the year		**53,891,819**	**(149,320,103)**
Total comprehensive income/(loss) is attributable to:			
Owners of the Bank		53,309,167	(149,676,703)
Non-controlling interest		582,652	356,600

These consolidated financial statements were approved by the Board of the Central Bank of the Republic of Armenia on 29 March 2024 and were signed by:

Armen Nurbekyan
Deputy Chairman of the Central Bank
of the Republic of Armenia

Anush Grigoryan
Chief Financial Officer of the Central Bank
of the Republic of Armenia

The accompanying notes from 1 to 33 are an integral part of these consolidated financial statements.

Consolidated statement of financial position

As at 31 December 2023

In thousands of Armenian Drams	*Note*	*31 December 2023*	*31 December 2022*
Assets			
Foreign currency assets			
Cash		14,617,804	18,056,895
Placements with banks and other financial institutions	12.1	690,018,686	932,129,803
Financial instruments at fair value through profit or loss	13	759,879,163	677,302,858
Financial assets measured at fair value through other comprehensive income	15.1	4,837,548	2,826,144
Investments at amortized cost	15.4	3,478,137	1,432,570
Placements with the IMF	16	70,151,013	69,884,514
Other assets		823,578	383,977
Total foreign currency assets		**1,543,805,929**	**1,702,016,761**
Domestic currency assets			
Placements and investments with banks and other financial institutions	12.2	855,626,560	724,565,781
Financial assets measured at fair value through other comprehensive income	15.2	171,728,588	63,270,394
Equity-accounted investees	15.3	34,533,590	33,420,114
Investments at amortized cost	15.5	16,328,176	–
Property and equipment	17	60,170,333	61,985,522
Intangible assets	18	2,736,615	2,962,153
Other assets	19	9,617,866	9,564,911
Total domestic currency assets		**1,150,741,728**	**895,768,875**
Total assets		**2,694,547,657**	**2,597,785,636**
Liabilities			
Foreign currency liabilities			
Deposits and accounts of financial and other institutions	20	497,600,553	763,578,548
Due to the Government of the Republic of Armenia	23	955,226	1,600,968
Derivative financial liabilities	14	190,283	1,168,708
Due to the IMF	16	216,245,204	218,099,731
Other borrowed funds	21	204,803,977	189,984,444
Other liabilities		162,741	188,491
Total foreign currency liabilities		**919,957,984**	**1,174,620,890**
Domestic currency liabilities			
Notes and coins in circulation		911,454,812	803,093,792
Deposits and accounts of financial and other institutions	20	431,966,944	368,710,450
Due to the Government of the Republic of Armenia	23	391,128,296	380,288,128
Debt securities issued	24	22,639,296	15,477,213
Other liabilities	22	3,523,865	3,669,054
Total domestic currency liabilities		**1,760,713,213**	**1,571,238,637**
Total liabilities		**2,680,671,197**	**2,745,859,527**
Equity			
Issued capital	25	100,000	100,000
General reserve		50,397,515	39,988,847
Promissory note issued by the Government	25	162,437,256	54,395,224
Other reserves	25	2,575,912	1,310,084
Accumulated deficit		(203,736,187)	(245,370,858)
Net assets attributable to owners of the Bank		**11,774,496**	**(149,576,703)**
Non-controlling interest		2,101,964	1,502,812
Total equity		**13,876,460**	**(148,073,891)**
Total liabilities and equity		**2,694,547,657**	**2,597,785,636**

The accompanying notes from 1 to 33 are an integral part of these consolidated financial statements.

Consolidated statement of changes in equity

For the year ended 31 December 2023

	Attributable to owners of the Bank							
In thousands of Armenian Drams	***Issued capital***	***General reserve***	***Promissory note issued by the Government***	***Other reserves***	***Accumulated deficit***	***Total***	***Non-controlling interest***	***Total equity***
Balance at 1 January 2022	**100,000**	**39,988,847**	**15,776,447**	**1,767,743**	**(96,151,814)**	**(38,518,777)**	**1,146,212**	**(37,372,565)**
Total comprehensive loss								
Loss for the year	–	–	–	–	(149,219,044)	(149,219,044)	376,220	(148,842,824)
Other comprehensive loss	–	–	–	(457,659)	–	(457,659)	(19,620)	(477,279)
Total comprehensive loss for the year	**–**	**–**	**–**	**(457,659)**	**(149,219,044)**	**(149,676,703)**	**356,600**	**(149,320,103)**
Extension of the promissory note by the Government of the RA (Note 25)	–	–	38,618,777	–	–	38,618,777	–	38,618,777
Total transactions with the Founder of the Bank	–	**–**	**38,618,777**	–	**–**	**38,618,777**	–	**38,618,777**
Balance at 31 December 2022	**100,000**	**39,988,847**	**54,395,224**	**1,310,084**	**(245,370,858)**	**(149,576,703)**	**1,502,812**	**(148,073,891)**
Total comprehensive income								
Profit for the year	–	–	–	–	52,043,339	52,043,339	565,679	52,609,018
Other comprehensive income	–	–	–	1,265,828	–	1,265,828	16,973	1,282,801
Total comprehensive income for the year	–	–	–	**1,265,828**	**52,043,339**	**53,309,167**	**582,652**	**53,891,819**
Extension of the promissory note by the Government of the RA (Note 25)	–	–	149,676,703	–	–	149,676,703	–	149,676,703
Proportion of 2023 profit subject to distribution in the form of set-off with the promissory note by the Government of the RA (Notes 15.2, 25)	–	–	(41,634,671)	–	–	(41,634,671)	–	(41,634,671)
Portion of 2023 profits allocated to general reserve	–	10,408,668	–	–	**(10,408,668)**	–	–	–
Total transactions with the Founder of the Bank	–	**10,408,668**	**108,042,032**	**–**	**(10,408,668)**	**108,042,032**	**–**	**108,042,032**
Decrease of share in a subsidiary	–	–	–	–	–	**–**	16,500	16,500
Total decrease of share in a subsidiary	–	–	–	–	–	**–**	**16,500**	**16,500**
Balance at 31 December 2023	**100,000**	**50,397,515**	**162,437,256**	**2,575,912**	**(203,736,187)**	**11,774,496**	**2,101,964**	**13,876,460**

The accompanying notes from 1 to 33 are an integral part of these consolidated financial statements.

In thousands of Armenian Drams	*Note*	*31 December 2023*	*31 December 2022*
Cash flows from operating activities			
Profit/(loss) before tax		**54,994,177**	**(146,491,124)**
Adjustments to reconcile (loss)/profit for the year to net cash flows			
Depreciation and amortisation	11, 17, 18	3,124,710	2,690,445
Impairment of intangible assets	11, 18	375,786	–
Loss from disposals		8,697	4,220
Interest income		(92,439,735)	(71,322,598)
Interest expense		65,970,959	46,753,889
Net gain/(loss) from foreign exchange translation	6	(28,805,603)	98,408,713
Net gain/(loss) from re-measurement of financial instruments at fair value		(32,034,979)	9,128,026
Loss on initial recognition of financial instruments		936,557	62,733,413
Credit loss expense	12, 15	17,762,863	637,182
(Income)/loss from investments in associate	15.3	(390,437)	356,692
Disposal of equity interest	9	(276,178)	(498,765)
Interest received		86,153,476	67,755,508
Interest paid		(65,343,486)	(45,202,967)
Income tax paid		(2,336,425)	(2,738,331)
Cash flows from operating activities before changes in operating assets and liabilities		**7,700,382**	**22,214,303**
Net (increase)/decrease in operating assets			
Placements with banks and other financial institutions in foreign currency		(526,538)	5,540,803
Financial instruments at fair value through profit or loss and derivative financial instruments		(24,036,981)	(95,084,290)
Placements and investments with banks and other financial institutions in domestic currency		(157,235,718)	122,303,165
Other assets		877,130	(1,070,348)
Net increase/(decrease) in operating liabilities			
Notes and coins in circulation		108,361,021	55,928,038
Deposits and accounts of financial and other institutions		(219,691,007)	185,818,972
Due to the Government of the Republic of Armenia		12,525,367	(26,813,667)
Other liabilities		419,363	(866,623)
Net cash flows (used in)/from operating activities		**(271,606,981)**	**267,970,353**
Cash flows from investing activities			
Purchase of property, equipment and intangible assets		(3,030,874)	(4,924,796)
Proceeds from sale of property and equipment		7,285	17,301
Acquisition of financial assets FVOCI and amortised cost		(3,549,139)	(1,411,103)
Disposal of equity interest		–	498,765
Decrease of share in subsidiary		16,500	–
Equity-accounted investees		–	(32,000,582)
Net cash flows used in investing activities		**(6,556,228)**	**(37,820,415)**
Cash flows from financing activities			
Loans received		20,921,532	85,612,170
Loans redeemed		(25,890,245)	(30,489,774)
Proceeds from issuance of debt securities		9,963,247	9,205,199
Repayment of debt securities issued		(3,000,000)	(3,500,000)
Lease payments		(121,282)	(105,804)
Net cash flows from financing activities		**1,873,252**	**60,721,791**
Effect of exchange rate changes on cash and cash equivalents		30,570,998	(155,372,254)
Net (decrease)/increase in cash and cash equivalents		**(245,718,959)**	**135,499,475**
Cash and cash equivalents at the beginning of the year	29	946,018,125	810,518,650
Cash and cash equivalents at the end of the year	29	**700,299,166**	**946,018,125**

The accompanying notes from 1 to 33 are an integral part of these consolidated financial statements.

1. General information

These consolidated financial statements have been prepared in accordance with IFRS Accounting Standards as issued by International Accounting Standards Board ("IFRS Accounting Standards") as at 31 December 2023 and for the year then ended for the Central Bank of the Republic of Armenia (the "Bank" or the "Central Bank") and its subsidiaries (together referred to as the "Group").

The Bank is a legal entity the sole founder of which is the Republic of Armenia.

The Bank operates in accordance with the Constitution of the Republic of Armenia, Law On the Central Bank of the Republic of Armenia (the "Law") and other laws of the Republic of Armenia.

The registered address of the Bank is 6 Vazgen Sargsyan Street, Yerevan 0010, Republic of Armenia. The average number of employees of the Bank during 2023 was 767 (2022: 753).

The Bank does not aim to earn profits. The financial results of the Bank's activities, as well as the structure of its assets, liabilities and equity are defined by the functions of the Bank.

In accordance with the Law the prime objective of the Bank is ensuring price stability and financial stability in the Republic of Armenia. In order to ensure price stability the Central Bank develops, approves and implements monetary policy programs. In addition to its prime objective, other objectives include:

- Ensure the stability, liquidity, solvency and other necessary conditions for sound operation of the financial system in the Republic of Armenia;
- Create and develop of an effective payment and settlement system;
- Issue the national currency of the Republic of Armenia and regulate its circulation;
- Organise and regulate anti-money laundering and anti-terrorism financing activities;
- Secure the conditions necessary for protecting the rights and lawful interests of consumers in the financial system;
- Ensure free and fair economic competition in the financial system and etc.

To accomplish its objectives the Central Bank:

- Acts as financial agent and advisor of the Government of the Republic of Armenia (the "Government");
- Licenses commercial banks and, in cases envisaged by the legislation, other entities, supervises and regulates their activities;
- Uses and manages international reserves of the Republic of Armenia and etc.

The Bank's largest subsidiaries as of 31 December 2023 are listed below:

Name	*Country of incorporation*	*Principal activity*	*Controlled, %*		*Date of establishment*
			2023	*2022*	
"Armenian Card" CJSC	Republic of Armenia	Payment and settlement services	55	56.25	March 2000
"Hayincassatsia" CJSC	Republic of Armenia	Transportation/ delivery of cash	100.00	100.00	April 1998
"National Mortgage Company" RCO CJSC	Republic of Armenia	Mortgage refinancing	100.00	100.00	June 2009
"Home for Youth" RCO CJSC	Republic of Armenia	Mortgage refinancing	100.00	100.00	February 2010
"Small and Medium Business Credit Support" CJSC	Republic of Armenia	Lending support	100.00	100.00	December 2010
"Vehicle Single Window" CJSC	Republic of Armenia	Insurance infrastructure support	100.00	100.00	December 2013
"Stak Money Transfer" CJSC	Republic of Armenia	Payment and settlement services	100.00	100.00	December 2017

Following to the Group's policy disclosed in Note 31, in March 2020 the Group announced its intention to dispose its investment in the subsidiary engaged in cash delivery/transportation activities through liquidation. As of 31 December 2023 the subsidiary was still under liquidation process.

1. General information (continued)

(a) Armenian economic environment

Throughout 2023 the inflationary environment in the Republic of Armenia has softened significantly due to the deflationary effects from the external sector and the contractionary monetary policy implemented by the Central Bank. The 12-month inflation decreased sharply during first half of the year forming around zero since the second half*.

During 2023 in Armenia the economic activity remains elevated in which circumstances the economic growth totaled 8.7%*. At the same time due to the impact of the high demand shaped by international visitors and large inflow of financial resources Armenia's currency market has experienced in average appreciation of the domestic currency which bolstered to softening of the inflationary environment.

Based on the current situation and in view of the principle of forward-looking policy implementation, the Central Bank of Armenia gradually eased monetary conditions, decreasing the policy rate by a total of 1.5 percentage point. The 12-month inflation decreased by 8.9 percentage point, reaching -0.6% at the end of the year. It is estimated that the 12-month inflation will be staying below the target and in the mid-term will gradually increase and stabilize around the 4% target*.

The Group continues to assess the effect of changing economic conditions on its activities, financial position and financial results.

* The information was brought from Status Report on Implementation of the Monetary Policy Program (Quarter 1, 2023 – Quarter 4, 2023) as approved under the decision No. 27 of the Board of the Central Bank of Armenia dated 20.02.2024.

2. Summary of material accounting policies

(a) Statement of compliance

The accompanying consolidated financial statements are prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards).

(b) Basis of measurement

The consolidated financial statements have been prepared under the historical cost convention as modified by the initial recognition of financial instruments based on fair value, and by the revaluation of financial assets at fair value through other comprehensive income, and financial instruments categorised at fair value through profit or loss, including derivative financial instruments. The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied by the Bank and its subsidiaries to all the periods presented, unless otherwise stated.

(c) Form of presentation of the financial statements

In exceptional circumstances detailed disclosure of the information about the operations which occur in the respective reporting period may lead to a loss of confidence spreading through the financial system of the Republic of Armenia as a whole. Accordingly, although the financial effects of such operations will be included into the consolidated financial statements of the Group, the Group may provide only limited disclosure in respect of such types of operations.

(d) Functional and presentation currency

The national currency of the Republic of Armenia is the Armenian Dram ("AMD"), which is the functional currency of the Bank and each of the Group's consolidated entities and is the currency in which these consolidated financial statements are presented. All financial information presented in AMD has been rounded to the nearest thousand unless otherwise indicated.

(e) Use of estimates and judgments

In the process of applying the Group's accounting policies, management has used its judgments and made estimates in determining the amounts recognised in the consolidated financial statements. The most significant use of judgments and estimates are as follows:

Fair value

Where the fair values of financial assets and financial liabilities recorded in the consolidated statement of financial position cannot be derived from active markets, they are determined using a variety of valuation techniques that include the use of mathematical models. The input to these models is taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values.

2. Summary of material accounting policies (continued)

(e) Use of estimates and judgments (continued)

Assessment of impairment

The measurement of impairment losses across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances. The Group's expected credit losses ("ECL") calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting judgements and estimates include:

- The Group's internal credit grading model, which assigns PDs to the individual grades;
- The Group's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime ECL ("LTECL") basis and the qualitative assessment;
- Development of ECL models, including the various formulae and the choice of inputs;
- Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on probability of defaults ("PD"), exposure at defaults ("EAD") and loss given defaults (LGD);
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

(f) Changes in material accounting policies

The Group has not early adopted any new standards, interpretations or amendments that have been issued but are not yet effective for these consolidated financial statements.

Certain amendments and interpretations apply for the first time in 2023, but do not have significant impact on the Group's consolidated financial statements and accounting policies.

(g) Material accounting policy information

The Group adopted Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2) from 1 January 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in the consolidated financial statements.

The amendments require the disclosure of "material", rather than "significant", accounting policies. The amendments also provide guidance on the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users need to understand other information in the financial statements.

Management reviewed the accounting policies and made updates to the information disclosed in Note 2 Material Accounting Policies (2022: Significant accounting policies) in certain instances in line with the amendments.

(h) Basis of consolidation

The consolidated financial statements comprise the financial statements of the Bank and its subsidiaries as at 31 December 2023. Subsidiaries are those investees that the Group controls. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Specifically, the Group controls an investee if and only if the Group has:

- Power to direct relevant activities of the investees that significantly affect their returns;
- Exposure, or rights, to variable returns from its involvement with the investees; and
- The ability to use its power over the investees to affect the amount of investor's returns.

Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated; unrealised losses are also eliminated unless the cost cannot be recovered. The Bank and all of its subsidiaries use uniform accounting policies consistent with the Group's policies.

A change in the ownership interest of a subsidiary, without a change of control, is accounted for as an equity transaction. Losses are attributed to the non-controlling interests even if that results in a deficit balance.

If the Group loses control over a subsidiary, any investment retained is recognised at fair value at the date of loss of control.

2. Summary of material accounting policies (continued)

(h) Basis of consolidation (continued)

The Group measures non-controlling interest that represents present ownership interest and entitles the holder to a proportionate share of net assets in the event of liquidation on a transaction by transaction basis, either at the non-controlling interest's proportionate share of net assets of the acquiree or fair value.

Associates

Associates are entities over which the Group has significant influence (directly or indirectly), but not control, generally accompanying a shareholding of between 20 and 50 percent of the voting rights. Investments in associates are accounted for using the equity method of accounting, and are initially recognised at cost. The carrying amount of associates includes goodwill identified on acquisition less accumulated impairment losses, if any. Dividends received from associates reduce the carrying value of the investment in associates. Other post-acquisition changes in Group's share of net assets of an associate are recognised as follows: (i) the Group's share of profits or losses of associates is recorded in the other income/other expense caption in the consolidated profit or loss for the year, (ii) the Group's share of other comprehensive income is recognised in other comprehensive income and presented separately, (iii) all other changes in the Group's share of the carrying value of net assets of associates are recognised in profit or loss within the other income/other expense captions.

However, when the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the associate.

(i) Foreign currency translation and presentation of foreign currency items

Transactions in foreign currencies are initially recognised in the functional currency, converted at the exchange rate published by the Bank at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the reporting date are recalculated at the exchange rate published by the Bank at the reporting date.

Gains and losses resulting from the translation of foreign currency transactions are recognised in profit or loss as net foreign exchange gain/(loss). Translation at year-end rates does not apply to non-monetary items that are measured at historical cost.

Non-monetary items measured at fair value in a foreign currency, including equity investments, are translated using the exchange rates at the date when the fair value was determined.

Differences between the contractual exchange rate of a transaction in a foreign currency and the exchange rate published by the Bank at the date of the transaction are included in the consolidated statement of comprehensive income.

As at 31 December 2023 and 31 December 2022, the exchange rates used for translating foreign currency balances were as follows:

	31 December 2023	***31 December 2022***
AMD / 1 US dollar	404.79	393.57
AMD / 1 Euro	447.9	420.06
AMD / 1 GBP	515.38	474.13
AMD / 1 SDR (Special Drawing Rights)	543.09	523.78
AMD / 1 JPY	2.86	2.98
AMD / 1 RUB	4.5	5.59

(j) Cash and cash equivalents

For cash flows statement perspective cash and cash equivalents are items which are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. The Group considers cash, nostro accounts with banks and SDR holdings in the IMF to be cash and cash equivalents. Funds restricted for a period of more than three months on origination are excluded from cash and cash equivalents. Cash and cash equivalents are carried at amortised cost.

2. Summary of material accounting policies (continued)

(k) Financial instruments – key measurement terms

The Group measures financial instruments, such as, financial instruments at fair value through profit or loss, financial assets measured at fair value through other comprehensive income and derivatives at fair value at each reporting date. Also, fair values of financial instruments measured at amortised cost are disclosed in Note 30.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The best evidence of fair value is price in an active market. An active market is one in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

Fair value of financial instruments traded in an active market is measured as the product of the quoted price for the individual asset or liability and the quantity held by the Group. This is the case even if a market's normal daily trading volume is not sufficient to absorb the quantity held and placing orders to sell the position in a single transaction might affect the quoted price. Valuation techniques such as discounted cash flow models or models based on recent arm's length transactions or consideration of financial data of the investees are used to measure fair value of certain financial instruments for which external market pricing information is not available.

Initial measurement

The Group classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortised cost;
- FVOCI;
- FVPL.

The fair value of financial assets on initial recognition, if considered different from transaction price, is measured by discounting contractual cash flow through refinancing rate or risk-free rate applicable for Republic of Armenia at the date of transaction. The difference between the fair value and nominal amount is recorded through profit or loss as loss on initial recognition of financial instruments, if the Bank is acting in its capacity of a Regulator of financial system. In cases when the Bank acts as a shareholder, the difference is recognised as additional investment in the equity of associates.

The Group classifies and measures its derivative and trading portfolio at FVPL. The Group may designate financial instruments at FVPL, if so doing eliminates or significantly reduces measurement or recognition inconsistencies.

Date of recognition

All regular way purchases and sales of financial assets are recognised on the settlement date. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the period generally established by regulation or convention in the marketplace.

Financial assets at fair value through profit or loss

Financial instruments classified as held for trading are included in the category "Financial instruments at fair value through profit or loss". Financial assets are classified as held for trading if they are acquired for the purpose of selling in the near term. Derivatives are also classified as held for trading unless they are designated and effective hedging instruments. Gains or losses on financial assets held for trading, including interest income on trading debt securities are recognised in profit or loss as net gain/(loss) on financial instruments at fair value through profit and loss.

In the normal course of business, the Group enters into various derivative financial instruments including futures, forwards and swaps in the foreign exchange and capital markets. Such financial instruments are held for trading and are recorded at fair value.

The fair values are estimated based on quoted market prices or pricing models that take into account the current market and contractual prices of the underlying instruments and other factors.

2. Summary of material accounting policies (continued)

(k) Financial instruments – key measurement terms (continued)

Placements with banks and other financial institutions, investments securities at amortised cost

The Group only measures placements with banks and other financial institutions and other financial investments at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows;
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI).

The details of these conditions are outlined below.

Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The SPPI test

As a second step of its classification process the Group assesses the contractual terms of financial asset to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Group applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

Debt instruments at FVOCI

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest revenue and foreign exchange gains and losses are recognised in profit or loss in the same manner as for financial assets measured at amortised cost. On derecognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

2. Summary of material accounting policies (continued)

(k) Financial instruments – key measurement terms (continued)

The ECLs for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the allowance that would arise if the assets were measured at amortised cost is recognised in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognised in OCI is recycled to the profit and loss upon derecognition of the asset.

Equity instruments at FVOCI

Upon initial recognition, the Group occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of equity under IAS 32 *Financial Instruments: Presentation* and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit or loss. Dividends are recognised in profit or loss as other income when the right of the payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment. Upon disposal of these instruments, the accumulated revaluation reserve is transferred to retained earnings.

Reclassification of financial assets

The Group does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Group changes the business model for managing financial assets. Financial liabilities are never reclassified.

Borrowings

Issued financial instruments or their components are classified as liabilities, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments. Such instruments include deposits and accounts of financial and other institutions, amounts due to the Government and the IMF, other borrowed funds and debt securities issued.

After initial recognition, borrowings are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the borrowings are derecognised as well as through the amortisation process.

(l) Repurchase and reverse repurchase agreements

Sale and repurchase agreements (“repo”) are treated as secured financial transactions.

Securities sold under sale and repurchase agreements are retained in the consolidated statement of financial position and, in case the transferee has the right by contract or custom to sell or repledge them, reclassified as securities pledged under sale and repurchase agreements. The corresponding liability is presented within deposits and accounts of financial and other institutions. The difference between the sale and repurchase price is treated as interest expense and accrued over the life of the repo agreements.

Funds provided to purchase securities under agreements to resell (“reverse repo agreements”) are recorded as placements with banks and other financial institutions. The difference between the sale and repurchase price, adjusted by interest and dividend income collected by the counterparty, is treated as interest income and accrued over the life of repo agreements using the effective interest method.

(m) Notes and coins in circulation

Notes and coins in circulation issued by the Bank are presented in the consolidated statement of financial position as a liability at nominal value. Printing and production costs of notes and coins are recognised in profit or loss as incurred. Cash in vault in domestic currency is deducted from notes and coins in circulation balance.

(n) Property and equipment

Property and equipment except for land are carried at cost less accumulated depreciation and any accumulated impairment. Land is carried at cost. Such cost includes the cost of replacing part of equipment when that cost is incurred if the recognition criteria are met. Likewise, when a major repair is performed, its cost is recognised in the carrying amount of the property and equipment as a replacement if the recognition criteria are satisfied.

2. Summary of material accounting policies (continued)

(n) Property and equipment (continued)

Where significant parts of property and equipment are required to be replaced at intervals, the Group recognises such parts as individual assets with specific useful lives and depreciates them accordingly.

All other repair and maintenance costs are recognised in profit or loss as incurred.

An item of property and equipment and any significant part initially recognised is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss when the asset is derecognised.

Depreciation

Depreciation of an asset begins when it is available for use. Depreciation is calculated on a straight-line basis over the following estimated useful lives:

Land and buildings:	
► Buildings	30-80 years
► Building technical systems	3-20 years
Networks, computer and other equipment	2-15 years
Vehicles	5 years

The residual value of an asset is the estimated amount that the Group would currently obtain from disposal of the asset less the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life. The assets' residual values and useful lives are reviewed and adjusted if appropriate, at the end of each reporting period.

(o) Taxation

The Bank is not subject to any taxes except for import duties. At the same time the Bank acts as a tax agent according to the procedures envisaged by the laws of the Republic of Armenia. The Group's subsidiaries are subject to income tax and other taxes on their operations in accordance with the laws of the Republic of Armenia. The applicable tax rate for subsidiaries is 18% (2022: 18%).

(p) Issued capital

Issued capital represents the authorised capital of the Bank, which is the property of and belongs to the Republic of Armenia and may not be pledged, confiscated or otherwise alienated against the obligations of the Republic of Armenia.

The non-interest bearing promissory note extended by the Government as envisaged by the article 11.4 of the Law to cover excess of the losses of the Group over its reserves is recognised as Promissory Note issued by the Government in the Equity of the Group. According to Law on Central Bank of Republic of Armenia in the event if, by the end of the financial year, the losses resulted in the Central Bank balance sheet exceed the aggregate amount of its reserves, the Government, within 30 days upon the date of the balance sheet publication, shall, as stated by law, grant noninterest bearing demand government ordinary promissory notes as a contribution to the Central Bank capital in an amount of exceeding sum.

The Group considers that the Bank does not have an enforceable right at the end of the year to claim receivables from the Government formed as a result of losses in accordance with the above Law. Such receivable is recognized at the time of the respective decision by the Government to cover the excess of losses.

(q) Profit allocation

The profit of the Group determined based on its consolidated financial statements shall be allocated as follows:

a) 20% of the profit shall be addressed to replenish the general reserve until its total amounts 25% of the broad money;
b) Appropriations shall be made to cover redemption expenses of the promissory note which have been previously issued by the Government to the Bank.

The balance of the profit of the Group remaining after hereinbefore deductions shall be paid to the state budget.

The calculation of the profit of the Group to be paid to the state budget shall not include positive difference of income and expense, generated from revaluation and acquisition of gold, SDR, foreign currency and their equivalents, adjusted to the extent of provisioning to recompense adverse results of previous year (Note 25).

2. Summary of material accounting policies (continued)

(q) Profit allocation (continued)

Group considers that the Law on the Central Bank of the Republic of Armenia gives no discretion to Bank on the distribution of the profits – the amounts are established by law, in substance, resulting in an automatic reduction in the amount of the promissory notes receivable from the Government after allocation to the general reserve.

Accordingly, the Bank recognises the liabilities to the RA Government, in the form of reduction of promissory notes issued in the period when profits are generated.

(r) Segment information

From 2023 the Bank decided to present segment information for better presentation of activities. Accordingly, comparative information is represented to conform to changes in presentation in the current year.

The Group has the following three strategic divisions, which are reportable segments. These divisions offer different services and activities, and are managed separately based on the Group's management and internal reporting structure:

- Activities of the Central Bank;
- Refinancing activities of subsidiaries;
- Other activities of subsidiaries.

(s) Interest income and expense

The Group calculates interest revenue on debt financial assets measured at amortized cost or at FVOCI by applying the effective interest rate to the gross carrying amount of financial assets other than credit-impaired assets, which is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or financial liability. The calculation takes into account all contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the effective interest rate, but not future credit losses. The carrying amount of the financial asset or financial liability is adjusted if the Group revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original effective interest rate and the change in carrying amount is recorded as gain/loss due to revision of cash flows presented within interest income/expense.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised using the original effective interest rate applied to the new carrying amount.

Interest income on financial assets measured at FVTPL is considered to be incidental to the Group's trading operations and is presented together with all other changes in the fair value in the consolidated statement of comprehensive income.

(t) Accounting for operations with the International Monetary Fund (the "IMF")

In accordance with the "Financial Organisation and Operations of the IMF" Pamphlet, each member of the IMF designates a fiscal agency (ministry of finance, central bank, or similar entity) to conduct financial transactions with the IMF and a depository (central bank or similar agency) to maintain the accounts of the IMF (the IMF No. 1 and No. 2 Accounts and the Securities Account).

In accordance with the *Law of the Republic of Armenia on Membership of the Republic of Armenia in the International Monetary Fund, International Bank for Reconstruction and Development, International Finance Corporation, International Development Association, European Bank for Reconstruction and Development, Multilateral Investment Guarantee Agency and International Center for Settlement of Investment Disputes*, the Bank acts as the fiscal agent of the Republic of Armenia in accordance with clause 1, article 5 of the IMF articles of agreement. The Bank also is considered to be a depository of the Republic of Armenia for operations and transactions with IMF.

In the case when central bank performs fiscal agent function, the amounts of assets and liabilities and results of transactions with the IMF are recorded in the statement of financial position and profit or loss of the central bank. When the central bank performs depositary function in operations with the IMF, all transactions are made through correspondent accounts of central bank, however balances outstanding as a result of these transactions and respective profit or loss are not reflected in the central bank's statement of financial position and profit or loss (Note 16).

3. New accounting pronouncements

A number of new accounting standards and amendments to accounting standards are effective for annual periods beginning after 1 January 2024 and earlier application is permitted; however, the Group has not early adopted the new or amended accounting standards in preparing these consolidated financial statements.

The following new and amended standards are not expected to have a significant impact on the Group's consolidated financial statements.

- Classification of Liabilities as Current or Non-Current and Non-Current Liabilities with Covenants (Amendment to IAS 1)
- Supplier Finance Arrangements (Amendments to IAS 7 and IFRS7)
- Lease Liability in a Sale and Leaseback (Amendments to IFRS 16).
- Lack of Exchangeability (Amendments to IAS 21).

4. Interest income

In thousands of Armenian Drams	***2023***	***2022***
Interest income from foreign currency assets		
Nostro accounts	31,882,861	8,803,333
Term deposits	1,191,441	529,084
Placements with the IMF	279,505	112,070
Investments at amortized cost	212,475	34,568
Financial assets measured at fair value through other comprehensive income	116,200	24,067
Other	62,861	27,951
Total interest income from foreign currency assets	**33,745,343**	**9,531,073**
Interest income from domestic currency assets		
Placements and investments with banks and other financial institutions	57,645,900	60,749,281
Financial assets measured at fair value through other comprehensive income	1,048,492	1,042,244
Total interest income from domestic currency assets	**58,694,392**	**61,791,525**
Total interest income calculated using effective interest rate	**92,439,735**	**71,322,598**

5. Interest expense

In thousands of Armenian Drams	***2023***	***2022***
Interest expense on foreign currency liabilities		
Other borrowed funds	6,261,258	3,211,764
Due to the IMF	6,148,866	2,658,422
Other	267	–
Total interest expense on foreign currency liabilities	**12,410,391**	**5,870,186**
Interest expense on domestic currency liabilities		
Due to the Government (Note 28)	50,748,868	39,198,869
Debt securities issued	1,938,088	1,111,089
Deposits and accounts of financial and other institutions	857,554	546,417
Other	16,058	27,328
Total interest expense on domestic currency liabilities	**53,560,568**	**40,883,703**
Total interest expense	**65,970,959**	**46,753,889**

6. Net foreign exchange gain/(loss)

In thousands of Armenian Drams	***2023***	***2022***
Net gain/(loss) from foreign exchange translation	28,805,603	(98,408,713)
Net gain on spot transactions	2,101,511	9,433,951
Total net foreign exchange gain/(loss)	**30,907,114**	**(88,974,762)**

Included in net gain from foreign exchange translation is a foreign exchange translation gain of AMD 27,493,538 thousand on financial instruments at fair value through profit or loss and loss of AMD 5,140,312 thousand on balances with the IMF respectively (2022: loss in the amount of AMD 144,770,310 thousand and AMD 39,431,976 thousand respectively).

7. Net gain/(loss) on derivatives

In thousands of Armenian Drams	***2023***	***2022***
Net gain/(loss) on swaps	988,296	(1,556,546)
Net loss on futures	-	(11,811)
Total net gain/(loss) on derivatives	**988,296**	**(1,568,357)**

8. Net gain/(loss) on financial instruments at fair value through profit or loss

In thousands of Armenian Drams	***2023***	***2022***
Net gain/(loss) on foreign securities under own management	31,764,287	(3,328,711)
Net gain on money market instruments under own management	270,692	91,505
Total net gain/(loss) on financial instruments at fair value through profit or loss	**32,034,979**	**(3,237,206)**

9. Other income

In thousands of Armenian Drams	***2023***	***2022***
Numismatic coins	713,262	1,080,320
Disposal of equity interest	276,178	498,765
Financial agency fee	13,031	136,396
Other	6,185,904	4,337,929
Total other income	**7,188,375**	**6,053,410**

During the year ended 31 December 2023, the amount of AMD 5,281,477 thousand included in “Other” line represents the revenue of one subsidiary of the Bank which renders plastic cards processing services (2022: AMD 3,828,581 thousand).

During the year ended 31 December 2023 the Bank recognised AMD 276,178 thousand income from the sale of equity shares in Armenia Securities Exchange (AMX). During the year ended 31 December 2022 the Bank received AMD 498,765 thousand income from the sale of equity shares in Armenia Securities Exchange (AMX). This consideration was received fully in cash. As a result, the Bank retains significant influence over AMX.

Financial agency fee represents fee which is obtained by the Bank as an agent of the Government in accordance with the agency agreements. Based on the conditions of the agency agreements the Bank provides loans to commercial banks and other financial institutions.

10. Cost of production of banknotes, coins and numismatics

In thousands of Armenian Drams	***2023***	***2022***
Production of banknotes and coins	501,817	1,160,410
Production of numismatic coins sold during the year	509,533	735,191
Total cost of production of banknotes, coins and numismatics	**1,011,350**	**1,895,601**

11. Other expenses

In thousands of Armenian Drams	***2023***	***2022***
Employee compensation, staff training and related payments	10,494,419	8,666,688
Depreciation and amortization	3,124,710	2,690,445
Repairs and maintenance	1,638,603	1,483,805
Professional services	871,590	195,697
Expenses on development and maintenance of payment system	489,918	485,720
Security, transportation and insurance expenses	260,051	388,870
Audit fees	103,600	68,680
Other	5,119,934	3,221,755
Total other expenses	**22,102,825**	**17,201,660**

During the years ended 31 December 2023 and 31 December 2022, the main line items of expenses included into "Other" line represent subscription fees, communication expenses, utilities, rent expenses and stationery of the Bank and its subsidiaries.

Amounts of employee compensation, staff training and related payments, depreciation and amortisation and repairs and maintenance expenses for the years ended 31 December 2023 and 31 December 2022 also include respective amounts of expenses of the Group's subsidiaries.

12. Placements and investments with banks and other financial institutions

12.1 Placements and investments with banks and other financial institutions in foreign currency

In thousands of Armenian Drams	***31 December 2023***	***31 December 2022***
Placements with banks and other financial institutions in foreign currency		
Nostro accounts	685,528,018	892,116,679
Term deposits	6,508,469	38,189,366
Margin requirements of derivatives	801,145	1,902,355
Allowance for ECL	(2,818,946)	(78,597)
Total placements with banks and other financial institutions in foreign currency	**690,018,686**	**932,129,803**

Concentration of placements with banks and other financial institutions in foreign currency

As at 31 December 2023 the Group had placements in one bank with individual balance exceeding 10% of total placements. The gross value of these placements as of 31 December 2023 amounted to AMD 514,587,544 thousand (31 December 2022: placements with three banks amounting to AMD 729,956,221 thousand).

Allowance for impairment of placements with banks and other financial institutions in foreign currency at amortised cost

An analysis of changes in the gross carrying value and corresponding ECL in relation to Placements with banks and other financial institutions in foreign currency during the years ended 31 December 2023 and 31 December 2022 is as follows:

	2023		***2022***	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Placements with banks and other financial institutions in foreign currency				
Gross carrying value as at 1 January	932,208,400	932,208,400	763,744,777	763,744,777
New assets originated or purchased	689,074,666	689,074,666	927,565,715	927,565,715
Assets repaid	(928,445,434)	(928,445,434)	(759,102,092)	(759,102,092)
At 31 December	**692,837,632**	**692,837,632**	**932,208,400**	**932,208,400**

12. Placements and investments with banks and other financial institutions (continued)

12.1 Placements and investments with banks and other financial institutions in foreign currency (continued)

In thousands of Armenian Drams	2023		2022	
	Stage 1	Total	Stage 1	Total
Placements with banks and other financial institutions in foreign currency				
ECL as at 1 January	78,597	78,597	108,684	108,684
New assets originated or purchased	46,735	46,735	28,279	28,279
Assets repaid	(33,358)	(33,358)	(16,332)	(16,332)
Changes to models and inputs used for ECL calculations	2,726,972	2,726,972	(42,034)	(42,034)
At 31 December	**2,818,946**	**2,818,946**	**78,597**	**78,597**

12.2 Placements and investments with banks and other financial institutions in domestic currency

In thousands of Armenian Drams	31 December 2023	31 December 2022
Placements and investments with banks and other financial institutions in domestic currency		
Repurchase agreements	350,370,301	234,708,585
Loans to resident financial institutions under arrangement with the KfW, the World Bank, Asian Development Bank and European Investment Bank	227,238,842	211,980,557
Mortgage refinancing	201,169,093	166,945,181
Loans to resident financial institutions financed by own funds	48,642,940	53,506,411
Deposits placed in commercial banks	29,822,501	34,504,138
Investments measured at amortised cost (corporate bonds)	–	24,378,947
Other loans	2,394,809	2,707,641
Allowance for ECL	(4,011,926)	(4,165,679)
Total placements and investments with banks and other financial institutions in domestic currency	**855,626,560**	**724,565,781**

Concentration of placements and investments with banks and other financial institutions in domestic currency

As at 31 December 2023 placements with four banks had balances individually exceeding 10% of total placements with banks and other financial institutions denominated in domestic currency (31 December 2022: two banks). The total balance of the concentration amounts to AMD 553,012,748 thousand (31 December 2022: AMD 354,963,645 thousand).

Collateral received under reverse repurchase agreements

The Group accepted securities on reverse repurchase agreements as collateral, which the Group is permitted to sell or repledge. As at 31 December 2023 amounts receivable under reverse repurchase agreements are with 12 resident bank (31 December 2022: 4 resident banks) and are collateralised by the following securities:

In thousands of Armenian Drams	Fair value as at 31 December 2023	Fair value as at 31 December 2022
Treasury bonds of the Government	358,660,589	221,850,168
Eurobonds issued by the Government	2,056,553	18,627,282
Corporate bonds	–	1,992,702
Total	**360,717,142**	**242,470,152**

12. Placements and investments with banks and other financial institutions (continued)

12.2 Placements and investments with banks and other financial institutions in domestic currency (continued)

Loans to resident banks and financial institutions

Loans to resident banks and financial institutions under the agreements with the KfW, Asian Development Bank (ADB), European Investment Bank (EIB) and the World Bank are provided by the Group to commercial banks and other financial institutions under the following programs which are financed by KfW Banking Group, EIB, ADB and International Bank for Reconstruction and Development (member of the World Bank):

- *SME Support.* The objective of the SME support Programs of KfW and the World Bank is to develop SMEs in Armenia, in particular by providing the necessary funding to the commercial banks and credit organisations in order to make lending to micro, small and medium size private enterprises efficient and profitable. Loans received from KfW during 2021 were to stimulate SME lending and to help to cope with the adverse economic effects of the COVID-19 pandemic. These Programs are implemented through introducing new loan tools (technologies) in partner banks and credit organisations and conducting trainings and development of qualified loan officers.

  "Agricultural Sector Support" loan program financed by KfW started in 2012 which has the objective to provide long-term funding and technical assistance to SMEs engaged in agriculture and private farmers.

  During 2014 a new loan was received from ADB within the framework of "Women Entrepreneurship Support Sector Development" Program. The main objective of the program is to stimulate entrepreneurship development among women by increasing the availability of domestic currency funds for women-owned SMEs through the financial system of the Republic of Armenia.

  During 2015 a new loan was received from EIB. The loan was fully used to cover the demand for lending to SMEs and middle capitalization enterprises in agriculture and tourism sectors through commercial banks and credit organisations. The next phase (in 2017) also included export support and climate change management component and required some actions from the side of sub-borrowers to mitigate the impact on the environment. In addition to previous two phases, the third phase of the program (during 2020 and 2021) included lending to production sector. During 2023 "Armenian Economic Resilience Facility" program (IV phase) has started. The aim of the program was providing financial resources to SMEs in agriculture, production and tourism sectors for green investments, enhancing women entrepreneurship, rural development, as well as financing digitalization projects.

  During 2016 a new loan was received under "Support for the financing of the Energy Efficiency in MSME sector" Program from KfW. The objective of the Program is to introduce and expand the offer of energy efficiency loans in Armenian financial institutions and to cover at the same time the demand for energy efficiency loans from micro, small and medium sized enterprises (MSME). The Program aims at contributing to the reduction of energy demand of Armenian MSMEs and the volume of CO2-emissions as well as to enhance the competitiveness of the enterprises.

- *Development of the Renewable Energies.* The overall objective of the Program financed by KfW is to contribute to the utilization of renewable energy by making loans available for private entities and enterprises. The resources of the first two phases were allocated to financing of Small Hydro Power Plants ("SHPP") construction and capacity increase, whereas the last four phases were aimed at financing of physical and legal entities constructing for own consumption small (up to 500 kw), as well as large-scale (up to 5MW) (licensed) solar photovoltaic stations and other types (biomass, wind) of renewable energy sources.

- *Development of sustainable housing market.* Starting from 2006 the purpose of the Program financed by KfW has been the expansion of sustainable lending to private households by commercial banks and credit organisations to either purchase or modernize housing as well as to promote rural and energy efficient housing loans. Within this program the Bank granted loans to its subsidiary which are eliminated as intragroup transaction.

Within the framework of the programs the Group selects eligible partner financial institutions (PFIs) using technical and financial criteria, and allocates funds to PFIs according to contracts signed with these counterparties. The PFIs define final beneficiaries and bear the risks for the disbursed loans.

12. Placements and investments with banks and other financial institutions (continued)

12.2 Placements and investments with banks and other financial institutions in domestic currency (continued)

The table below shows gross carrying values of the loans as at 31 December 2023 and 31 December 2022 for each program.

In thousands of Armenian Drams	***31 December 2023***	***31 December 2022***
KFW arrangements		
Support to Small and Medium Enterprises (MSME)	70,797,454	62,958,374
Promotion of Renewable Energies (RE)	41,351,040	42,435,908
Support for the Financing of the Energy Efficiency in MSME sector (EE)	16,853,456	15,471,923
Agricultural Sector Support (AF)	13,829,631	12,511,392
WB arrangements		
Access to Finance for Small and Medium Enterprises (AFSME)	6,724,967	7,221,781
ADB arrangements		
Women's Entrepreneurship Support Sector Development	5,825,853	5,435,329
EIB arrangements		
Private Sector Facility	71,856,441	65,945,850
Total loans to resident financial institutions under arrangement with the KfW, the World Bank, Asian Development Bank and European Investment Bank	**227,238,842**	**211,980,557**

As at 31 December 2023 loans to resident banks under the agreements with the KfW, the World Bank, ADB and EIB are provided to 15 domestic banks (31 December 2022: 15 domestic banks) and 11 financial institutions (31 December 2022: 10 financial institutions). As described in note 21, these loans represent a separate market segment and accordingly, at the initial recognition the Group does not discount them.

Mortgage refinancing has been provided to financial institutions with remaining maturity period up to 10 years (2022: 10 years). As at 31 December 2023 mortgage refinancing loans were collateralised with claims under loan agreements with the banks' and other financial institutions' customers in the amount of AMD 202,468,449 thousand (31 December 2022: AMD 167,548,595 thousand).

Deposits placed in commercial banks represent short-term placements made by the Group's subsidiaries in commercial banks.

Other loans in the amount of AMD 1,871,774 thousand (31 December 2022: AMD 2,162,793 thousand) are secured by real estate, in the amount of AMD 68,040 thousand (31 December 2022: AMD 82,339 thousand) are secured by movable property and other assets.

Loans to resident financial institutions financed by own funds represent loans to associates net of loss on initial recognition that are collateralised by assets of the associates.

Allowance for impairment of placements and investments with banks and other financial institutions in domestic currency at amortised cost

An analysis of changes in the gross carrying value and corresponding ECL in relation to Placements and investments with banks and other financial institutions in domestic currency during the years ended 31 December 2023 and 31 December 2022 is as follows:

	2023		***2022***	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Placements and investments with banks and other financial institutions in domestic currency				
Gross carrying value as at 1 January	728,731,460	728,731,460	910,347,073	910,347,073
New assets originated or purchased	496,935,758	496,935,758	447,086,512	447,086,512
Assets repaid	(350,955,813)	(350,955,813)	(628,702,125)	(628,702,125)
Write-off	(15,072,919)	(15,072,919)	–	–
At 31 December	**859,638,486**	**859,638,486**	**728,731,460**	**728,731,460**

12. Placements and investments with banks and other financial institutions (continued)

12.2 Placements and investments with banks and other financial institutions in domestic currency (continued)

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Placements and investments with banks and other financial institutions in domestic currency				
ECL as at 1 January	4,165,679	4,165,679	3,511,728	3,511,728
New assets originated or purchased	968,646	968,646	2,341,292	2,341,292
Assets repaid	(353,439)	(353,439)	(734,286)	(734,286)
Changes to models and inputs used for ECL calculations	14,303,959	14,303,959	(953,055)	(953,055)
Write-off	(15,072,919)	(15,072,919)	–	–
At 31 December	**4,011,926**	**4,011,926**	**4,165,679**	**4,165,679**

During 2023 placements and investments with banks and other financial institutions of AMD 15,072,919 thousand were written off in accordance with Government decree N 2326.

13. Financial instruments at fair value through profit or loss

In thousands of Armenian Drams	31 December 2023	31 December 2022
Assets		
Debt and other fixed-income instruments in foreign currency		
Foreign bonds	759,879,163	673,333,487
Foreign money market instruments	-	3,969,371
Total financial instruments at fair value through profit or loss in foreign currency	**759,879,163**	**677,302,858**

As at 31 December 2023 and 31 December 2022 foreign securities at fair value include:

In thousands of Armenian Drams	31 December 2023	31 December 2022
Government bonds	638,513,719	545,500,450
Other securities	121,365,444	127,833,037
Total	**759,879,163**	**673,333,487**

Debt securities at fair value through profit or loss are quoted US treasury bills and securities issued by governments of European countries, foreign banks and other financial institutions.

14. Derivative financial instruments

In thousands of Armenian Drams	31 December 2023	31 December 2022
Derivative financial liabilities		
Foreign currency swap contracts in foreign market	190,283	1,168,708
Total derivative financial liabilities	**190,283**	**1,168,708**

15. Investments

15.1 Financial assets measured at fair value through other comprehensive income in foreign currency

In thousands of Armenian Drams	*31 December 2023*	*31 December 2022*
Equity investments		
Foreign securities	2,581,114	2,254,480
SWIFT	3,736	3,736
Total equity investments	**2,584,850**	**2,258,216**
Debt instruments		
Corporate bonds in foreign currency	454,011	–
EU bonds of the Government of the Republic of Armenia	1,798,687	567,928
Total debt investments	**2,252,698**	**567,928**
Total financial assets measured at fair value through other comprehensive income in foreign currency	**4,837,548**	**2,826,144**

As at 31 December 2023 and 31 December 2022 within foreign securities there are equity securities classified as financial assets measured at fair value through other comprehensive income in foreign currency, which represent investment of one of the Group's subsidiaries into the development fund initiated and led by the KfW. The development fund was established with the aim to foster economic development and prosperity in the Southeast Europe region including the Republic of Armenia through the sustainable provision of additional development finance.

As at 31 December 2023 debt securities denominated in foreign currency and classified as financial assets measured at fair value through other comprehensive income in foreign currency represent coupon securities issued by one of Armenian banks.

An analysis of changes in the gross carrying values and associated ECLs in relation to debt securities at FVOCI in foreign currency during the years ended 31 December 2023 and 31 December 2022 is as follows:

	2023		*2022*	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Debt securities at FVOCI in foreign currency- EU bonds of the Government of the Republic of Armenia				
Gross carrying value as at 1 January	567,928	567,928	–	–
New assets originated or purchased	1,230,759	1,230,759	567,928	567,928
At 31 December	**1,798,687**	**1,798,687**	**567,928**	**567,928**

	2023		*2022*	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Debt securities at FVOCI in foreign currency- EU bonds of the Government of the Republic of Armenia				
ECL as at 1 January	6,613	6,613	–	–
New assets originated or purchased	14,606	14,606	6,613	6,613
Changes to models and inputs used for ECL calculations	324	324	–	–
At 31 December	**21,543**	**21,543**	**6,613**	**6,613**

	2023		*2022*	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Debt securities at FVOCI in foreign currency- Corporate bonds in foreign currency				
Gross carrying value as at 1 January	–	–	787,898	787,898
New assets originated or purchased	454,011	454,011	–	–
Assets repaid	–	–	(787,898)	(787,898)
At 31 December	**454,011**	**454,011**	**–**	**–**

15. Investments (continued)

15.1 Financial assets measured at fair value through other comprehensive income in foreign currency (continued)

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Debt securities at FVOCI in foreign currency- Corporate bonds in foreign currency				
ECL as at 1 January	–	–	3,709	3,709
New assets originated or purchased	5,133	5,133	–	–
Assets repaid	–	–	(3,709)	(3,709)
At 31 December	**5,133**	**5,133**	**–**	**–**

15.2 Financial assets measured at fair value through other comprehensive income in domestic currency

In thousands of Armenian Drams	31 December 2023	31 December 2022
Debt instruments		
Securities of the Government of the RA	9,291,332	8,875,170
Promissory note of the Government (Note 25)	204,071,927	54,395,224
Proportion of 2023 profit subject to distribution in the form of set-off with the promissory note by the Government of the RA (note 25)	(41,634,671)	–
Total debt instruments	**171,728,588**	**63,270,394**

The management believes that the carrying amount of the promissory note approximates its fair value (Note 25).

An analysis of changes in the gross carrying values and associated ECLs in relation to debt securities at FVOCI in domestic currency during the years ended 31 December 2023 and 31 December 2022 is as follows:

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Debt securities at FVOCI in domestic currency – securities of the Government of the Republic of Armenia				
Gross carrying value as at 1 January	8,875,170	8,875,170	9,680,244	9,680,244
New assets originated or purchased	705,243	705,243	–	–
Assets repaid	(289,081)	(289,081)	(805,074)	(805,074)
At 31 December	**9,291,332**	**9,291,332**	**8,875,170**	**8,875,170**

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Debt securities at FVOCI in domestic currency – securities of the Government of the Republic of Armenia				
ECL as at 1 January	40,413	40,413	46,776	46,776
Assets repaid	–	–	(1,394)	(1,394)
Changes to models and inputs used for ECL calculations	(6,455)	(6,455)	(4,969)	(4,969)
At 31 December	**33,958**	**33,958**	**40,413**	**40,413**

15.3 Equity-accounted investees

In thousands of Armenian Drams	31 December 2023	31 December 2022
Interest in associates	34,533,590	33,420,114
Total investments in associates	**34,533,590**	**33,420,114**

In January 2022 one of the Group`s subsidiaries invested AMD 32,000,582 thousand in 25% of the equity of one of the commercial banks of Armenia. As a result, the Group obtained significant influence over the investee.

15. Investments (continued)

15.3 Equity-accounted investees (continued)

The table below analyses in aggregate, the carrying amount and share of profit and OCI of these associates.

In thousands of Armenian Drams	***2023***	***2022***
Carrying amount as at 1 January	**33,420,114**	**950,369**
Investment in associate	-	32,000,582
Share of:		
– Profit/(loss)	390,437	(356,694)
– OCI	723,039	825,857
Carrying amount as at 31 December	**34,533,590**	**33,420,114**

15.4 Investments at amortized cost in foreign currency

In thousands of Armenian Drams	***31 December 2023***	***31 December 2022***
EU bonds of the Government of the Republic of Armenia	3,113,313	1,053,407
Corporate bonds in foreign currency	407,188	395,939
Allowance for ECL	(42,364)	(16,776)
Total investments at amortized cost	**3,478,137**	**1,432,570**

As at 31 December 2023 and 31 December 2022 debt securities denominated in foreign currency and classified as investments at amortized cost in foreign currency represent EU bonds issued by the Government of the Republic of Armenia.

As at 31 December 2023 and 31 December 2022 corporate bonds denominated in foreign currency and classified as investments at amortized cost in foreign currency represent coupon securities issued by two of Armenian banks.

An analysis of changes in the gross carrying values and associated ECLs in relation to investments at amortized cost in foreign currency during the years ended 31 December 2023 and 31 December 2022 is as follows:

	2023		***2022***	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Debt securities at amortized cost in foreign currency - EU bonds of the Government of the Republic of Armenia				
Gross carrying value as at 1 January	1,053,407	1,053,407	–	–
New assets originated or purchased	2,059,906	2,059,906	1,053,407	1,053,407
At 31 December	**3,113,313**	**3,113,313**	**1,053,407**	**1,053,407**

	2023		***2022***	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Debt securities at amortized cost in foreign currency - EU bonds of the Government of the Republic of Armenia				
ECL as at 1 January	12,545	12,545	–	–
New assets originated or purchased	24,598	24,598	12,545	12,545
Changes to models and inputs used for ECL calculations	496	496	–	–
At 31 December	**37,639**	**37,639**	**12,545**	**12,545**

	2023		***2022***	
In thousands of Armenian Drams	***Stage 1***	***Total***	***Stage 1***	***Total***
Debt securities at amortized cost in foreign currency - Corporate bonds in foreign currency				
Gross carrying value as at 1 January	395,939	395,939	–	–
New assets originated or purchased	11,249	11,249	395,939	395,939
At 31 December	**407,188**	**407,188**	**395,939**	**395,939**

15. Investments (continued)

15.4 Investments at amortized cost in foreign currency (continued)

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Debt securities at amortized cost in foreign currency- Corporate bonds in foreign currency				
ECL as at 1 January	4,231	4,231	–	–
New assets originated or purchased	–	–	4,231	4,231
Changes to models and inputs used for ECL calculations	495	495	–	–
At 31 December	**4,726**	**4,726**	**4,231**	**4,231**

15.5 Investments at amortized cost in domestic currency

In thousands of Armenian Drams	31 December 2023	31 December 2022
Debt instruments		
Securities of the Government of the Republic of Armenia	16,391,747	–
Allowance for ECL	(63,571)	–
Total debt instruments	**16,328,176**	**–**

As at 31 December 2023 debt securities denominated in domestic currency and classified as investments at amortized cost in domestic currency represent securities issued by the Government of the Republic of Armenia.

An analysis of changes in the gross carrying values and associated ECLs in relation to investments at amortized cost in domestic currency during the year ended 31 December 2023 is as follows:

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Debt securities at amortized cost in domestic currency – securities of the Government of the Republic of Armenia				
Gross carrying value as at 1 January	–	–	–	–
New assets originated or purchased	16,391,747	16,391,747	–	–
At 31 December	**16,391,747**	**16,391,747**	**–**	**–**

In thousands of Armenian Drams	2023 Stage 1	2023 Total	2022 Stage 1	2022 Total
Debt securities at amortized cost in domestic currency - securities of the Government of the Republic of Armenia				
ECL as at 1 January	–	–	–	–
New assets originated or purchased	63,571	63,571	–	–
At 31 December	**63,571**	**63,571**	**–**	**–**

16. Operations with the International Monetary Fund

Placements with the IMF

In thousands of Armenian Drams	31 December 2023	31 December 2022
Placements with the IMF		
Membership quota in the IMF (subscription)	69,949,992	67,462,864
SDR holdings in the IMF	153,344	2,391,159
Accrued interest	47,677	30,491
Total placements with the IMF	**70,151,013**	**69,884,514**

16. Operations with the International Monetary Fund (continued)

Placements with the IMF (continued)

The Republic of Armenia is a member of the International Monetary Fund. The Bank holds the quota for the Republic of Armenia membership in the IMF.

The quota balance is a special type asset. Quotas vary based on the economic size of each country and are determined by the Board of Governors of the IMF. The quota determines a member's voting power in the IMF, the limits of access to the financial resources of the IMF and a participant's share in the allocation of SDRs, the IMF's unit of account. As at 31 December 2023 the quota of the Republic of Armenia in the IMF amounted to SDR 128,800 thousand, or AMD 69,949,992 thousand at the year-end official exchange rate of Armenian Dram to SDR (2022: SDR 128,800 thousand or AMD 67,462,864 thousand at the year-end official exchange rate of Armenian Dram to SDR). The quota does not earn interest and is a non-current asset. The quota of the Republic of Armenia was paid in the form of non-interest-bearing promissory note issued to the IMF by the Government of the RA.

The Bank maintains an SDR-denominated current account with the IMF used for processing and settlement of transactions with the IMF. This current account earns interest based on the SDR Interest Rate which is published by the IMF on a weekly basis.

Due to the IMF

In thousands of Armenian Drams	***31 December 2023***	***31 December 2022***
Securities account	95,000,000	95,000,000
Adjustment account for AMD liabilities to the IMF	4,143,168	(18,201,547)
Account 1	1,108,207	28,346,094
Account 2	60,690	2,370
SDR allocation	114,829,682	110,746,821
ECF	–	1,393,255
Interest accrued	1,103,457	812,738
Total liabilities due to the IMF	**216,245,204**	**218,099,731**

The Securities account, Adjustment account and Account 1 represent the amounts of the liability of the Bank as per EFF, SBA and the membership quota.

As at 31 December 2023 included in these accounts are EFF loans of AMD 16,454,291 thousand (31 December 2022: AMD 37,738,869 thousand) and Stand-by loans of AMD 13,925,926 thousand (31 December 2022: AMD 13,412,674 thousand). Currently all major settlements with the IMF are made through Account 1. Account 2 is used by the IMF for administrative purposes.

As at 31 December 2023 part of the Bank's liabilities to the IMF and the membership quota are covered by the promissory note in the amount of AMD 95,000,000 thousand (31 December 2022: AMD 95,000,000 thousand).

Except for membership quota and liability in respect of SDR allocation, the Bank's liability to the IMF as at 31 December 2023 represents liabilities as per Extended Fund Facility and Stand-by Arrangement.

The Stand-by Arrangements (the "SBA") provides short-term financial assistance to the countries facing balance of payments problems. The SBA interest rate is floating and published by the IMF on a weekly basis as adjusted rate of charge. The loans outstanding as at 31 December 2023 mature in August 2025 – May 2027 (31 December 2022: August 2025 – May 2027).

The Extended Fund Facility (the "EFF") is provided to the countries to overcome medium-term payment problems. The EFF interest rate is floating and published by the IMF on a weekly basis as adjusted rate of charge. The loans outstanding as at 31 December 2023 mature in March 2024 – June 2027 (31 December 2022: March 2023 – June 2027).

The Extended Credit Facility provides financial assistance to the countries with protracted balance of payments problems. The ECF was created under the newly established Poverty Reduction and Growth Trust (the "PRGT") as part of a broader reform to make the IMF's financial support more flexible and better tailored to the diverse needs of low-income countries, including in times of crisis. As at 31 December 2023 Bank has fully paid ECF loan.

The IMF for the purpose of increasing the international reserves of the member countries makes SDR allocations to the member countries. The SDR allocation interest rate is floating and published by the IMF on a weekly basis as SDR interest rate. The SDR allocation has no maturity date but can be cancelled by the IMF.

17. Property and equipment

In thousands of Armenian Drams	***Land and buildings***	***Networks, computer and other equipment***	***Vehicles***	***Construction in progress***	***Right of use assets***	***Total***
Cost						
Balance as at 1 January 2022	**72,386,799**	**23,988,295**	**594,351**	**601,403**	**551,421**	**98,122,269**
Additions	1,832	3,978,721	106,190	290,865	76,228	4,453,836
Disposals	(29,267)	(266,473)	(85,524)	(8,335)	(116,175)	(505,774)
Transfer	–	127,625	–	(127,625)	–	–
Balance as at 31 December 2022	**72,359,364**	**27,828,168**	**615,017**	**756,308**	**511,474**	**102,070,331**
Additions	156,634	1,033,835	83,244	103,335	–	1,377,048
Disposals	(503,098)	(518,368)	(78,182)	–	–	(1,099,648)
Transfer	385,463	–	–	(385,463)	–	–
Balance as at 31 December 2023	**72,398,363**	**28,343,635**	**620,079**	**474,180**	**511,474**	**102,347,731**
Depreciation						
Balance as at 1 January 2022	**21,588,200**	**15,692,574**	**508,686**	**–**	**293,634**	**38,083,094**
Charge for the period	1,389,538	886,732	27,614	–	98,979	2,402,863
Disposals	(4,902)	(252,551)	(78,940)	–	(64,755)	(401,148)
Balance as at 31 December 2022	**22,972,836**	**16,326,755**	**457,360**	**–**	**327,858**	**40,084,809**
Charge for the period	1,332,898	1,260,061	34,140	–	106,732	2,733,831
Disposals	(60,476)	(508,300)	(72,466)	–	–	(641,242)
Balance as at 31 December 2023	**24,245,258**	**17,078,516**	**419,034**	**–**	**434,590**	**42,177,398**
Carrying amount						
At 31 December 2023	**48,153,105**	**11,265,119**	**201,045**	**474,180**	**76,884**	**60,170,333**
At 31 December 2022	**49,386,528**	**11,501,413**	**157,657**	**756,308**	**183,616**	**61,985,522**

18. Intangible assets

In thousands of Armenian Drams	*Computer software*	*Contracts in progress*	*Total*
Cost			
Balance as at 1 January 2022	**5,427,770**	**1,120,612**	**6,548,382**
Additions	458,192	7,958	466,150
Disposals	(203,766)	–	(203,766)
Balance as at 31 December 2022	**5,682,196**	**1,128,570**	**6,810,766**
Additions	535,092	12,357	547,449
Disposals	(48,309)	–	(48,309)
Impairment	–	(375,786)	(375,786)
Balance as at 31 December 2023	**6,168,979**	**765,141**	**6,934,120**
Amortisation			
Balance as at 1 January 2022	**3,760,466**	**–**	**3,760,466**
Charge for the period	287,560	–	287,560
Disposals	(199,413)	–	(199,413)
Balance as at 31 December 2022	**3,848,613**	**–**	**3,848,613**
Charge for the period	390,879	–	390,879
Disposals	(41,987)	–	(41,987)
Balance as at 31 December 2023	**4,197,505**	**–**	**4,197,505**
Carrying amount			
At 31 December 2023	**1,971,474**	**765,141**	**2,736,615**
At 31 December 2022	**1,833,583**	**1,128,570**	**2,962,153**

19. Other assets in domestic currency

In thousands of Armenian Drams	*31 December 2023*	*31 December 2022*
Numismatic coins	4,688,107	5,147,763
Prepayments and receivables	3,706,616	3,299,316
Other	1,223,433	1,117,832
Allowance for ECL	(290)	-
Total other assets	**9,617,866**	**9,564,911**

An analysis of changes in the gross carrying values and associated ECLs in relation to financial receivables in domestic currency during the year ended 31 December 2023 is as follows:

	2023		*2022*	
In thousands of Armenian Drams	*Stage 1*	*Total*	*Stage 1*	*Total*
Receivables in domestic currency				
Gross carrying value as at 1 January	–	–	–	–
New assets originated or purchased	276,178	276,178	–	–
At 31 December	**276,178**	**276,178**	**–**	**–**

	2023		*2022*	
In thousands of Armenian Drams	*Stage 1*	*Total*	*Stage 1*	*Total*
Receivables in domestic currency				
ECL as at 1 January	–	–	–	–
New assets originated or purchased	290	290	–	–
At 31 December	**290**	**290**	**–**	**–**

20. Deposits and accounts of financial and other institutions

In thousands of Armenian Drams	*31 December 2023*	*31 December 2022*
Foreign currency liabilities		
Vostro accounts and deposits of domestic banks	470,573,714	713,912,010
Vostro accounts of associates	25,042,410	45,523,105
Current accounts of other related parties (Note 28)	2,806	1,024,461
Current accounts of other legal entities	1,981,623	3,118,972
Total foreign currency liabilities	**497,600,553**	**763,578,548**
Domestic currency liabilities		
Vostro accounts and deposits of domestic banks	371,228,593	330,118,940
Vostro accounts of associates	22,432,976	33,803,252
Current accounts and term deposit of other related parties	706	2,367,996
Current accounts and term deposit of other legal entities	38,304,669	2,420,262
Total domestic currency liabilities	**431,966,944**	**368,710,450**
Total deposits and accounts of financial and other institutions	**929,567,497**	**1,132,288,998**

Concentration of deposits and accounts of financial and other institutions

As at 31 December 2023 two counterparty banks had balances, individually exceeding 10% of the total amount of deposits and accounts of financial and other institutions, amounting to AMD 372,384,265 thousand (31 December 2022: two banks with total balance of AMD 386,592,780 thousand).

21. Other borrowed funds

In thousands of Armenian Drams	*31 December 2023*	*31 December 2022*
Due to the KfW	116,925,013	108,666,721
Due to the EIB	58,176,976	50,939,170
Due to the World Bank	14,236,869	14,527,765
Due to the ADB	4,435,742	4,542,593
Other	11,029,377	11,308,195
Total other borrowed funds	**204,803,977**	**189,984,444**

The table below shows carrying values of loans due to the KfW by programs as at 31 December 2023 and 31 December 2022.

In thousands of Armenian Drams	*31 December 2023*	*31 December 2022*
Support to Small and Medium Enterprises (MSME)	46,628,200	41,266,257
Promotion of Renewable Energies (RE)	31,036,816	27,720,818
Agricultural Sector Support (AF)	10,122,529	11,824,130
Support for the Financing of the Energy Efficiency in MSME Sector (EE)	9,575,368	10,525,221
Development of Sustainable Housing Market (HF)	19,562,100	17,330,295
Total due to the KfW	**116,925,013**	**108,666,721**

The loans due to the KfW are provided under an intergovernmental agreement on financial cooperation between the Government of the Republic of Armenia and the Federal Republic of Germany to finance special loan programs allocated through domestic commercial banks and financial institutions (Note 12). The loans mature from 2024 to 2048 (31 December 2022: from 2023 to 2048).

The loan due to the World Bank is provided by the World Bank for financing small and medium enterprises through domestic commercial banks and financial institutions (Note 12). The loan matures during the period from 2024 to 2035 (31 December 2022: from 2023 to 2035).

The loan due to ADB is provided by the Asian Development Bank for financing women-owned small and medium enterprises (Note 12) through commercial banks and financial institutions and matures during the period from 2024 to 2044 (31 December 2022: from 2023 to 2044).

The loan due to the EIB is provided by the European Investment Bank for financing agriculture, tourism and production sectors through domestic commercial banks and financial institutions (Note 12). The loans mature during the period from 2024 to 2033 (31 December 2022: from 2023 to 2031).

21. Other borrowed funds (continued)

The loan obtained by one of the Group's subsidiaries from French Agency for Development included into category "Other" matures during the period from 2024 to 2034 (31 December 2022: from 2023 to 2034). As at 31 December 2023 the balance outstanding under this loan facility is AMD 11,029,377 thousand (31 December 2022: AMD 11,308,195 thousand).

There is no actual market for this type of financing, provided by international organisations to support small and medium-size businesses in specific sectors of economy and develop the mortgage market. These loans represent a separate market segment and accordingly, at the initial recognition the Group does not discount them.

22. Other liabilities in domestic currency

In thousands of Armenian Drams	***31 December 2023***	***31 December 2022***
Other liabilities in domestic currency		
Payables	2,974,801	2,454,183
Other liabilities	549,064	1,214,871
Total other liabilities in domestic currency	**3,523,865**	**3,669,054**

23. Due to the Government of the Republic of Armenia

In thousands of Armenian Drams	***31 December 2023***	***31 December 2022***
Foreign currency liabilities		
Current accounts of the Government	955,226	1,600,968
Total foreign currency liabilities	**955,226**	**1,600,968**
Domestic currency liabilities		
Term deposits	367,026,690	359,295,031
Current accounts of the Government	24,101,606	20,993,097
Total domestic currency liabilities	**391,128,296**	**380,288,128**
Total due to the Government of the Republic of Armenia	**392,083,522**	**381,889,096**

Term deposits of the Government have maturity of less than 4 months and interest rate is ranging from 9.3% to 10% (31 December 2022: from 9.87% to 11.09%).

24. Debt securities issued

As at 31 December 2023 the subsidiary company of the Group had in issue coupon bonds with AMD 22,388,510 thousand par value and 3 years maturity (31 December 2022: coupon bonds with AMD 15,388,510 thousand par value and 3 years maturity). The bonds issued are listed in Armenia Securities Exchange.

As at 31 December 2023 the average annual yield on these bonds is from 8.5% to 12% (31 December 2022: from 7.25% to 12%). The carrying value of the issued bonds as at 31 December 2023 is AMD 22,639,296 thousand (31 December 2022: AMD 15,477,213 thousand) (Note 33).

25. Management of capital

Capital of the Group comprises the residual value of the Group's assets after deduction of its liabilities. The Bank manages capital in accordance with the Law.

In accordance with this Law the amount of issued capital of the Bank is AMD 100,000 thousand. The authorised capital of the Bank is the property of and belongs to the Republic of Armenia and may not be pledged, confiscated or otherwise alienated against the obligations of the Republic of Armenia.

The Bank's objectives when managing capital are to maintain an appropriate level of capital to ensure economic independence of the Bank and ability to perform its functions. The Bank's management considers total capital under management to be equity as shown in the consolidated statement of financial position.

Objectives and policies of managing components of the Bank's capital are defined by the respective internal regulations approved by the decisions of the Board of the Central Bank of the Republic of Armenia (the "Board"). Formation of funds and reserves of the Bank for covering financial risks associated with performance of its functions is carried out in accordance with the regulations approved by the Board and the Law.

The general reserve is formed according to the Law and cannot be distributed. General reserve is formed to cover general risks (potential losses) arising as a result of banking operations. Promissory note issued by the Government represents a contribution made by the Government by the way of issuing a non-interest bearing on demand promissory note in the case when the losses in the result of the financial year in the consolidated financial statements of the Group exceed the aggregate amount of its reserves.

According to clause 11 of the Law on the Central Bank of Republic of Armenia, during 2023 the Government covered AMD 149,676,703 thousand excess of losses over the Group`s reserves as at 31 December 2022: As a result the Government has issued new non-interest bearing promissory note at the amount of AMD 204,071,927 thousand (2022: AMD 54,395,224 thousand). The issue of the new promissory note was non-cash transaction.

According to the clause 12 of the Law on the Central Bank of Republic of Armenia, the Central Bank has allocated 20% of 2023 profits comprising AMD 10,408,668 thousand to the general reserve. the remaining amount of AMD 41,634,671 thousand from 2023 profits is subject to distribution in the form of set-off with the promissory note issued by the Government of the RA.

Other reserves represent revaluation reserve for financial assets measured at fair value through other comprehensive income in the amount of AMD 1,305,822 thousand (positive effect) as at 31 December 2023 (31 December 2022: AMD 632,881 thousand (positive effect)) and net AMD 1,270,090 thousand (positive effect) share of other comprehensive income of associate as at 31 December 2023 (31 December 2022: AMD 677,202 thousand).

26. Commitments

Capital commitments

The capital commitments outstanding at 31 December 2023 related to the Group's non-current assets amount to AMD 572,953 thousand (31 December 2022: AMD 454,838 thousand).

Litigation

The Group management is unaware of any actual, pending or threatened significant claims against the Group.

27. Segment information

The Group is organized into the following three operating segments based on their functional activities:

Activities of Central Bank	This segment includes all activities of Central Bank of Armenia.
Refinancing activities of subsidiaries	This segment includes the activities of mortgage refinancing credit organisations.
Other activities of subsidiaries	This segment includes the activities of other subsidiaries, including payment and settlement services, transportation/delivery of cash, lending support, insurance infrastructure support.

A reconciliation of assets and liabilities as per the reportable segments with the Group's assets and liabilities as of 31 December 2023 is as follows:

In thousands of Armenian Drams

	Activities of Central Bank	Refinancing activities of subsidiaries	Other activities of subsidiaries	Total for reportable segments	Consolidation effect	Total
Assets	2,597,978,815	303,417,496	16,345,228	2,917,741,539	(223,193,882)	2,694,547,657
Liabilities	2,659,280,765	66,639,681	635,632	2,726,556,078	(45,884,881)	2,680,671,197

A reconciliation of assets and liabilities as per the reportable segments with the Group's assets and liabilities as of 31 December 2022 is as follows:

In thousands of Armenian Drams

	Activities of Central Bank	Refinancing activities of subsidiaries	Other activities of subsidiaries	Total for reportable segments	Consolidation effect	Total
Assets	2,523,358,223	292,049,067	14,961,426	2,830,368,716	(232,583,080)	2,597,785,636
Liabilities	2,742,199,643	58,074,374	642,572	2,800,916,589	(55,057,062)	2,745,859,527

Included in Assets of Central Bank are capital investments of the Bank according to the definition of "Law on Central Bank" clause 13 as follows:

In thousands of Armenian Drams	*2023*	*2022*
Investments in share capital of legal entities	-	450,000
Buildings, structures and related capital repair	122,785	244,633
Vehicles	83,244	106,050
Other PPE and intangibles	825,741	3,843,749
Total capital investments	**1,031,770**	**4,644,432**

27. Segment information (continued)

A reconciliation of profit and loss as per the reportable segments with the Group's profit and loss for the year ended 31 December 2023 is as follows:

In thousands of Armenian Drams	**Activities of Central Bank**	**Refinancing activities of subsidiaries**	**Other activities of subsidiaries**	**Total for reportable segments**	**Consolidation effect**	**Total**
Interest income	76,586,217	17,563,882	203,633	94,353,732	(1,913,997)	92,439,735
Interest expense	(63,596,340)	(4,280,872)	(8,094)	(67,885,306)	1,914,347	(65,970,959)
Credit loss expense	(10,371,208)	(7,372,832)	1,430	(17,742,610)	(20,253)	(17,762,863)
Fee and commission income	67,974	–	–	67,974	(4,386)	63,588
Fee and commission expense	(397,974)	(39,488)	(410,280)	(847,742)	4,386	(843,356)
Net foreign exchange gain/(loss)	30,855,593	41,262	10,259	30,907,114	–	30,907,114
Net gain/(loss) on derivatives	988,296	–	–	988,296	–	988,296
Net gain/(loss) on financial instruments at fair value through profit or loss	32,034,979	–	–	32,034,979		32,034,979
Other income	1,634,622	–	5,548,841	7,183,463	4,912	7,188,375
Loss on initial recognition of financial instruments	–	(936,557)	–	(936,557)	–	(936,557)
Cost of production of banknotes, coins and numismatics	(1,011,350)	–	–	(1,011,350)	–	(1,011,350)
Other expenses	(17,647,125)	(545,835)	(3,923,722)	(22,116,682)	13,857	(22,102,825
Profit before tax	**49,143,684**	**4,429,560**	**1,422,067**	**54,995,311**	**(1,134)**	**54,994,177**
Income tax expense	-	(2,042,887)	(342,272)	(2,385,159)	–	(2,385,159)
Profit for the year	**49,143,684**	**2,386,673**	**1,079,795**	**52,610,152**	**(1,134)**	**52,609,018**

A reconciliation of profit and loss as per the reportable segments with the Group's profit and loss for the year ended 31 December 2022 is as follows:

In thousands of Armenian Drams	**Activities of Central Bank**	**Refinancing activities of subsidiaries**	**Other activities of subsidiaries**	**Total for reportable segments**	**Consolidation effect**	**Total**
Interest income	57,546,743	15,481,294	114,154	73,142,191	(1,819,593)	71,322,598
Interest expense	(45,457,477)	(3,099,344)	(17,067)	(48,573,888)	1,819,999	(46,753,889)
Credit loss expense	(870,408)	219,464	(2,004)	(652,948)	15,766	(637,182)
Fee and commission income	744,719	–	–	744,719	(2,431)	742,288
Fee and commission expense	(1,235,470)	(32,452)	(341,859)	(1,609,781)	2,431	(1,607,350)
Net foreign exchange gain/(loss)	(88,718,431)	(237,459)	(18,872)	(88,974,762)	–	(88,974,762)
Net gain/(loss) on derivatives	(1,568,357)	–	–	(1,568,357)	–	(1,568,357)
Net gain/(loss) on financial instruments at fair value through profit or loss	(3,237,206)	–	–	(3,237,206)	–	(3,237,206)
Other income	1,963,802	1,630	4,092,430	6,057,862	(4,452)	6,053,410
Loss on initial recognition of financial instruments	(62,733,413)	–	–	(62,733,413)	–	(62,733,413)
Cost of production of banknotes, coins and numismatics	(1,895,601)	–	–	(1,895,601)	–	(1,895,601)
Other expenses	(13,415,570)	(885,834)	(2,973,716)	(17,275,120)	73,460	(17,201,660)
Profit/(loss) before tax	**(158,876,669)**	**11,447,299**	**853,066**	**(146,576,304)**	**85,180**	**(146,491,124)**
Income tax expense	-	(2,106,951)	(244,749)	**(2,351,700)**	-	**(2,351,700)**
Profit/(loss) for the year	**(158,876,669)**	**9,340,348**	**608,317**	**(148,928,004)**	**85,180**	**(148,842,824)**

27. Segment information (continued)

Included in other expenses are administrative expenses of the Bank according to the definition of "Law on Central Bank" clause 13 as follows:

In thousands of Armenian Drams	***2023***	***2022***
Staff salaries	7,651,708	6,323,560
Staff social security	385,498	382,774
Business trips, education and training	376,741	304,310
Representation expenses	32,611	43,980
Office vehicles operation	32,367	39,834
Acquisition media and professional literature	32,495	32,340
Write-offs of materials	50,379	66,874
Telephone services	21,707	21,474
Total administrative expenses	**8,583,506**	**7,215,146**

28. Related party transactions

Transactions with members of the key management

Amount of the key management remuneration included into "Employee compensation, staff training and related payments" line (refer to Note 11):

In thousands of Armenian Drams	***2023***	***2022***
Key management including the Board members	395,477	351,877
Total	**395,477**	**351,877**

Total amount of loans issued to the members of the key management outstanding as at 31 December 2023 is AMD 205,924 thousand (31 December 2022: AMD 234,738 thousand). During the year ended 31 December 2023 the Group recognized interest income in amount of AMD 7,180 thousand from the transactions with the key management (31 December 2022: AMD 6,041 thousand).

Transactions with the Government of the Republic of Armenia

The outstanding balances and average contractual interest rates with the Government are as follows:

	31 December 2023		***31 December 2022***	
In thousands of Armenian Drams	***Balance outstanding***	***Average contractual interest rate***	***Balance outstanding***	***Average contractual interest rate***
Consolidated statement of financial position				
Assets				
Securities of the Republic of Armenia in domestic currency (Notes 15.2, 15.5)	25,683,079	10.22%	8,875,170	11.46%
EU bonds of the Government of the Republic of Armenia in foreign currency (Notes 15.1; 15.4)	4,912,000	4.78%	1,621,335	7.15%
	30,595,079		**10,496,505**	
Promissory note issued by the Government of the Republic of Armenia (Note 15.2)				
Balance at 1 January	54,395,224		15,776,447	
Promissory note issued by the Government of the Republic of Armenia (Notes 15.2, 25)	149,676,703		38,618,777	
Proportion of 2023 profit subject to distribution and transfer to the Government of the Republic of Armenia (Notes 15.2, 25)	(41,634,671)		–	
Balance at 31 December	**162,437,256**		**54,395,224**	
Assets at 31 December	**193,032,335**		**64,891,729**	
Liabilities				
Due to the Government of the Republic of Armenia (domestic currency, Note 23)	391,128,296	9.76%	380,288,128	10.67%
Due to the Government of the Republic of Armenia (foreign currency, Note 23)	955,226		1,600,968	
Liabilities at 31 December	**392,083,522**		**381,889,096**	

28. Related party transactions (continued)

Transactions with the Government of the Republic of Armenia (continued)

The movement of deposits included in liabilities due to the Government in domestic currency was as follows:

In thousands of Armenian Drams	*2023*	*2022*
Balance at 1 January	**359,295,031**	**380,967,925**
Additions	2,719,000,000	1,697,000,000
Interest charge	49,854,454	38,683,945
Redemption (including interest payment)	(2,761,122,795)	(1,757,356,839)
Balance at 31 December	**367,026,690**	**359,295,031**

Amounts included in the consolidated statement of comprehensive income in relation to transactions with the Government are as follows:

In thousands of Armenian Drams	*2023*	*2022*
Consolidated statement of comprehensive income		
Interest income from Government securities (Note 4)	1,350,754	1,074,538
Interest expense (Note 5)	(50,748,868)	(39,198,869)

Transactions with other related parties

The information in the tables below relates to the balances and results of transactions with the entities, in the governing body of which the Bank has its representatives.

	31 December 2023		*31 December 2022*	
In thousands of Armenian Drams	***Balance outstanding***	***Average contractual interest rate***	***Balance outstanding***	***Average contractual interest rate***
Consolidated statement of financial position				
Liabilities				
Current accounts and term deposits (domestic currency) (Note 20)	706	0.0%	2,367,996	9.25%
Current accounts (foreign currency) (Note 20)	2,806	0.0%	1,024,461	0.0%
Total	**3,512**		**3,392,457**	

Transactions with associates are disclosed under respective notes in these consolidated financial statements.

29. Cash and cash equivalents

Cash and cash equivalents at the end of the financial year as shown in the consolidated statement of cash flows are composed of the following items:

In thousands of Armenian Drams	*31 December 2023*	*31 December 2022*
Cash	14,617,804	18,056,895
Nostro accounts (Note 12)	685,528,018	892,116,679
Term deposits with less than 3 months maturity (Note 12)	–	33,453,392
SDR holdings in the IMF (Note 16)	153,344	2,391,159
Total cash and cash equivalents	**700,299,166**	**946,018,125**

30. Fair value of financial instruments

Fair value measurements are analysed by level in the fair value hierarchy as follows: (i) level one are measurements at quoted prices (unadjusted) in active markets for identical assets or liabilities, (ii) level two measurements are valuation techniques with all material inputs observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices), and (iii) level three measurements are valuations not based on observable market data (that is, unobservable inputs). Management applies judgement in categorising financial instruments using the fair value hierarchy. If a fair value measurement uses observable inputs that require significant adjustment, that measurement is a Level 3 measurement. The significance of a valuation input is assessed against the fair value measurement in its entirety.

30. Fair value of financial instruments (continued)

(a) Recurring fair value measurements

Recurring fair value measurements are those that the accounting standards require or permit in the consolidated statement of financial position at the end of each reporting period. The levels in the fair value hierarchy into which the recurring fair value measurements are categorised as follows:

In thousands of Armenian Drams	***31 December 2023***				***31 December 2022***			
	Level 1	***Level 2***	***Level 3***	***Total***	***Level 1***	***Level 2***	***Level 3***	***Total***
Assets carried at fair value								
Financial assets								
Financial instruments at fair value through profit or loss								
Government bonds (Note 13)	638,513,719		–	638,513,719	545,500,450	–	–	545,500,450
Other securities (Note13)	121,365,444	–	–	121,365,444	127,833,037	–	–	127,833,037
Money market instruments (Note13)	–	–	–	–	–	3,969,371	–	3,969,371
Investment securities measured at fair value through other comprehensive income								
Foreign securities (Note15.1)	264,668	2,316,446	–	2,581,114	209,800	2,044,680	–	2,254,480
Securities of the Government of the Republic of Armenia (Note15.2)	–	9,291,332	–	9,291,332	–	8,875,170	–	8,875,170
Promissory note issued by the Government of the Republic of Armenia (Note15.2)	–	162,437,256	–	162,437,256	–	54,395,224	–	54,395,224
Corporate bonds in foreign currency (Note15.2)	–	454,011	–	454,011	–	–	–	–
EU bonds of the Government of the Republic of Armenia (Note 15.1)	-	1,798,687	–	1,798,687	–	567,928	–	567,928
Total assets with recurring fair value measurements	**760,143,831**	**176,297,732**	**-**	**936,441,563**	**673,543,287**	**69,852,373**	–	**743,395,660**

In thousands of Armenian Drams	***31 December 2023***				***31 December 2022***			
	Level 1	***Level 2***	***Level 3***	***Total***	***Level 1***	***Level 2***	***Level 3***	***Total***
Liabilities carried at fair value								
Derivative financial liabilities								
Foreign currency swap contracts in foreign market (Note14)	–	190,283	–	**190,283**	–	1,168,708	–	**1,168,708**
Total liabilities with recurring fair value measurements	**–**	**190,283**	**–**	**190,283**	**–**	**1,168,708**	**–**	**1,168,708**

30. Fair value of financial instruments (continued)

(a) Recurring fair value measurements (continued)

The description of valuation technique and description of inputs used in the fair value measurement for level 2 measurements at 31 December 2023:

In thousands of Armenian Drams	***Fair value***	***Valuation technique***	***Inputs used***
Investment securities measured at fair value through other comprehensive income			
Foreign securities (Note 15.1)	2,316,446	DCF	EUR risk-free rate
Corporate bonds in foreign currency (Note 15.1)	454,011	DCF	Quoted prices
EU bonds of the Government of the Republic of Armenia (Note 15.1)	1,798,687		Quoted prices
Securities of the Government of the Republic of Armenia (Note 15.2)	9,291,332	DCF	Government bonds yield curve
Promissory note issued by the Government (Note 15.2)	162,437,256	DCF	On demand
Derivative financial liabilities			
Foreign currency swap contracts in foreign market (Note 14)	(190,283)	DCF	USD OIS curve, FX spot rates, FX forward points
Total recurring fair value measurements at Level 2	**176,107,449**		

The description of valuation technique and description of inputs used in the fair value measurement for level 2 measurements at 31 December 2022:

In thousands of Armenian Drams	***Fair value***	***Valuation technique***	***Inputs used***
Assets carried at fair value			
Financial assets			
Financial instruments at fair value through profit or loss			
Money market instruments (Note 13)	3,969,371	DCF	BIS interest rate
Derivative financial liabilities			
Foreign currency swap contracts in foreign market (Note 14)	(1,168,708)	DCF	USD OIS curve, FX spot rates, FX forward points
Investment securities measured at fair value through other comprehensive income			
Foreign securities (Note 15.1)	2,044,680	DCF	EUR risk-free rate
Corporate bonds in foreign currency (Note 15.1)	−	DCF	Quoted prices
EU bonds of the Government of the Republic of Armenia (Note 15.1)	567,928		Quoted prices
Securities of the Government of the Republic of Armenia (Note 15.2)	8,875,170	DCF	Government bonds yield curve
Promissory note issued by the Government (Note 15.2)	54,395,224	DCF	On demand
Total recurring fair value measurements at Level 2	**68,683,665**		

(b) Assets and liabilities not measured at fair value but for which fair value is disclosed

The management believes that the carrying amount of financial assets and financial liabilities approximate their fair value, mainly due to their maturities and nature of instruments. The fair value hierarchy for assets and liabilities not measured at fair value is Level 2.

The fair values in level 2 of fair value hierarchy were estimated using the discounted cash flows valuation technique. The fair value of floating rate instruments that are not quoted in an active market was estimated to be equal to their carrying amount. The fair value of unquoted fixed interest rate instruments was estimated based on future cash flows expected to be received discounted at current interest rates for new instruments with similar credit risk and remaining maturity.

31. Risk management

Introduction

Risk is inherent in the Group's activities but it is managed through a process of ongoing identification, assessment, treatment, monitoring and reporting, subject to risk limits and other controls. This process of risk management is critical to the Group to be able to perform its main functions and each individual within the Group is responsible for the risk exposures relating to his or her duties. The Group is exposed to credit risk, liquidity risk and market risk, the latter being subdivided into trading and non-trading risks. It is also subject to operating risks.

The risk management process does not include business risks such as changes in the environment, technology and industry. They are monitored through the Group's strategic planning process.

The Board is ultimately accountable for risk management; however, there are separate independent bodies responsible for managing and monitoring risks.

The Board

The Board is accountable for the overall risk management approach and for approving the strategies and principles.

Institutional framework

International reserves of the Republic of Armenia are the Bank's claims on non-residents in freely convertible foreign currencies. The reserves are reflected in the consolidated statement of financial position of the Group. The Bank manages the reserves in accordance with the principles envisaged by the article 52 of the Law, by investing the reserves within the Investment framework set by the Board.

The reserves can be used to finance external payments/trade imbalances, and to ensure the international obligations of Armenia are duly performed. The Bank uses reserves to provide foreign exchange services to the Government and state agencies of Armenia, e.g. foreign currency conversions or external debt servicing.

The Bank has a three level decision-making system, whereby the Board sets the Strategic Asset Allocation framework for the reserves management for a long-term investment time horizon, whereas the Investment Committee of the Bank was given executive power on short-term tactical benchmarks. Portfolio managers, in turn, make decisions on portfolio management within the framework of tactical benchmarks and active risk tolerance.

Administration and control

According to the Bank's structure, the Financial Markets Directorate is responsible for Armenia's international reserves management. The Financial Operations Department is in charge of operations related to day-to-day management of reserves. The Risk Management Department is responsible for risk assessment and disclosure, providing support for development of strategic asset allocation and benchmarking, compliance monitoring, performance evaluation and reporting.

Issues related to reserves management are discussed on at least quarterly basis by the Investment Committee of the Bank, which includes the heads of all structural units involved in the entire process of reserves management, as well as the Bank's Chairman and the Deputy Chairman. The Risk Management Department reports on the performance of reserves management to the Investment Committee on a quarterly basis and to the Board on a semi-annual basis. Each quarter the Bank presents information on condition and composition of international reserves to the Government and makes that information publicly available.

Asset allocation and risk management

According to the principles set forth in article 52 of the Law, Armenia's international reserves are managed based on the principle of adequate liquidity and security of reserves. For this purpose, the Risk Management Department develops drafts of strategic asset allocation and tactical benchmarks subject to approval by the Board and the Investment Committee, respectively. The investment benchmarks include all limits and rules governing the investment process as well as the structure of assets consistent with the reserves management principles set by the Board.

31. Risk management (continued)

Credit risk

Credit risk is the risk that the Group will incur a loss because its customers, clients or counterparties failed to discharge their contractual obligations or because of credit quality deterioration. The Group manages and controls credit risk by setting limits on counterparty eligibility and on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

The Group has established a credit quality review process to provide early identification of possible changes in the creditworthiness of counterparties. For the purpose of assessment of credit quality of international reserves the Group evaluates the counterparty creditworthiness based on the credit ratings assigned by leading internationally recognised credit rating agencies.

The Group sets minimum rating requirement for securities issued by governments, government agencies, other government authorities, financial institutions and supranational organisations. These ratings cannot be lower than certain prescribed minimum level which is regularly reviewed.

Derivative financial instruments

Credit risk arising from derivative financial instruments is, at any time, managed by setting limits on counterparties credibility.

Maximum credit risk without collateral or other credit enhancement

The maximum exposure to credit risk for the components of the consolidated statement of financial position, including derivatives, before the effect of mitigation through the use of master netting and collateral agreements, is best represented by their carrying amounts.

Where financial instruments are recorded at fair value, the carrying value represents the current credit risk exposure but not the maximum risk exposure that could arise in the future as a result of changes in values.

For more detail on the maximum exposure to credit risk for each class of financial instrument, references shall be made to the specific notes.

31. Risk management (continued)

Credit quality per class of financial assets

Financial assets of the Group, except equity investments are classified by the lowest out of the ratings assigned to the Group's counterparties by the international rating agencies Fitch IBCA, Moody's and Standard & Poor's. The ratings are listed below as per the coding of the rating agency Moody's using the rating correspondence table of Bloomberg information system. Rating AAA is the rating used for identification of highly reliable international financial institutions.

		31 December 2023		*31 December 2022*	
In thousands of Armenian Drams	***Credit rating***	***Amount***	***% in financial assets***	***Amount***	***% in financial assets***
Financial assets – neither past due nor impaired					
Placements with banks and other financial institutions in foreign currency					
Nostro accounts	P-1	680,600,054	98.3	851,969,740	91.4
	P-2	1,567,430	0.3	28,772,214	3.1
	P-3	96,661	0.0	4,279,005	0.5
	NP	256,000	0.0	5,796,057	0.6
	Unrated	3,007,873	0.4	1,299,662	0.1
Term deposits	P-1	–	0.0	33,534,079	3.6
	Unrated	2,967,421	0.4	2,686,379	0.3
	NP	3,541,048	0.5	1,968,909	0.2
Margin requirement of derivatives	P-1	801,145	0.1	1,902,355	0.2
Allowance for ECL		(2,818,946)	–	(78,597)	–
Total placements with banks and other financial institutions in foreign currency		**690,018,686**	**100.0**	**932,129,803**	**100.0**
Financial instruments at fair value through profit and loss					
Government bonds	Aaa	515,916,824	67.9	458,901,433	67.8
	Aa1-Aa3	102,055,943	13.4	86,599,017	12.8
	A1	20,540,952	2.7	–	–
Other securities	Aaa	97,111,383	12.8	127,833,037	18.9
	Aa1-Aa3	24,254,061	3.2	–	–
Money market instruments	Unrated*	–	–	3,969,371	0.6
Total financial instruments at fair value through profit and loss		**759,879,163**	**100.0**	**677,302,858**	**100.0**
Financial assets measured at fair value through other comprehensive income, excluding equity investments					
Securities of the Government of the Republic of Armenia	Ba3	9,291,332	5.3	–	–
Securities of the Government of the Republic of Armenia	B1	–	–	8,875,170	13.9
Promissory note issued by the Government	Ba3	162,437,256	93.4	–	–
Promissory note issued by the Government	B1	–	–	54,395,224	85.2
Corporate bonds in foreign currency	Unrated	454,011	0.3	–	–
EU bonds of the Government of the Republic of Armenia	Ba3	1,798,687	1.0	–	–
EU bonds of the Government of the Republic of Armenia	B1	–	–	567,928	0.9
Total financial assets measured at fair value through other comprehensive income, excluding equity investments		**173,981,286**	**100.0**	**63,838,322**	**100.0**

* As at 31 December 2022 money market instruments included in the unrated credit category represent securities issued by the Bank for International Settlements.

31. Risk management (continued)

Credit quality per class of financial assets (continued)

As at 31 December 2023 current accounts and term deposits included in the unrated credit rating category amounting to AMD 271,612 thousand and AMD 2,967,421 thousand respectively (31 December 2022: AMD 290,365 thousand and AMD 2,686,379 thousand) represent current accounts and placement of the Group's subsidiaries with local commercial banks.

		31 December 2023		*31 December 2022*	
In thousands of Armenian Drams	***Credit rating***	***Amount***	***% in financial assets***	***Amount***	***% in financial assets***
Placements and investments with banks and other financial institutions in domestic currency					
Loans to resident financial institutions under arrangement with the KfW, the World Bank, Asian Development Bank and European Investment Bank*	Settled after the end of the reporting period	10,167,641	4.5	15,136,522	7.1
	Not due at the date of authorisation of the consolidated financial statements for issue.	217,071,201	95.5	196,844,035	92.9
Total		**227,238,842**	**100.0**	**211,980,557**	**100.0**
Mortgage refinancing*	Settled after the end of the reporting period	5,368,478	2.7	3,986,851	2.4
	Not due at the date of authorisation of the consolidated financial statements for issue	195,800,615	97.3	162,958,330	97.6
Total		**201,169,093**	**100.0**	**166,945,181**	**100.0**
Loans to resident financial institutions financed by own funds*	Settled after the end of the reporting period	249,575	0.5	–	–
	Not due at the date of authorization of the consolidated financial statements for issue	48,393,365	99.5	53,506,411	100.0
Total		**48,642,940**	**100**	**53,506,411**	**100.0**
Deposits and current accounts in commercial banks*	Settled after the end of the reporting period	12,590,312	42.2	5,841,361	16.9
	Not due at the date of authorisation of the consolidated financial statements for issue	17,232,189	57.8	28,662,777	83.1
Total		**29,822,501**	**100.0**	**34,504,138**	**100.0**
Repurchase agreements and other overnight facilities*	Settled after the end of the reporting period	350,370,301	100.0	234,708,585	100.0
Total		**350,370,301**	**100.0**	**234,708,585**	**100.0**
Investments measured at amortised cost*	Settled after the end of the reporting period	–	–	1,951,962	8.0
	Not due at the date of authorisation of the consolidated financial statements for issue	–	–	22,426,985	92.0
Total		–	–	**24,378,947**	**100.0**
Other loans		2,394,809	100.0	2,707,641	100.0
Total		**2,394,809**	**100.0**	**2,707,641**	**100.0**
Allowance for ECL		**(4,011,926)**		**(4,165,679)**	
Total placements and investments with banks and other financial institutions in domestic currency		**855,626,560**	**–**	**724,565,781**	**–**

* Management estimates that these instruments approximate B+ to B- rating under Standard & Poor's rating system.

The Bank makes decisions regarding its placements with local banks and financial institutions taking into account its role of the banking regulator and the lender of last resort and therefore does not allocate ratings to local banks and financial institutions. Thus, the analysis of credit quality of these assets is limited to the stage of respective transaction.

31. Risk management (continued)

Impairment assessment

The Group calculates ECL based on several probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive. The mechanics of the ECL calculations are outlined below and the key elements are as follows:

PD The *Probability of Default* is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD The *Exposure at Default* is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

LGD The *Loss Given Default* is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL). The 12mECL is the portion of LTECL that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. Both LTECL and 12mECL are calculated on either an individual basis or a collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Group has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument. Based on the above process, the Group groups its assets into Stage 1, Stage 2, Stage 3 and POCI, as described below:

Stage 1: When assets are first recognized, the Group recognizes an allowance based on 12mECL. Stage 1 assets also include facilities where the credit risk has improved and the asset has been reclassified from Stage 2.

Stage 2: When an asset has shown a significant increase in credit risk since origination, the Group records an allowance for the LTECL. Stage 2 assets also include facilities, where the credit risk has improved and the asset has been reclassified from Stage 3.

Stage 3: Assets considered credit-impaired. The Group records an allowance for the LTECL.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest revenue is subsequently recognized based on a credit-adjusted EIR. ECL are only recognized or released to the extent that there is a subsequent change in the lifetime expected credit losses.

Definition of default and cure

The Group considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations when the counterparty's rating downgrades lower than the rating predefined by the Group. Regardless of the change in credit grades in all cases when the borrower becomes 90 days past due on its contractual payments, financial instrument is considered as defaulted.

As a part of a qualitative assessment of whether a customer is in default, the Group also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- Internal rating of the borrower indicating default or near-default;
- The borrower requesting emergency funding from the Group;
- A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral;
- A covenant breach not waived by the Group;
- The debtor (or any legal entity within the debtor's group) filing for bankruptcy;
- Debtor's listed debt or equity suspended at the primary exchange because of rumors or facts about financial difficulties.

31. Risk management (continued)

Impairment assessment (continued)

It is the Group's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

PD estimation process

For the counterparties that have ratings assigned by the international rating agencies Annual Transition Matrix of Moody's rating company is used.

For the counterparties that do not have ratings assigned by the international rating agencies the probability of default is assessed based on internal Financial Stability Index using extrapolation of rated counterparties' probability of default.

Exposure at default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation.

Loss given default

For each group of financial assets the recovery rates corresponding to the debt seniority status of respective financial instruments (Moody's) or recovery rates of the country of domicile (IMF) are used to calculate the LGD rate.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considers an exposure to have significantly increased in credit risk when the counterparty's credit rating has changed by one notch since initial recognition pursuant to the internal principles of risk management.

The assessment of significant increase in credit risk for exposures of local commercial banks and financial institutions, with no international credit ratings, is based on performance of individual exposure and overall financial stability index of commercial banks and financial institutions. Macro prudential analysis on systemic risk dimensions represent another tool to consider the feasibility to reclassify certain asset from Stage 1 to Stage 2.

Regardless of the change in credit grades the credit risk is deemed to have increased significantly since initial recognition if contractual payments are more than 30 days past due.

Forward-looking information and multiple economic scenarios

In its ECL models, the Group relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth;
- Unemployment rates;
- CPI;
- International reserves;
- Monetary policy rate;
- Equity Index Price;
- Foreign exchange rates;
- Credit/GDP ratio;
- Other macroeconomic factors depending on the specificities of each country.

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

Offsetting financial assets and financial liabilities

As at 31 December 2023 the Group had reverse repurchase contracts with commercial banks which fall under master netting arrangements, which are enforceable in case of default. The Group also made margin deposits as collateral for its outstanding derivative positions.

31. Risk management (continued)

Offsetting financial assets and financial liabilities (continued)

The table below shows financial assets and financial liabilities subject to offsetting, enforceable master netting arrangements and similar arrangements as at 31 December 2023:

In thousands of Armenian Drams

Types of financial assets	Gross amounts of recognised financial asset/liability	Gross amount of recognised financial liability/asset offset in the consolidated statement of financial position	Net amount of financial assets/liabilities presented in the consolidated statement of financial position	Related amounts not offset in the consolidated statement of financial position		Net amount
				Financial instruments (non-cash collateral)	Cash collateral received	
Amounts receivable under reverse repurchase agreements (Note 12)	350,370,301	–	350,370,301	350,370,301	–	–
Total financial assets	**350,370,301**	–	**350,370,301**	**350,370,301**	–	–

The table below shows financial assets and financial liabilities subject to offsetting, enforceable master netting arrangements and similar arrangements as at 31 December 2022:

In thousands of Armenian Drams

Types of financial assets	Gross amounts of recognised financial asset/liability	Gross amount of recognised financial liability/asset offset in the consolidated statement of financial position	Net amount of financial assets/liabilities presented in the consolidated statement of financial position	Related amounts not offset in the consolidated statement of financial position		Net amount
				Financial instruments (non-cash collateral)	Cash collateral received	
Amounts receivable under reverse repurchase agreements (Note 12)	234,708,585	–	234,708,585	234,708,585	–	–
Total	**234,708,585**	–	**234,708,585**	**234,708,585**	–	–

The geographical concentration of the Group's assets and liabilities is set out below:

In thousands of Armenian Drams	*31 December 2023*				*31 December 2022*			
	Armenia	*OECD*	*CIS and other countries*	*Total*	*Armenia*	*OECD*	*CIS and other countries*	*Total*
Assets								
Cash	14,617,804	–	–	14,617,804	18,056,895	–	–	18,056,895
Placements with banks and other financial institutions in foreign currency	6,908,043	682,069,676	1,040,967	690,018,686	10,684,868	912,223,370	9,221,565	932,129,803
Placements and investments with banks and other financial institutions in domestic currency	855,626,560	–	–	855,626,560	724,565,781	–	–	724,565,781
Financial instruments at fair value through profit or loss	–	759,879,163	–	759,879,163	–	677,302,858	–	677,302,858
Financial assets measured at fair value through other comprehensive income	173,981,286	2,584,850	–	176,566,136	63,838,322	2,258,216	–	66,096,538
Investments at amortized cost	19,806,313			19,806,313	1,432,570	–	–	1,432,570
Investments in associate	34,533,590			34,533,590	33,420,114	–	–	33,420,114
Placements with the IMF	–	70,151,013	–	70,151,013	–	69,884,514	–	69,884,514
Property and equipment and intangible assets	62,906,948	–	–	62,906,948	64,947,675	–	–	64,947,675
Other assets	9,617,866	711,733	111,845	10,441,444	9,564,911	272,132	111,845	9,948,888
Total assets	**1,177,998,410**	**1,515,396,435**	**1,152,812**	**2,694,547,657**	**926,511,136**	**1,661,941,090**	**9,333,410**	**2,597,785,636**
Liabilities								
Notes and coins in circulation	911,454,812	–	–	911,454,812	803,093,792	–	–	803,093,792
Deposits and accounts of financial and other institutions	927,245,366	840,298	1,481,833	929,567,497	1,131,001,147	20,769	1,267,082	1,132,288,998
Derivative financial liabilities	–	190,283	–	190,283	–	1,168,708	–	1,168,708
Due to the Government	392,083,522	–	–	392,083,522	381,889,096	–	–	381,889,096
Due to the IMF	–	216,245,204	–	216,245,204	–	218,099,731	–	218,099,731
Other borrowed funds	–	200,368,235	4,435,742	204,803,977	–	185,441,851	4,542,593	189,984,444
Debt securities issued	22,639,296	–	–	22,639,296	15,477,213	–	–	15,477,213
Other liabilities	3,626,131	25,453	35,022	3,686,606	3,787,123	64,912	5,510	3,857,545
Total liabilities	**2,257,049,127**	**417,669,473**	**5,952,597**	**2,680,671,197**	**2,335,248,371**	**404,795,971**	**5,815,185**	**2,745,859,527**
Net assets	**(1,079,050,717)**	**1,097,726,962**	**(4,799,785)**	**13,876,460**	**(1,408,737,235)**	**1,257,145,119**	**3,518,225**	**(148,073,891)**

31. Risk management (continued)

Liquidity risk and funding management

Liquidity risk is the risk that the Group will be unable to meet its payment obligations when they fall due under normal and stress circumstances. As a fiscal agent of the Government and the monetary authority of the Republic of Armenia, the Bank is responsible for public debt service, the Government's foreign payments. From this perspective the strategic guidelines are set taking into account proper management of cash and liquidity.

Based on the international reserve management objectives Armenia's international reserves are divided into sub-portfolios to meet short-term/instant and mid-term liquidity requirements.

Analysis of financial liabilities by remaining contractual maturities

The tables below show liabilities at 31 December 2023 and 31 December 2022 by their remaining contractual maturity. The amounts of liabilities disclosed in the maturity table are the contractual undiscounted cash flows. Such undiscounted cash flows differ from the amount included in the consolidated statement of financial position because the amount in the consolidated statement of financial position is based on discounted cash flows. Financial derivatives are included at the contractual amounts to be paid or received. Included in due to the IMF with undefined maturity are payables with no due date but payable upon membership termination or liquidation of the IMF's SDR Department. Similarly, membership quota in the IMF does not have defined maturity and is considered a non-current asset (see Note 32).

	31 December 2023						
In thousands of Armenian Drams	***Demand and less than 1 month***	***From 1 to 3 months***	***From 3 months to 1 year***	***From 1 to 5 years***	***More than 5 years***	***Undefined maturity***	***Total***
Financial liabilities							
Notes and coins in circulation	911,454,812	–	–	–	–	–	911,454,812
Deposits and accounts of financial and other institutions	929,569,832	–	–	–	–	–	929,569,832
Derivatives	190,283	–	–	–	–	–	190,283
Due to the Government	92,446,933	277,234,152	27,226,628	–	–	-	396,907,713
Due to the IMF	-	1,729,687	8,049,532	26,013,949	–	184,694,664	220,487,832
Other borrowed funds	2,122,569	450,005	24,844,358	108,189,760	112,925,840	–	248,532,532
Debt securities issued	-	3,427,500	1,888,851	22,207,936	–	–	27,524,287
Total non-discounted financial liabilities	**1,935,784,429**	**282,841,344**	**62,009,369**	**156,411,645**	**112,925,840**	**184,694,664**	**2,734,667,291**

	31 December 2022						
In thousands of Armenian Drams	***Demand and less than 1 month***	***From 1 to 3 months***	***From 3 months to 1 year***	***From 1 to 5 years***	***More than 5 years***	***Undefined maturity***	***Total***
Financial liabilities							
Notes and coins in circulation	803,093,792	–	–	–	–	–	803,093,792
Deposits and accounts of financial and other institutions	1,132,291,210	–	–	–	–	–	1,132,291,210
Derivatives	1,168,708	–	–	–	–	–	1,168,708
Due to the Government	75,220,601	212,718,139	100,290,016	–	–	–	388,228,756
Due to the IMF	–	1,477,894	10,686,303	32,553,584	–	178,112,958	222,830,739
Other borrowed funds	813,786	485,212	19,438,713	92,324,144	107,141,764	–	220,203,619
Debt securities issued	–	127,500	4,275,101	14,374,287	–	–	18,776,888
Total non-discounted financial liabilities	**2,012,588,097**	**214,808,745**	**134,690,133**	**139,252,015**	**107,141,764**	**178,112,958**	**2,786,593,712**

Market risk

Market risk is the risk that the fair value or future cash flows of financial instruments will fluctuate due to changes in market variables such as interest rates, foreign exchange rates, and equity prices. The Group classifies exposures to market risk into either trading or non-trading portfolios.

31. Risk management (continued)

Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows or the fair values of financial instruments.

Within the three-level management structure the Board defines the overall risk tolerance, which is the acceptable level of interest rate risk in the long run. It also outlines portfolio optimisation principles. The authority to set tactical benchmarks is delegated to the Investment Committee.

Optimal portfolios are constructed based on scenario analysis using VAR-MGARCH model simulated yield curves as well as internal and market consensus expectations on interest rates and credit spreads.

For monitoring and managing risk, the Risk Management Department within the Financial Markets Directorate uses a number of widely used risk measures like Value at Risk, Key Rate Duration, Information Ratio, Spread Duration, PCA Duration, and Tracking Error.

The following table demonstrates the sensitivity of the Group's equity, which is calculated by revaluing fixed rate financial assets measured at fair value through other comprehensive income at 31 December 2023 and 31 December 2022 for the effects of the assumed changes in interest rates. The sensitivity of equity is analysed by maturity of the asset. The sensitivity of equity is based on the assumption that there are parallel shifts in the yield curve.

	2023		***2022***	
In thousands of Armenian Drams	***Change in yield curve, b.p.***	***Effect on equity***	***Change in yield curve, b.p.***	***Effect on equity***
Currency				
AMD	+150	(482,361)	+150	(510,633)
AMD	-150	531,529	-150	564,303
USD	+125	297,499	+125	(2,633)
USD	-25	150,196	-25	(19,789)

The following table demonstrates the sensitivity of profit of the Group, which is calculated by revaluing financial instruments at fair value through profit and loss as of 31 December 2023 and 31 December 2022, based on the assumption of changing interest rates. Amounts included in the table below are disclosed in the presentation currency.

	2023		***2022***	
	Change in basis points	***Increase/(decrease) of net result on financial instruments at FVTPL and equity***	***Change in basis points***	***Increase/(decrease) of net result on financial instruments at FVTPL and equity***
Currency				
USD	+125/-50	(6,117,442)/2,446,977	+125/-50	(5,937,506)/2,375,002
EUR	+50/-50	(1,010,599)/1,010,599	+50/-50	(396,651)/396,651
GBP	+125/-125	(60,443)/60,443	+125/-125	(47,512)/47,512

The Group, also, has liabilities with floating interest rates outstanding as at 31 December 2023 and 31 December 2022.

The following table demonstrates the sensitivity of the Group's profit or loss and equity as at 31 December 2023 and 31 December 2022 based on the assumption of changing interest rates on borrowings obtained by the Group:

	2023		***2022***	
In thousands of Armenian Drams	***Change in basis points***	***Increase/(decrease) of net interest expense and decrease/ (increase) of equity***	***Change in basis points***	***Increase/(decrease) of net interest expense and decrease/ (increase) of equity***
Currency				
USD	+/-146	226,222/(226,222)	+/-402	578,400/(578,400)
SDR	+/-128	460,579/(460,579)	+/-287	1,178,835/(1,178,835)
EUR	+/-20	182,372/(182,372)	+/-20	109,101/(109,101)

Following the decision by global regulators to phase out IBORs and replace them with alternative reference rates, the Group has established a project to manage the transition for any of its contracts that could be affected. The Bank successfully completed the transition of all of its IBOR exposure to RFRs in 2022.

31. Risk management (continued)

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board sets the clear principles of currency allocation, whereas the Investment Committee determines and revises the actual weights of respective currencies.

The following tables present sensitivities of profit or loss and equity to reasonably possible changes in exchange rates applied at the end of the reporting period relative to the Armenian Dram with all other variables held constant:

	2023		*2022*	
In thousands of Armenian Drams	***Increase in currency rate in %***	***Increase/ (decrease) of profit and equity***	***Increase in currency rate in %***	***Increase/ (decrease) of profit and equity***
Currency				
USD	10.00%	59,816,826	10.00%	53,354,320
EUR	13.50%	14,446,703	13.50%	13,133,279
GBP	16.00%	3,126,968	16.00%	2,871,218
JPY	13.50%	3,810,734	13.50%	3,576,100
RUB	20.00%	886,609	20.00%	976,176
SDR	12.00%	(18,063,592)	12.00%	(18,330,937)

	2023		*2022*	
In thousands of Armenian Drams	***Decrease in currency rate in %***	***Increase/ (decrease) of profit and equity***	***Decrease in currency rate in %***	***Increase/ (decrease) of profit and equity***
Currency				
USD	(10.00)%	(59,816,826)	(10.00)%	(53,354,320)
EUR	(13.50)%	(14,446,703)	(13.50)%	(13,133,279)
GBP	(16.00)%	(3,126,968)	(16.00)%	(2,871,218)
JPY	(13.50)%	(3,810,734)	(13.50)%	(3,576,100)
RUB	(20.00)%	(886,609)	(20.00)%	(976,176)
SDR	(12.00)%	18,063,592	(12.00)%	18,330,937

The expected change in the exchange rates was determined by the Group by analysing annual standard deviations based on the historical market data of respective exchange rates.

The currency composition of the reserves mainly mirrors the currency composition of debt and is subject of revision at least semi-annually.

Operating risk – control over subsidiaries

As disclosed in Note 1, the Bank has equity investments in a number of subsidiaries that are engaged in financial sector development and infrastructure activities. The purpose of such investments was to support development of the Armenian financial sector to ensure stability and normal activity of the financial system of the Republic of Armenia which is one of the objectives of the Bank as prescribed by the Law.

The control over subsidiaries' activities is exercised by the Bank through the following:

- Participation in the shareholders' meetings;
- Appointment of subsidiaries' management (Boards of Directors of each of subsidiaries are appointed by the shareholders and Boards of Directors appoint Executive Directors in the each of subsidiaries);
- Regular analysis of performance of subsidiaries through review of their financial information at least on an annual basis including review of results of external audit of the financial statements of subsidiaries;
- Performing analysis of subsidiaries' further development strategy including development of the divestment strategy, where appropriate;

In 2015 the Bank has adopted a policy of activation of discussions with possible potential institutional investors regarding the disposal of its investments in the subsidiaries of the Bank.

32. Maturity analysis

The following tables provide information on amounts expected to be recovered or settled before and after twelve months after the reporting period.

	31 December 2023		
In thousands of Armenian Drams	***Current***	***Non-current***	***Total***
Assets			
Cash	14,617,804	–	14,617,804
Placements with banks and other financial institutions in foreign currency	685,324,164	4,694,522	690,018,686
Financial instruments at fair value through profit or loss	759,879,163	–	759,879,163
Placements and investments with banks and other financial institutions in domestic currency	448,444,682	407,181,878	855,626,560
Financial assets measured at fair value through other comprehensive income	162,759,778	13,806,358	176,566,136
Investments at amortized cost	754,013	19,052,300	19,806,313
Equity-accounted investees	–	34,533,590	34,533,590
Placements with the IMF	201,021	69,949,992	70,151,013
Property and equipment	–	60,170,333	60,170,333
Intangible assets	–	2,736,615	2,736,615
Other assets	9,539,686	901,758	10,441,444
Total assets	**2,081,520,311**	**613,027,346**	**2,694,547,657**
Liabilities			
Notes and coins in circulation	911,454,812	–	911,454,812
Deposits and accounts of other financial institutions	929,567,497	–	929,567,497
Derivative financial liabilities	190,283	–	190,283
Due to the Government	392,083,522	–	392,083,522
Due to the IMF	8,013,374	208,231,830	216,245,204
Other borrowed funds	18,582,808	186,221,169	204,803,977
Debt securities issued	3,250,786	19,388,510	22,639,296
Other liabilities	3,557,491	129,115	3,686,606
Total liabilities	**2,266,700,573**	**413,970,624**	**2,680,671,197**
Net position as at 31 December 2023	**(185,180,262)**	**199,056,720**	**13,876,460**

32. Maturity analysis (continued)

	31 December 2022		
In thousands of Armenian Drams	***Current***	***Non-current***	***Total***
Assets			
Cash	18,056,895	–	18,056,895
Placements with banks and other financial institutions in foreign currency	928,491,704	3,638,099	932,129,803
Financial instruments at fair value through profit or loss	677,302,858	–	677,302,858
Placements and investments with banks and other financial institutions in domestic currency	330,206,580	394,359,201	724,565,781
Financial assets measured at fair value through other comprehensive income	54,707,599	11,388,939	66,096,538
Investments at amortized cost	20,954	1,411,616	1,432,570
Equity-accounted investees	–	33,420,114	33,420,114
Placements with the IMF	2,421,650	67,462,864	69,884,514
Property and equipment	–	61,985,522	61,985,522
Intangible assets	–	2,962,153	2,962,153
Other assets	9,127,817	821,071	9,948,888
Total assets	**2,020,336,057**	**577,449,579**	**2,597,785,636**
Liabilities			
Notes and coins in circulation	803,093,792	–	803,093,792
Deposits and accounts of other financial institutions	1,132,288,998	–	1,132,288,998
Derivative financial liabilities	1,168,708	–	1,168,708
Due to the Government	381,889,096	–	381,889,096
Due to the IMF	10,622,260	207,477,471	218,099,731
Other borrowed funds	16,604,580	173,379,864	189,984,444
Debt securities issued	3,088,703	12,388,510	15,477,213
Other liabilities	3,205,167	652,378	3,857,545
Total liabilities	**2,351,961,304**	**393,898,223**	**2,745,859,527**
Net position as at 31 December 2022	**(331,625,247)**	**183,551,356**	**(148,073,891)**

According to the Law on the Central Bank of Republic of Armenia in the event if, by the end of the financial year, the losses resulted in the Central Bank balance sheet exceed the aggregate amount of its reserves, the Government, within 30 days upon the date of the balance sheet publication, shall, as stated by law, grant noninterest bearing demand government ordinary promissory notes as a contribution to the Central Bank capital in an amount of exceeding sum.

33. Changes in liabilities arising from financing activities

In thousands of Armenian Drams	***Due to IMF***	***Other borrowed funds***	***Debt securities issued***	***Lease liabilities***	***Total liabilities from financing activities***
Carrying amount at 1 January 2022	**281,278,642**	**175,399,777**	**9,650,642**	**292,572**	**466,621,633**
Loans received	15,553,808	70,058,362	–	–	85,612,170
Loans redeemed	(16,014,386)	(14,475,388)	–	–	(30,489,774)
Proceeds from issuance of debt securities	–	–	9,205,199	–	9,205,199
Repayment of debt securities issued	–	–	(3,500,000)	–	(3,500,000)
Lease payments	–	–	–	(105,804)	(105,804)
Foreign currency translation	(63,386,948)	(41,409,506)	–	–	(104,796,454)
Other	668,615	411,199	121,372	24,808	1,225,994
Carrying amount at 31 December 2022	**218,099,731**	**189,984,444**	**15,477,213**	**211,576**	**423,772,964**
Carrying amount at 1 January 2023	**218,099,731**	**189,984,444**	**15,477,213**	**211,576**	**423,772,964**
Loans received	–	20,921,532	–	–	20,921,532
Loans redeemed	(9,789,811)	(16,100,433)	–	–	(25,890,244)
Proceeds from issuance of debt securities	–	–	9,963,247	–	9,963,247
Repayment of debt securities issued	–	–	(3,000,000)	–	(3,000,000)
Lease payments	–	–	–	(121,282)	(121,282)
Foreign currency translation	7,644,565	9,592,191	–	–	17,236,756
Other	290,719	406,243	198,836	–	895,798
Carrying amount at 31 December 2023	**216,245,204**	**204,803,977**	**22,639,296**	**90,294**	**443,778,771**

The “Other” line includes the effect of accrued but not yet paid interest. The Group classifies interest paid as cash flows from operating activities.

Central Bank
of Armenia